



# Learning & Growing With Team

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### **MGT503-Principles of Management**

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# **Principles of Management**

**Learning Session # 23**

***Dr. A. Rashid Kausar***

# **Re-cap of Session # 22**

# **Types of Planning?**

## **Informal Planning**

1. Nothing is written down
2. Little or no sharing of goals
3. General and lacking in continuity

## **Formal Planning**

1. Written and defined specific goals
2. Specific action programs exist to achieve goals



# **How Do Managers Plan**

**Developing Plans !**

## ***Approaches to Planning***

**Traditional, top-down approach  
Planning done by top managers**

## ***Formal Planning Department***

**Specialists whose sole  
responsibility is to help to write  
organizational plans.**

# How Do Managers Plan

## Developing Plans

### *Approaches to Planning*

#### Inclusive Approach

Employees at each level develop plans suited to their needs

Employees acquire greater sense of the importance of planning when they participate in the process

# **The planning process**

**‘Setting goals and developing plans that leads to goal attainment and ultimately, to organisational efficiency and effectiveness.’**

# **How Do Managers Plan?**

## **Steps in Goal Setting**

**1 - Review the  
organization's mission**

**2 - Evaluate available  
resources**

**3 - Determine the goals  
individually or with input  
from others**

# **How Do Managers Plan?**

## ***Steps in Goal Setting***

**4. Should be congruent with the organizational mission and goals in other organizational areas**

**5- Write down the goals and communicate them to all who need to know them**

# **How Do Managers Plan?**

## ***Steps in Goal Setting***

**6- Review results and  
whether goals are being met**

# **The planning process**

## **Mission**

**The organisation's  
purpose**

**or**

**fundamental reason for  
existence.**

# **The planning process**

## **Goal**

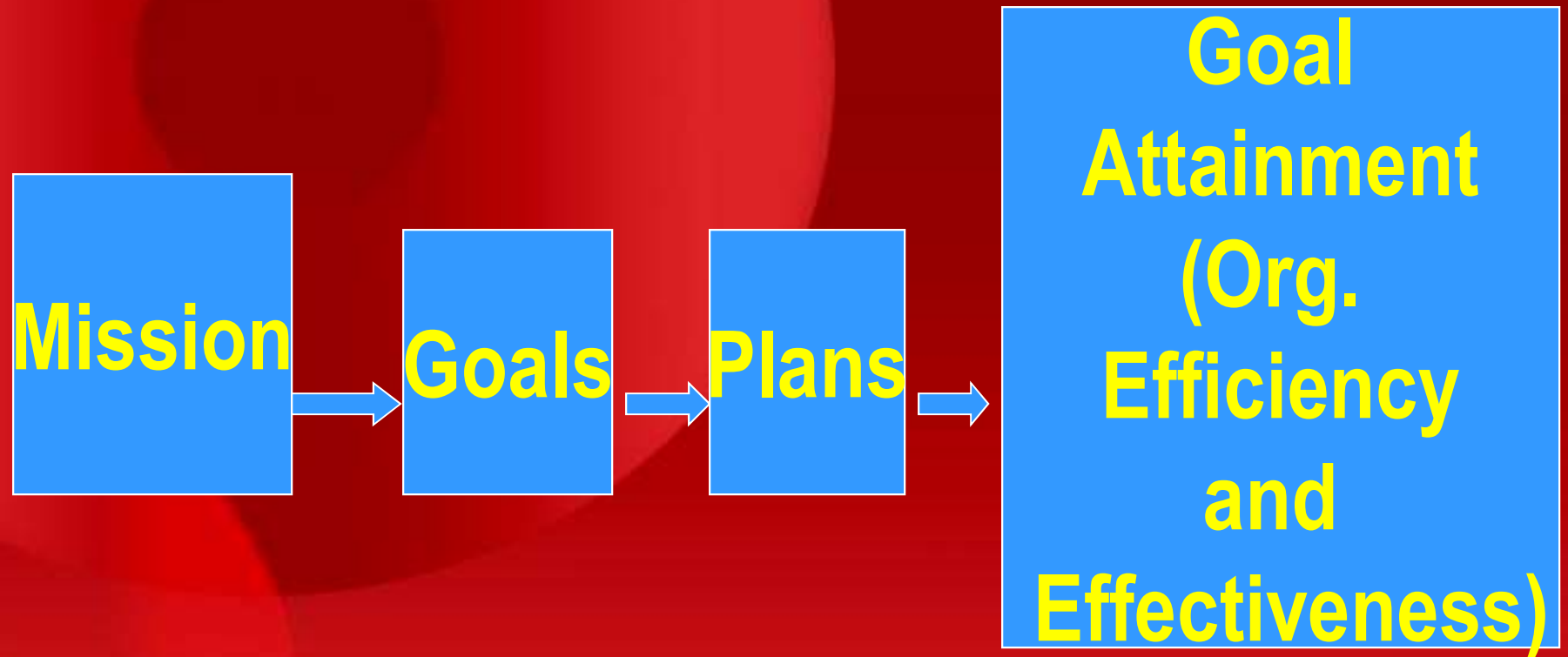
**Future target  
or  
end result an  
organisation wishes to  
achieve.**



# **The planning process Plan**

**Means devised  
for  
attempting to reach a  
goal.**

# The planning process



# **Organisational Mission**

**Mission statement may:**

**Be unwritten.**

**Address customers,  
products/services, location,  
technology, concern for survival,  
concern for public image,  
concern for employees.**

# **Organisational Goals**

## **Benefits of Goals**

**Increases Performance**

**Clarifies Expectations**

**Facilitates Control**

**Increases Motivation**

# Levels of goals

Top Managers  
Organisational Perspective

Strategic  
Goals

Strategic  
Plans

Middle Managers  
Departmental Perspective

Tactical  
Goals

Tactical  
Plans

1st level Managers  
Unit/individual Perspective

Operational  
Goals

Operational  
Plans

# **Goals and Performance**

## **Key Aspects:**

- 1.Goal Content**
- 2.Goal Commitment**
- 3.Work Behaviour**
- 4.Other Process Components**
- 5.Possible Problems**

# Goal Content

Content should be:

**Challenging**

**Specific**

**Measurable**

**Attainable**

**Relevant**

**Time limited**

# **Goal Commitment**

**Influenced by:**

**Supervisory Authority**

**Peer & Group Pressure**

**Public Display**

**Expectations of Success**

**Incentives & Rewards**

**Participation**



# **Goals & Work Behaviour**

**Goals & Commitment affect  
Work Behaviour:**

**Direction**

**Effort**

**Persistence**

**Planning**

# **Goals & other Process Components**

**Job process components  
affect performance:**

**Job Knowledge & Ability**

**Task Complexity**

**Situational Constraints**

# **Goals & Possible Problems**

**Possible Problems with Goals:**

**Excessive risk taking**

**Increased stress**

**Undermined self-confidence**

**Ignored non-goal area**

**Excessive short-run thinking**

**Dishonesty & cheating**

# **Principles of Management**

**Learning Session # 24**

***Dr. A. Rashid Kausar***

# **Re-cap of Session # 23**

# Setting Goals

**S.M.A.R.T.**

**Specific**

**Measurable**

**Attainable**

**Realistic**

**Timely**

# **Developing Commitment to Goals**

**The determination to achieve a goal**

**Increased by:**

**Setting goals through participation**

**Making goals reasonable**

**Making goals public**

**Obtaining top management support**

# **Linking Goals & Plans**

**Levels of Goals and  
Plans:**

**Operational**

**Tactical**

**Strategic**



# **Linking Goals & Plans**

**Time span of Goals  
and Plans:**

**Short (Operational)**

**Intermediate (Tactical)**

**Long range (Strategic)**

# How to Make a Plan That Works



# **Developing Effective Action Plans**

**An  
Action Plan  
Lists:**

**Specific Steps**

**People**

**Resources**

**Time Period**

# Starting at the Top

|                        |                                                                                                                                               |
|------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Strategic Plans</b> | Clarify how the company will serve customers and position itself against competitors (2-5 years)                                              |
| <b>Vision</b>          | An inspirational statement of an organization's enduring purpose (2 sentences)                                                                |
| <b>Mission</b>         | Overall goal that unifies efforts toward its vision, stretches and challenges, and possesses a finish line and time frame. Flows from vision. |

# **A Corporation's Mission**

**... to provide society with superior products and services by developing innovations and solutions that improve the quality of life and satisfy customer needs, and to provide employees with meaningful work and advancement opportunities, and investors with a superior rate of return.**

# Bending in the Middle

## **Tactical Plans**

**Specify how a company will use resources, budgets, and people to accomplish goals within its mission.  
(6 months to 2 years)**

## **Management by Objectives**

**Develop and carry out  
tactical plans**

# **Finishing at the Bottom**

## **Operational Plans**

**Day-to-day plans for producing or delivering products and services over a 30-day to six month period.**

# **Linking Goals & Plans**

**Recurring use:**

**Single use**

**Standing Plans-**

**Policies,**

**Procedures,**

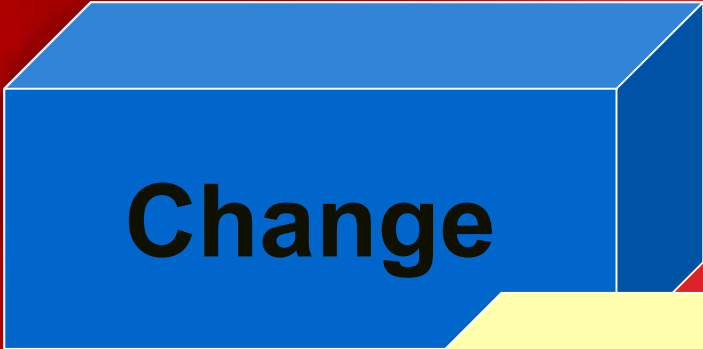
**Rules**



# Kinds of Operational Plans

|                  |                                                                                                                                       |
|------------------|---------------------------------------------------------------------------------------------------------------------------------------|
| Single-Use Plans | Plans that cover unique, one-time-only events                                                                                         |
| Standing Plans   | Plans used repeatedly to handle frequently recurring events. Three kinds are: <i>policies, procedures, and rules and regulations.</i> |
| Budgeting        | Quantitative planning to decide how to allocate money to accomplish company goals                                                     |

# **Special-Purpose Plans**



**Change**



**Contingencies**



**Product  
Development**

# **Management by Objectives (MBO)**

**‘Process through which specific goals are set collaboratively for the organisation as a whole and every unit within it;**

**The goals are then used as a basis for planning, managing organisational activities, and assessing and rewarding contributions.’**

# **Management by Objectives (MBO)**

Steps in the MBO process:

- 1. Develop organisational goals**
- 2. Establish specific goals for departments**
- 3. Formulate action plans**
- 4. Implement & maintain 'self-control'**
- 5. Review progress periodically**
- 6. Appraise performance**

# **Management by Objectives (MBO)**

## **Strengths:**

- 1.Helps link goals & plans**
- 2.Clarifies priorities, and expectations**
- 3.Fosters organisational communication**
- 4.Builds member motivation**

# **Management by Objectives (MBO)**

## **Weaknesses:**

- 1.Needs strong, enduring  
commitment**
- 2.Requires training of  
managers**
- 3.May be misused  
(i.e. for punishment)**
- 4.Risk of dominance of  
quantitative goals**

# **Principles of Management**

**Learning Session # 25**

***Dr. A. Rashid Kausar***

# **Re-cap of Session # 24**



# **Strategic Management**

**Large scale action plan  
for interacting with the  
environment to achieve  
long term goals.**

# **Concepts of Strategic Management**

**1.Strategic management process**

**2.Importance of strategic management**

**3.Levels of strategy**

# **Strategic Management**

**Strategic Management Process:**

**‘Process through which  
managers Formulate and  
Implement strategies geared to  
optimising strategic goal  
achievement, given available  
external and internal  
environmental conditions.’**

# **Strategic Management**

## **Strategy Formulation**

- 1. Identify Mission & Goals**
- 2. Competitive Situation  
Analysis (external &  
internal)**
- 3. Develop / Formulate  
strategies to achieve  
identified goals**

# **Strategic Management**

**Strategy**

**Implementation**

**1.Implement Plans**

**2.Control / Monitor  
execution of Plans**

# **Importance of Strategic Management**

**Important because:**

**1.Helps organisations to develop a competitive advantage (significant edge over competition in dealing with competitive forces).**

# **Importance of Strategic Management**

**Important because:**

- 2.Provides a sense of long-term direction for organisation members.**
- 3.Highlights need for innovation.**
- 4.Process involves members and fosters understanding of goals/strategy.**

# **Importance of Strategic Management**

**Competitive Advantage**

**Direction for  
the Organisation**

**Supports Innovation**

**Builds Manager  
Commitment**



# **Principles of Management**

**Learning Session # 26**

***Dr. A. Rashid Kausar***

**Re-cap**  
**of**  
**Session # 25**

# **What Would You Do?**

**You are Head of a  
Furniture Company...**

**The furniture industry is  
highly fragmented and  
You like to turn  
this into opportunities!**

# **What Would You Do?**

**You like to formulate strategies that include low prices and convenient packaging.**

***Will the strategies work on a global basis?***

***How can You identify opportunities and threats, and select a competitive advantage strategy?***

# **Strategic Management**

**A way of approaching  
business opportunities  
and challenges.**

# Strategic Management

A comprehensive and ongoing management process aimed at formulating and implementing effective strategies which align the organization with its environment to achieve major organizational goals.

# **Importance of Strategic Management**

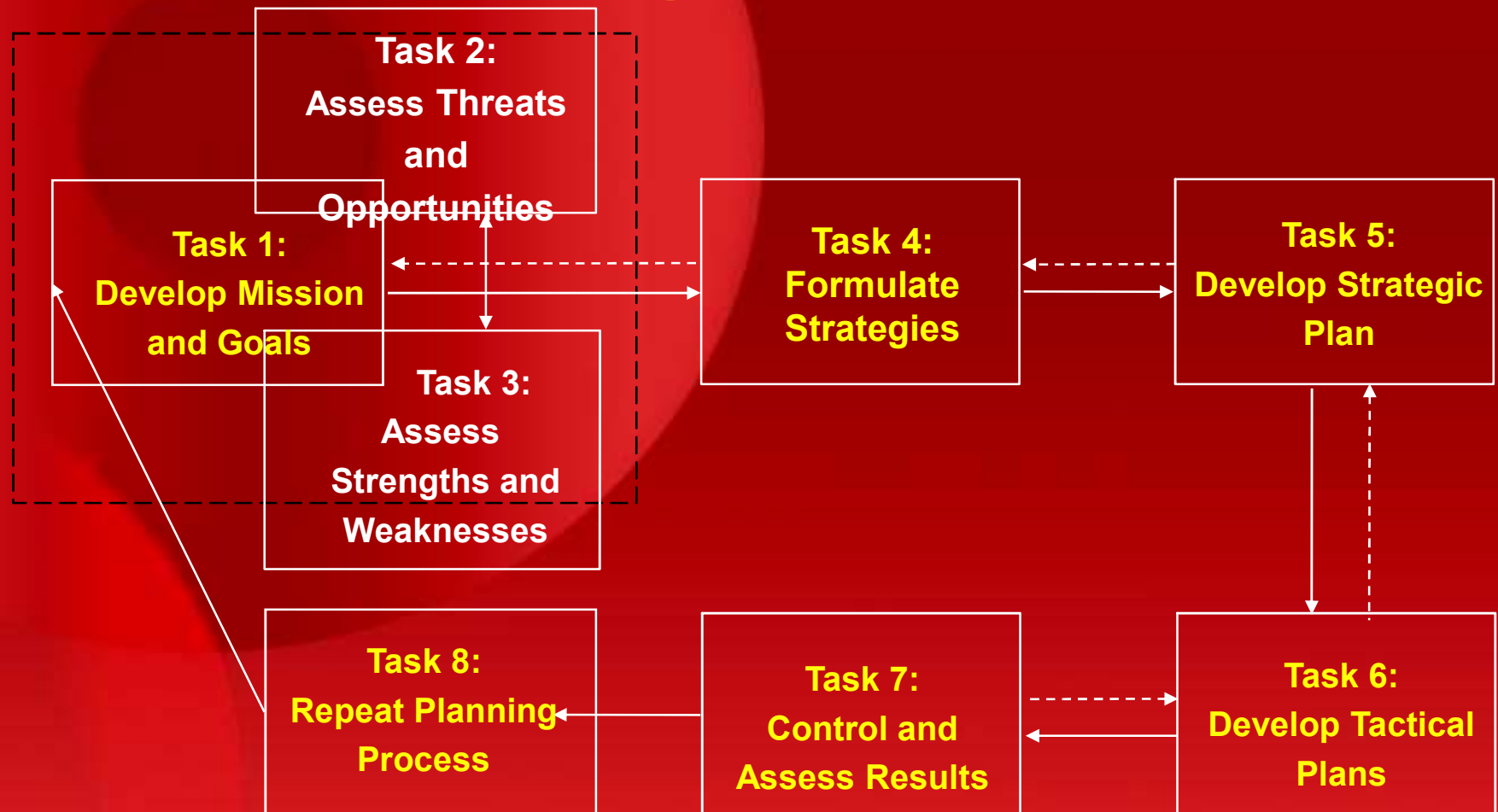
**1.Direction for  
Organization**

**2.Competitive Advantage**

**3.Builds Managers  
Commitment**

**4.Supports Innovation**

# The Basic Strategic Planning Process





# **The Components of Strategy**

## **1. Distinctive Competence**

**Something the  
organization does  
exceptionally well!**

# **The Components of Strategy**

## **2. Scope**

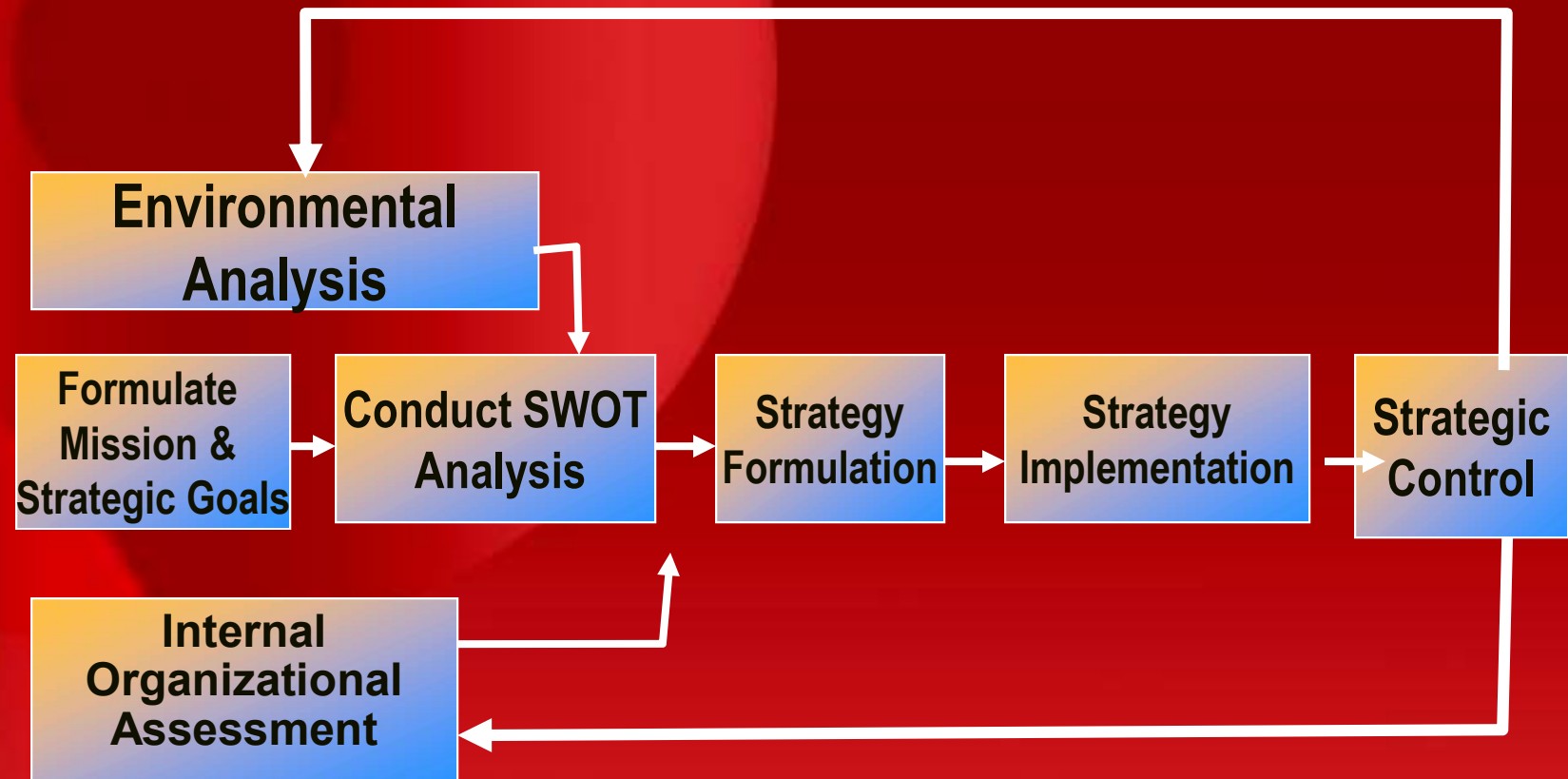
**Range of markets in which the organization will compete**

# **The Components of Strategy**

## **3. Resource Deployment**

**How an organization distributes its resources across areas in which it competes**

# Strategic Management Process



# Competitive analysis in strategy formulation

## SWOT analysis:

Method of analysing an organisation's competitive situation involving assessing organisational strengths (S), weaknesses (W), environmental opportunities (O) and threats (T).

# Situational Analysis



# Situational Analysis

I  
N  
T  
E  
R  
N  
A  
L

**Strengths**

**1. Distinctive  
Competence**

**2. Core  
Capability**

**Weaknesses**

E  
X  
T  
E  
R  
N  
A  
L

**Opportunities**

- Environmental Scanning
- Strategic Groups
- Shadow-Strategy Task Force

**Threats**

# **Principles of Management**

**Learning Session # 27**

***Dr. A. Rashid Kausar***



# **Re-cap of Session # 26**

# Environmental Assessment



# **Competitive Analysis in Strategy Formulation**

**Environmental  
Assessment:**

**Five Competitive  
Forces Model (Porter)**

# **Competitive Analysis in Strategy Formulation**

- 1. Rivalry among Existing Firms**
- 2. Bargaining power of Customers**
- 3. Bargaining power of Suppliers**
- 4. Threat of New Entrants**
- 5. Threat of Substitute products/services within the Industry.**

# Levels of Strategy



**Corporate level**

**Business level**

**Functional level**

# **Types of Strategic Alternatives**

## **1. Corporate-level Strategy**

**The set of strategic alternatives that an organization chooses from as it manages its operations simultaneously across several industries and several markets.**

# Levels of strategy

## Corporate Level Strategy:

‘Type of strategy addressing what businesses the organisation will operate, how strategies of those businesses will be co-ordinated to strengthen the organisation’s competitive position, and how resources will be allocated among businesses.’

# **Types of Strategic Alternatives**

## **2. Business-level Strategy**

**How the organization conducts business in a particular industry.**



# **Levels of strategy**

## **Business Level Strategy:**

**‘Type of strategy concentrating on the best means of competing within a particular business while also supporting corporate level strategy.’**

# **Types of Strategic Alternatives**

## **3. Functional-level Strategy**

**Strategy developed for specific functional areas such as marketing ,and finance.**

# Levels of strategy

## Functional Level Strategy:

‘Type of strategy focussing on action plans for managing a particular functional area within a business in a way that supports business level strategy.’

# **Competitive Analysis in Strategy Formulation**

**Before managers devise an effective strategy for getting a competitive edge, they must analyse the organisation's competitive situation.**

**This is done through:**

**Environmental analysis (external)**

**Organisational assessment (internal)**

# **Formulating Corporate Level Strategy**

**Corporate level strategy  
is the overall strategy  
an organisation follows.**

# **Formulating Corporate Level Strategy**

**Its development involves  
selecting  
a Grand Strategy and  
using Portfolio-Strategy  
approaches to determine the  
various businesses making  
up the organisation:**

# Corporate-Level Strategies



**Portfolio  
Strategy**



**Grand  
Strategies**

|                                     |                                                                                                                          |
|-------------------------------------|--------------------------------------------------------------------------------------------------------------------------|
| <b>Corporate-Level<br/>Strategy</b> | <b>The overall organizational strategy that addresses the question “What business(es) are we in or should we be in?”</b> |
|-------------------------------------|--------------------------------------------------------------------------------------------------------------------------|

# **Formulating Corporate Level Strategy**

## **Portfolio Strategies:**

**Method of analysing an organisation's mix of businesses in terms of both individual and collective contributions to strategic goals.**



# **Formulating Corporate Level Strategy**

## **1. BCG Growth–Share Matrix**

**Compares businesses in an organisation's portfolio on the basis of relative market market share and market growth rate.**

# BCG Matrix



# **Formulating Corporate Level Strategy**

## **2.Product–Market Evaluation Matrix**

**Compares businesses'  
strength against  
product/market life-  
cycle.**

# **Formulating Corporate Level Strategy**

## **Grand Strategies**

### **1. Growth**

**Concentration**

**Vertical  
integration**

**Diversification**

### **2. Stability**

**Harvest**

**Turnaround**

### **3. Defensive**

**Divestiture**

**Bankruptcy**

**Liquidation**

# **Formulating Business Level Strategy**

- 1. Business level strategy is concerned with how a particular business competes.**
- 2. The best known approach for strategy development is based on Porter's research.**

# **Formulating Business Level Strategy**

## **Generic Business Strategies:**

**Porter outlined three generic business level strategies to gain competitive advantage over other firms operating in the same industry.**

# **Formulating Business Level Strategy**

**Generic Business Strategies  
(Porter)**

## **1. Cost Leadership Strategy**

**Emphasises operational  
efficiency i.e. overall costs are  
lower than competitors.**

# **Formulating Business Level Strategy**

**Generic Business Strategies  
(Porter):**

## **2.Differentiation Strategy**

**Attempts to develop  
products/services viewed as  
unique in the industry.**



# **Formulating Business Level Strategy**

**Generic Business Strategies  
(Porter):**

## **3.Focus strategy**

**Concentration on a segment,  
portion of a market.**

# **Formulating Functional Level Strategy**

**Functional level strategies spell out specific ways that functional areas can bolster business level strategy. For example:**

# **Formulating Functional Level Strategy**

**Under a product  
*differentiation* strategy, the  
R & D dept. may accelerate  
the innovation process to  
provide new products in  
advance of competitors.**

# **Strategy Implementation**

**Strategy implementation involves management activities needed to put the strategy in motion, institute strategic controls for monitoring progress, and ultimately achieve organisation goals.**

# Strategy Implementation

**Strategy  
formulation**

**Carry out plans:**

- Technology
- Human resources
- Reward systems
- Decision processes
- Structure

**Maintain control:**

- Control systems
- Adjustments

# Formulation and Implementation Across Strategic Alternatives

## Corporate Strategy Formulation

*Decisions about which markets to compete in*

## Implementation

*Competing in the markets via existing operations, mergers, acquisitions, new ventures, divestitures*

## Business Strategy Formulation

*Decisions about how to compete in each market*

## Implementation

*Carrying out the business-level strategies chosen for each business*

## Functional Strategy Formulation

*Decisions about how to address each function within the organization*

## Implementation

*Carrying out the functional-level strategies chosen for each business function*



# **Principles of Management**

**Learning Session # 28**

***Dr. A. Rashid Kausar***

**Re-cap**  
**of**  
**Session # 27**



# **The Nature of Entrepreneurship**

**Entrepreneurship:** The process of planning, organizing, operating, and assuming the risk of a business venture.

**Entrepreneur:** Someone who engages in entrepreneurship.

# **The Nature of Entrepreneurship**

## **Small Business:**

**A business that is privately owned by one individual or a small group of individuals; it has sales and assets that are not large enough to influence its environment.**

# **Strategy for Entrepreneurial Organizations**

**Three Basic Strategic  
Challenges:**

**1.Choosing an Industry in  
which to compete.**

# **Strategy for Entrepreneurial Organizations**

**2. Emphasizing  
Distinctive  
Competencies.**

**3. Writing a Business Plan.**

# **Writing a Business Plan**

**A Business Plan is a  
document that  
summarizes the business  
strategy and structure.**

**It should include:**

# **Writing a Business Plan**

1. Business Goals  
and  
Objectives.

# **Writing a Business Plan**

2. Strategies used  
to achieve  
these goals and  
objectives.

# Writing a Business Plan

3. A plan of **HOW**  
the entrepreneur  
will implement  
these strategies.



# Writing a Business Plan

## *A PERT Diagram for Business Planning*



1. Decide to go into business
2. Analyze yourself
3. Choose product or service
4. Research the market
5. Forecast sales revenues
6. Select site
7. Develop production plan

8. Develop marketing plan
9. Develop organizational plan
10. Develop legal plan
11. Develop insurance plan
12. Develop accounting plan
13. Develop financial plan
14. Write cover letter

# **Financing the New Business**

## **1. Personal Resources**

**Using your own money and money borrowed from friends and relatives to finance the business.**

# **Financing the New Business**

## **2. Strategic Alliances**

**Partnering with established firms such as suppliers in a mutually beneficial relationship.**

# **Financing the New Business**

## **3. Lenders**

**Obtaining funding from traditional lenders (e.g., banks, independent investors, and government loans).**

# **Financing the New Business**

## **4. Venture Capital Companies**

**Groups of small investors who provide capital funds to small high-growth potential start-up firms in exchange for an equity position (stock) in the firms.**

# **The Role of Entrepreneurship in Society**

## **Job Creation**

- 1. Small business creates many new jobs in Pakistan.**
- 2. Industry sectors dominated by small business have added the most jobs.**

# **The Role of Entrepreneurship in Society**

## **Innovation**

Historically, major innovations are as likely to come from small businesses as from large firms.

# **Promoting Innovation**

## **Intreneurship:**

**Encourage the take-up of  
entrepreneurship roles by  
organisation members e.g:**

**Idea generator**

**Idea champion**

**Idea sponsor**



# **Promoting Innovation**

**Innovation is critical  
to various  
differentiation  
strategies.**

# Forces for Change & Innovation:



**External: Response to opportunities and threats from the market, regulators and other elements of the environment**

# Forces for Change & Innovation:

**Internal: Strategy & plans, employees' behaviour, change & innovation decisions, cultural change, restructures, technological & leadership change**

# **Promoting Innovation**

**Structure's ability to support strategy can be enhanced by using structural means to encourage innovation.**

# **Principles of Management**

**Learning Session # 29**

***Dr. A. Rashid Kausar***

# **Re-cap of Session # 28**

**POLCA**

**Organizing**

# **Key Concepts**

## **Organizing**

**Deciding how to best  
group organizational  
activities and resources!**



# **Key Concepts**

## **Responsibility**

**Obligation to carry out  
duties and achieve goals  
related to a position.**

# **Key Concepts**

## **Authority**

**Right to make decisions,  
carry out actions, and  
direct others in matters  
related to the duties and  
goals of a position.**

# **Key Concepts**

## **Accountability**

**Requirement to provide  
satisfactory reasons for  
significant deviations from  
duties or expected results.**

# **Key Concepts**

## **Delegation**

**Assignment of part of a manager's work to others, along with both responsibility and authority necessary to achieve expected results.**

# **Key Concepts**

## **Autonomy**

**Amount of discretion allowed  
in determining schedules  
and work methods for  
achieving required output.**

# **Key Concepts**

## **Feedback**

**Degree to which the job  
provides for clear and timely  
information about  
performance results.**

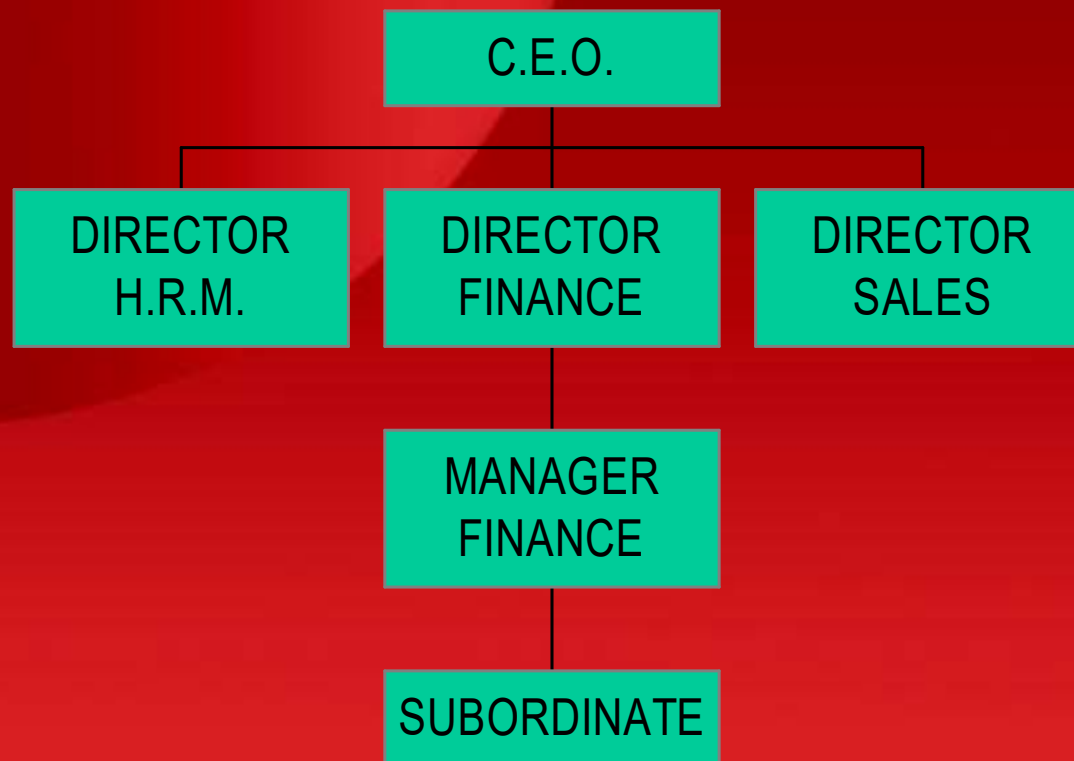
# **Key Concepts**

## **Organization Chart**

**Line diagram depicting  
broad outlines of an  
organization's structure!**

# Nature of Organisational Chart/Structure

ABC INC.





# Principles of Chart Design:

- 1. As few hierarchical levels as possible.**
- 2. Charts should show who has authority over who.**
- 3. Charts should show official lines of responsibility & communication.**

# **Key Concepts**

## **Organization Structure**

**Set of building blocks that  
can be used to configure  
an organization!**

# **Nature of Organisational Structure**

**Formal pattern of interactions and co-ordination designed by management to link the tasks of individuals and groups in achieving organisational goals.**

# **Nature of Organisational Structure**

**Four elements:**

**1. Assignment of tasks  
and responsibilities to  
individuals and units.**

# **Nature of Organisational Structure**

**2.** Clustering these (units and people) to form a hierarchy.

**3.** Mechanisms for vertical co-ordination.

**4.** Mechanisms for horizontal co-ordination.

# **6 Basic Building Blocks**

- 1. Designing Jobs  
(Job Specialization)**
- 2. Grouping Jobs  
(Departmentalization)**
- 3. Establishing Reporting Relationships**

# **Principles of Management**

**Learning Session # 30**

***Dr. A. Rashid Kausar***

# **Re-cap of Session # 29**



# **6 Basic Building Blocks**

- 1. Designing Jobs  
(Job Specialization)**
- 2. Grouping Jobs  
(Departmentalization)**
- 3. Establishing Reporting Relationships**

# **6 Basic Building Blocks**

**4. Distributing Authority**

**5. Coordinating Activities**

**6. Differentiating Between Positions**

# **1. Job Design**

**The determination of  
an individual's  
work-related  
responsibilities.**

# **1. Job Design**

**Specification of task activities associated with a particular job**

# **Job Specialization**

**Degree to which the overall task of the organization is broken down into smaller components.**

# **Job Specialization**

## **Benefits**

- 1. Workers can become proficient at a task**
- 2. Transfer time between tasks decrease**
- 3. Specialized equipment can be developed**
- 4. Employee replacement becomes easier**

## **Limitations**

- 1. Employee boredom and dissatisfaction**
- 2. Anticipated benefits do not always occur**

## **2. Grouping Jobs: Departmentalization**

**The process of grouping jobs according to some logical arrangement.**

# **2. Grouping Jobs: Departmentalization**

## **Rationale for Departmentalization**

**Organizational growth exceeds the owner-manager's capacity to personally supervise all of the organization.**

**Additional managers are employed and assigned specific employees to supervise.**



# **Departmentalization**

## **4 Basic Types:**

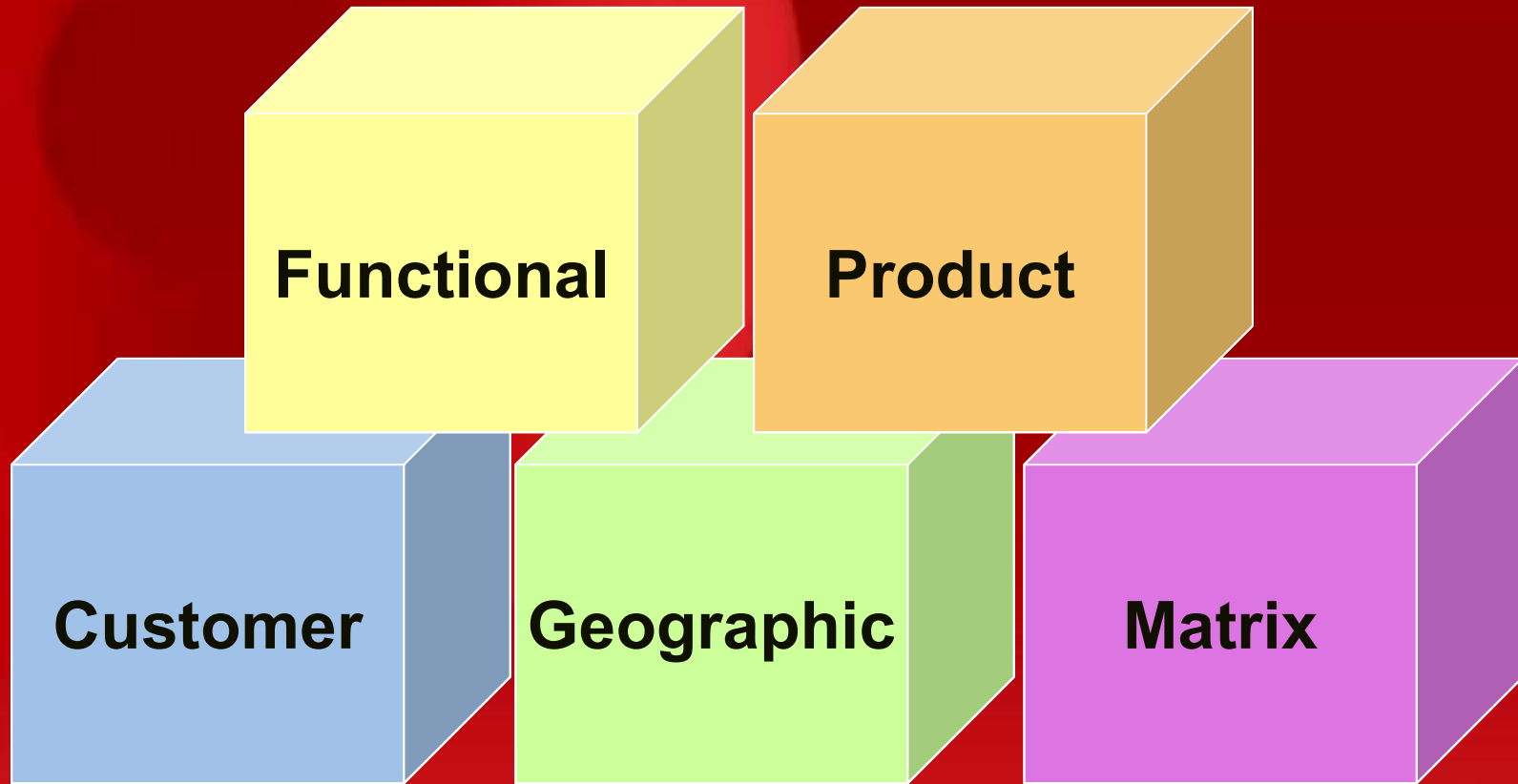
**1. Functional**

**2. Product**

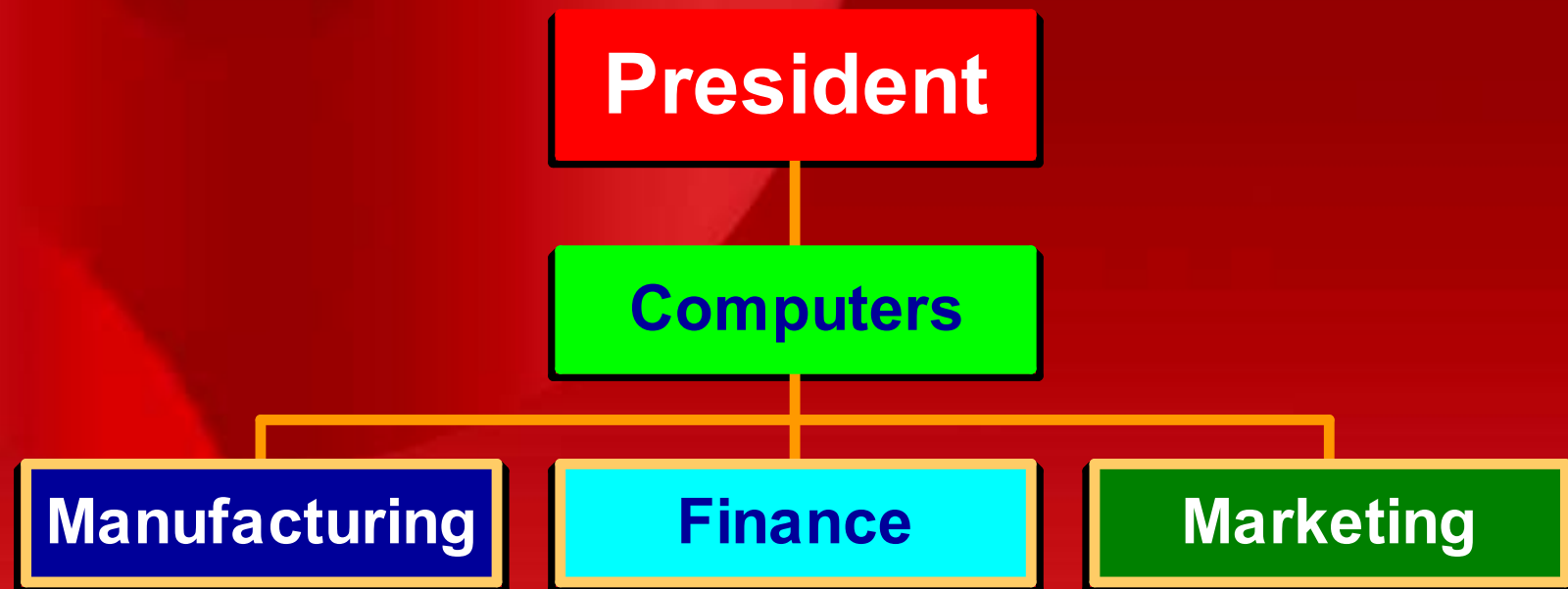
**3. Customer**

**4. Location**

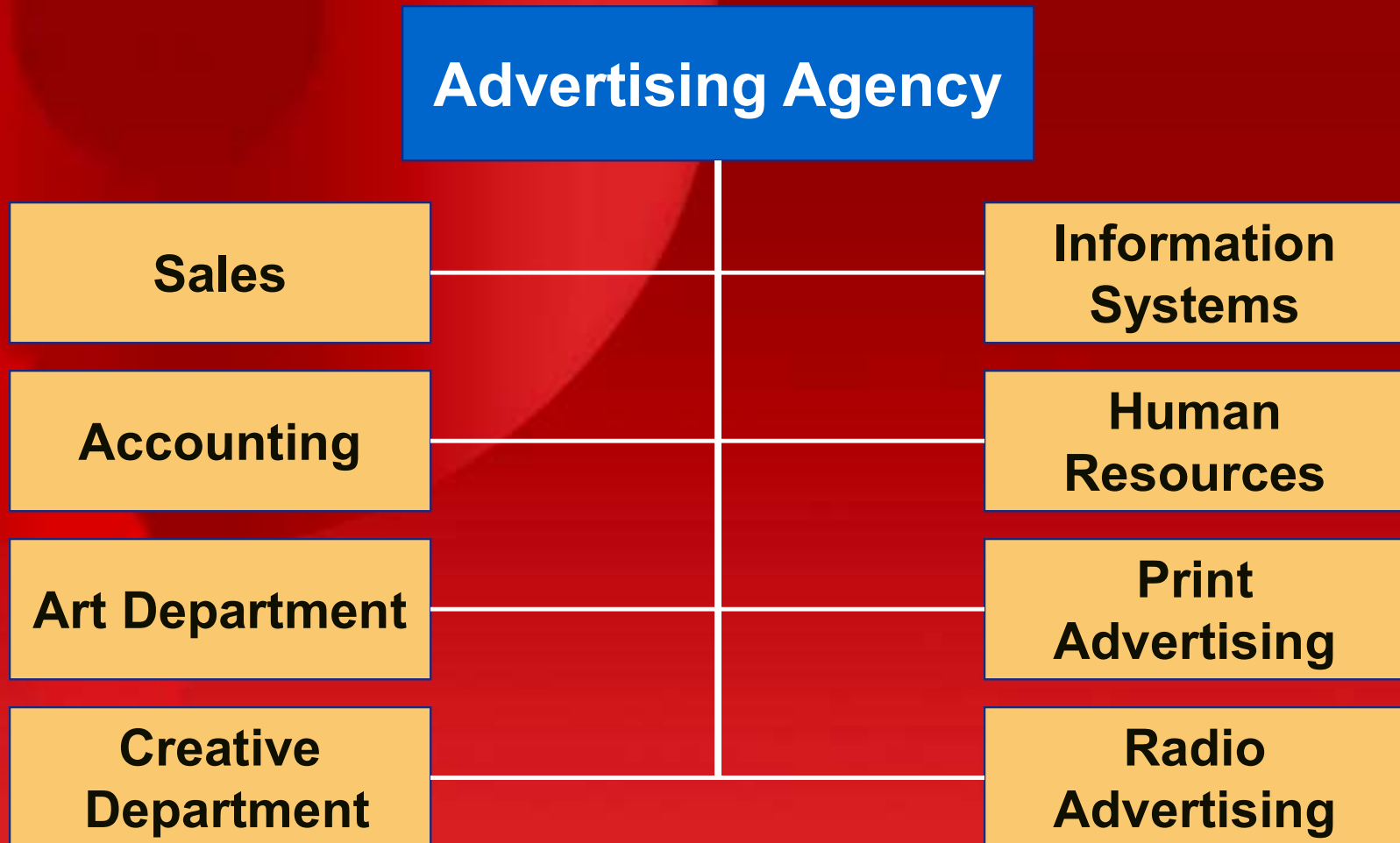
# Departmentalization



# Functional Departmentalization

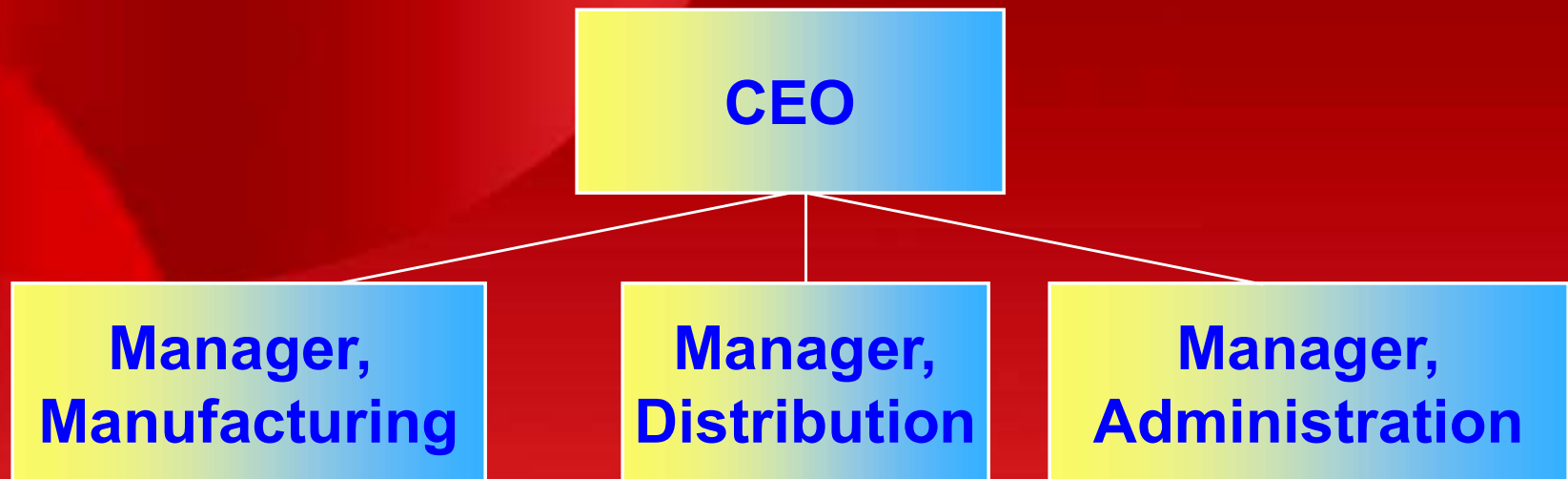


# Functional Departmentalization



# Functional Structure

Structure in which positions are grouped according to their main functional (or specialised) area.



# **Functional Departmentalization**

## **Advantages**

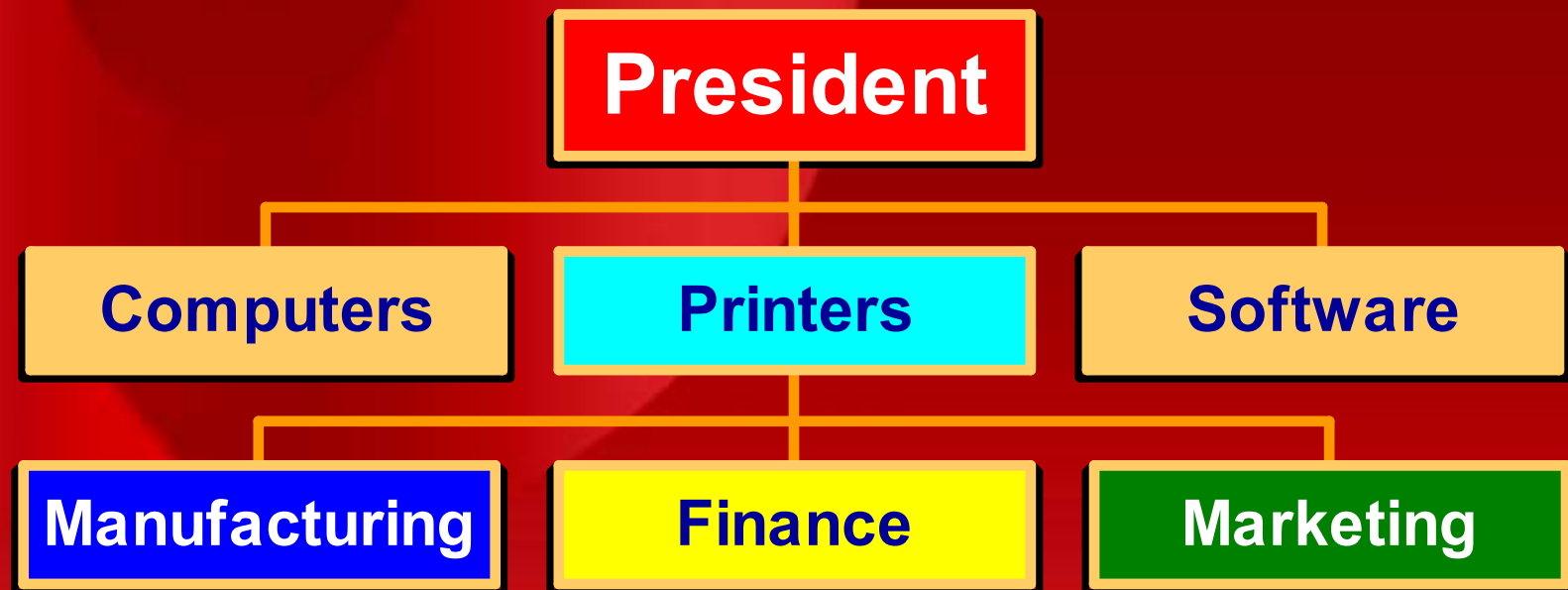
1. Department can be staffed by experts
2. Supervision is facilitated
3. Coordination within department is easier

# **Functional Departmentalization**

## **Disadvantages**

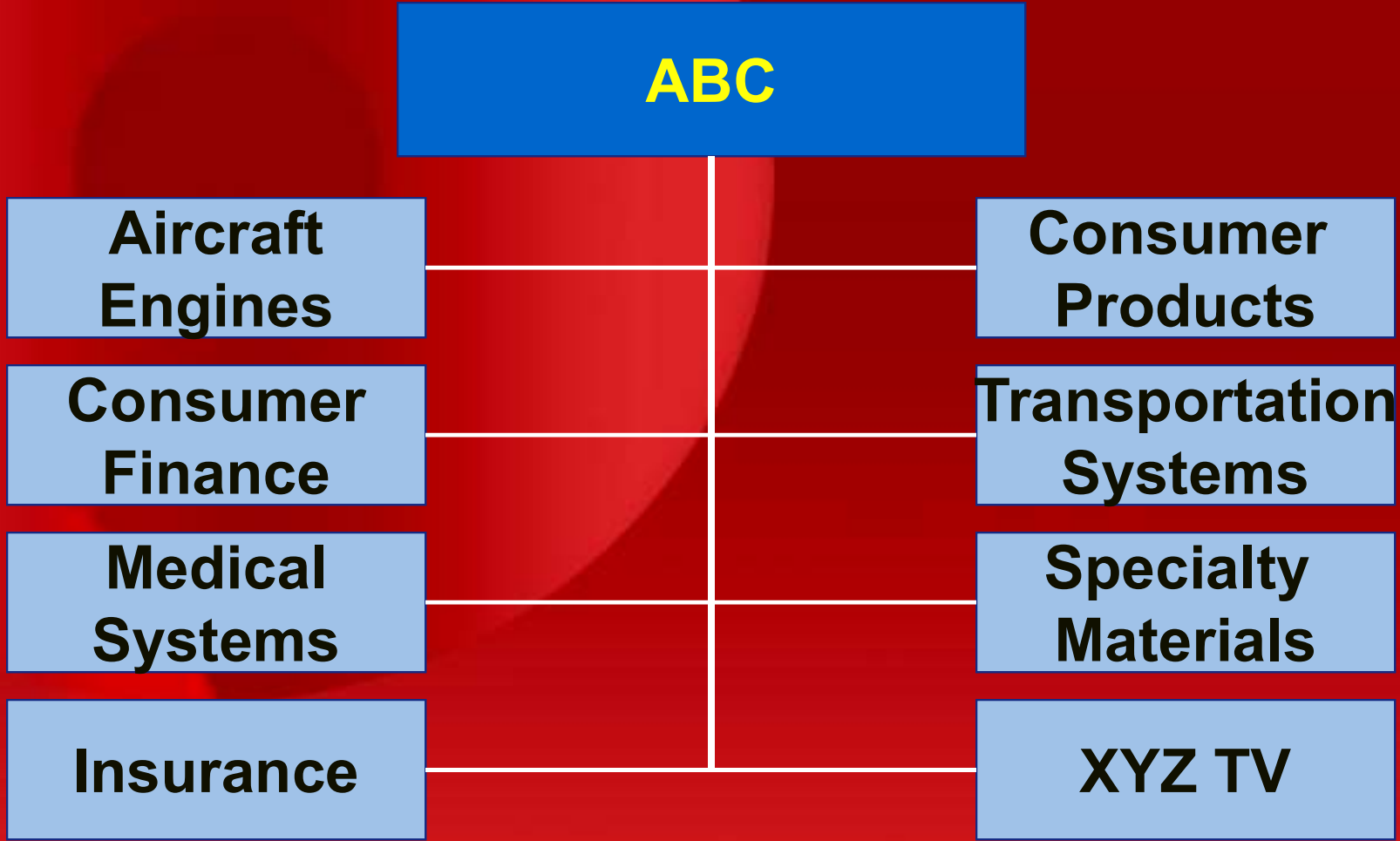
- 1. Decision making becomes slow and bureaucratic**
- 2. Lose sight of organizational goals/issues**
- 3. Accountability and performance are difficult to monitor**

# Product Departmentalization





# Product Departmentalization



# **Product Departmentalization**

## **Advantages**

- 1. Managers specialize,  
but have broader experiences**
- 2. Easier to assess work-unit  
performance**
- 3. Decision-making is faster.**

# **Product Departmentalization**

## **Disadvantages**

- 1.Duplication of activities**
- 2.Difficult to coordinate across departments**

# Customer Departmentalization



# **Customer Departmentalization**

| <b>Advantages</b>                                                                                      | <b>Disadvantages</b>                                                                                                                                           |
|--------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>Focuses on customer needs</b></p> <p><b>Products and services tailored to customer needs</b></p> | <p><b>Duplication of resources</b></p> <p><b>Difficult to coordinate across departments</b></p> <p><b>Efforts to please customers may hurt the company</b></p> |

# **Principles of Management**

**Learning Session # 31**

***Dr. A. Rashid Kausar***

# **Re-cap of Session # 30**

# **6 Basic Building Blocks**

- 1. Designing Jobs  
(Job Specialization)**
- 2. Grouping Jobs  
(Departmentalization)**
- 3. Establishing Reporting Relationships**



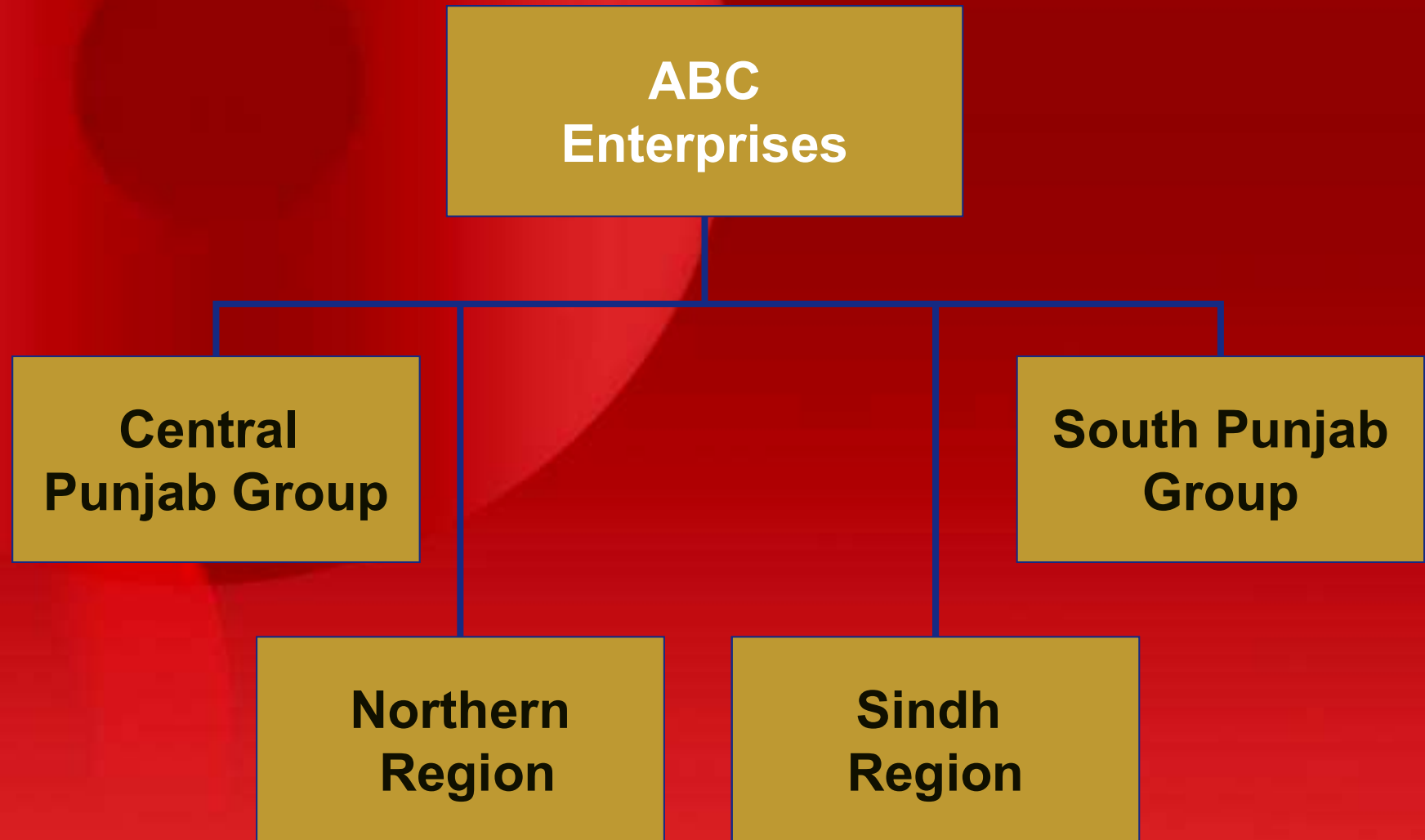
# **6 Basic Building Blocks**

**4. Distributing Authority**

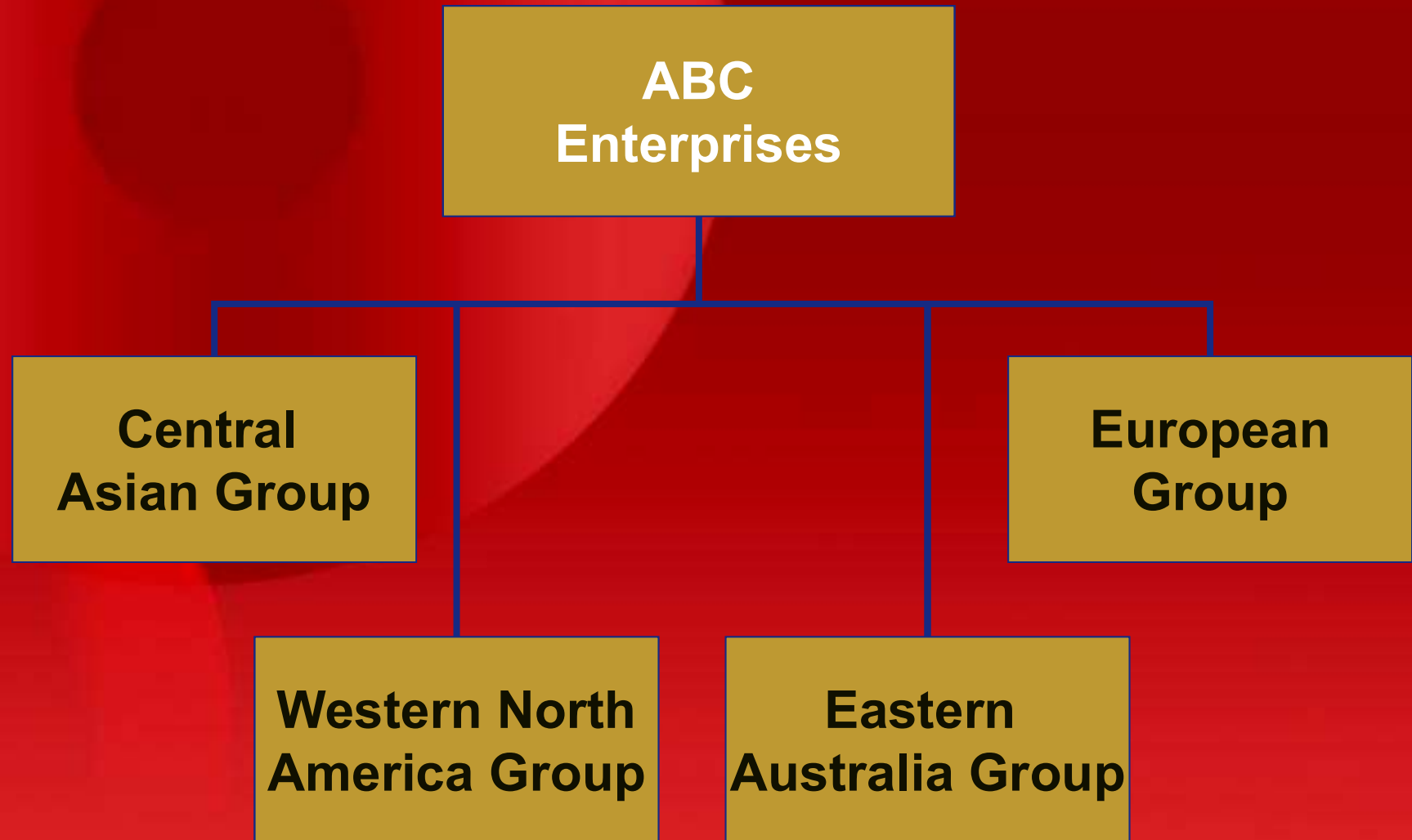
**5. Coordinating Activities**

**6. Differentiating Between Positions**

# **Geographic Departmentalization**



# **Geographic Departmentalization**



# **Geographic Departmentalization Advantages**

**Responsive to the  
demands of different  
market areas.**

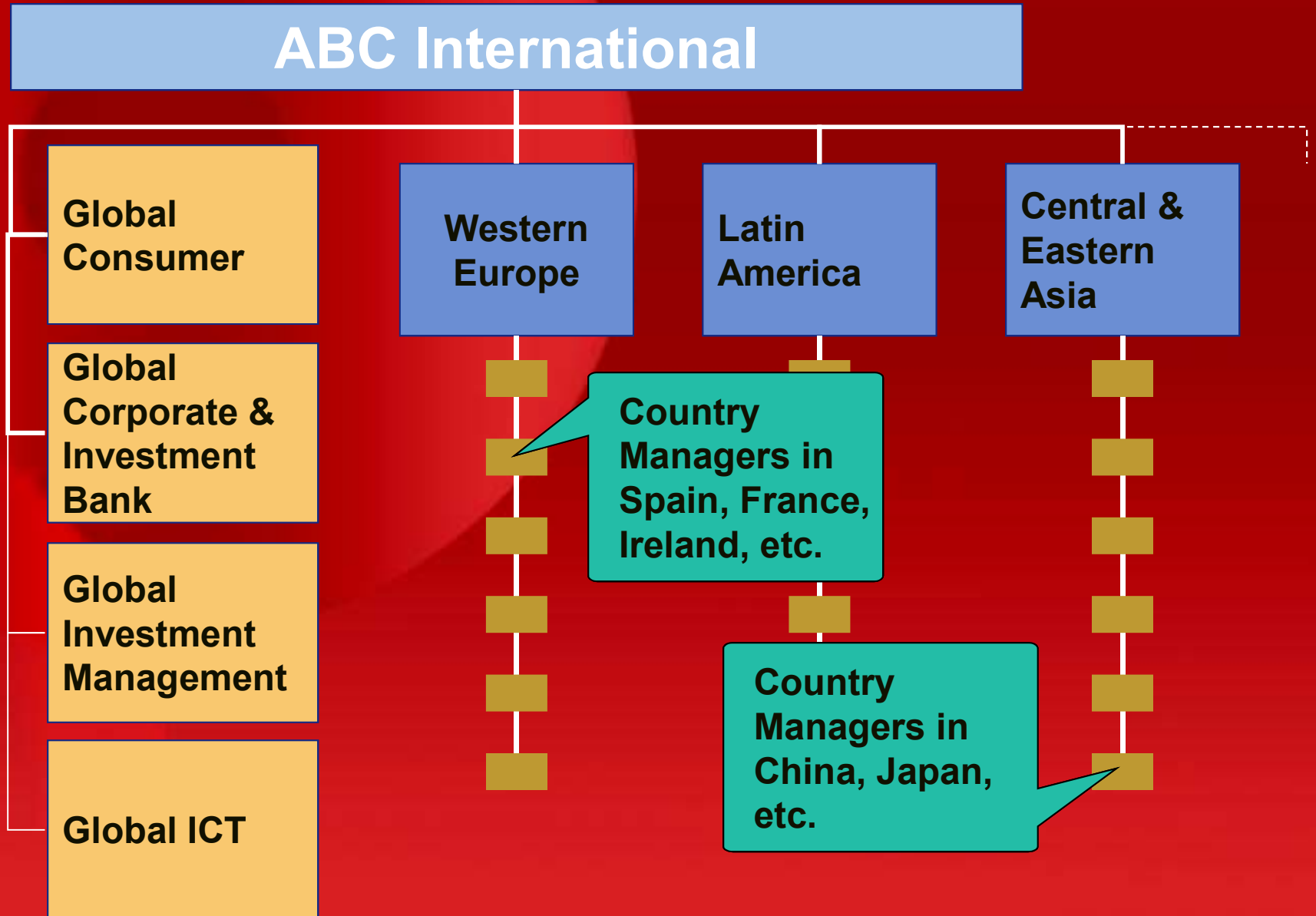
**Unique resources  
located close to the  
customer**

# **Geographic Departmentalization Disadvantages**

**Duplication of resources.**

**Difficult to coordinate  
across departments.**

# Matrix Departmentalization



# **Matrix**

## **Departmentalization**

### **Advantages**

**Efficiently manage  
large, complex tasks**

**Effectively carry out  
large, complex tasks**

# **Matrix Departmentalization Disadvantages**

**Requires high levels of coordination.**

**Conflict between bosses  
requires high levels of  
management skills.**



# **3. Establishing Reporting Relationships**

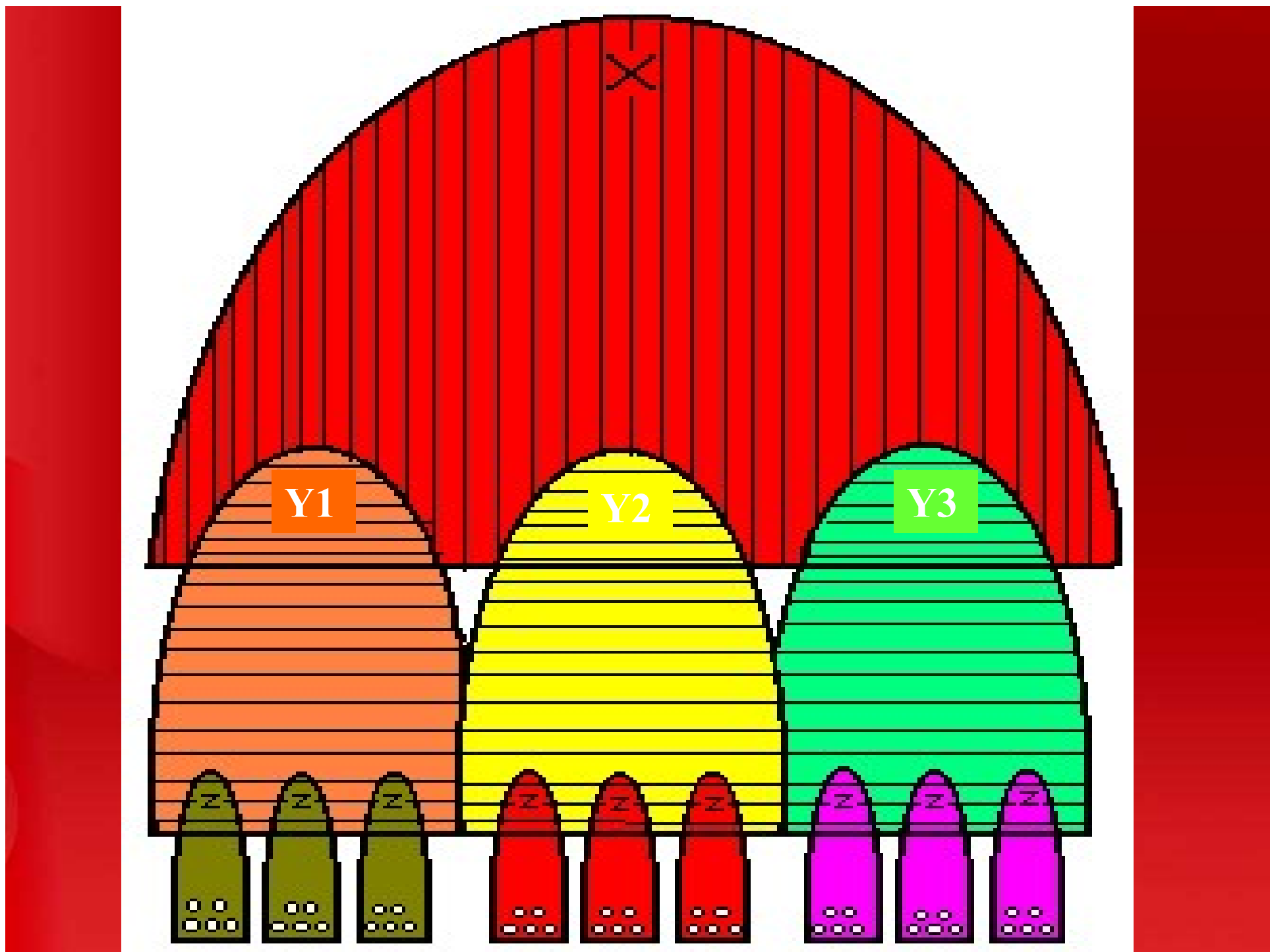
# Chain of Command



# **Chain of Command**

**The vertical line of  
authority in an  
organization.**

**Clarifies who reports to  
whom.**



# **Unity of Command**

**Each person within an organization must have a clear reporting relationship to one and only one boss.**

# **Span of Management (Span of Control)**

**The number of people  
who report to a  
particular manager.**

# **Span of Management (Span of Control)**

**Narrow versus Wide**

**Operative Span - Upto 30  
Subordinates**

**Executive Span - 3 to 9  
Subordinates**

# **Tall versus Flat Organizations**



# **Tall Organizations**

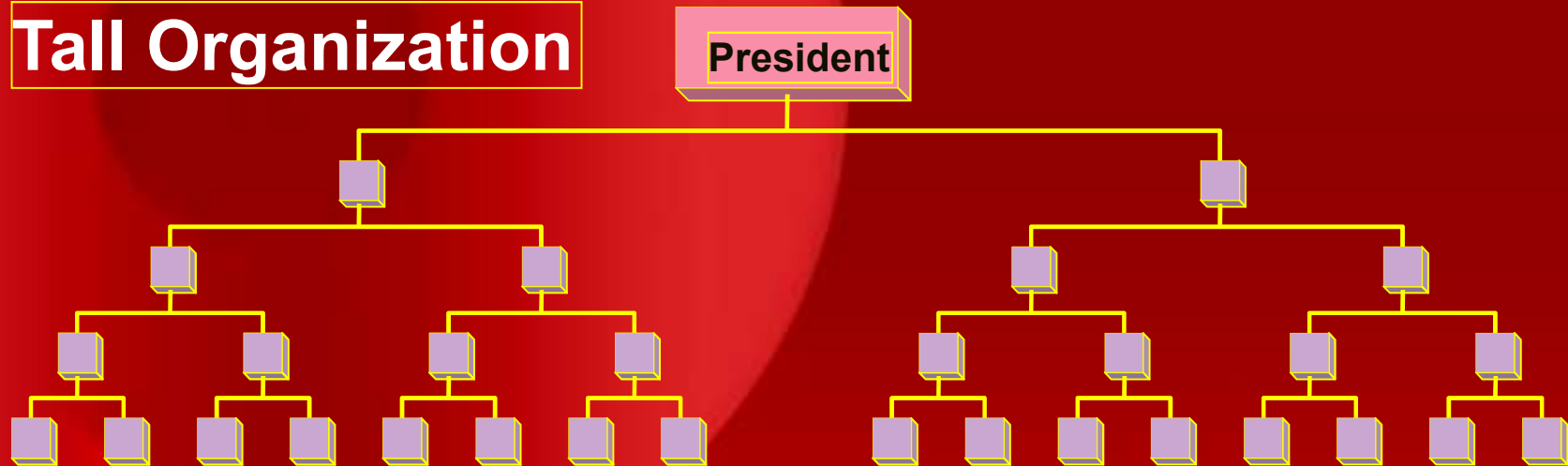
- 1. More expensive .**
- 2. Communication can be difficult because of the number of channels through which it must pass.**

# **Flat Organizations**

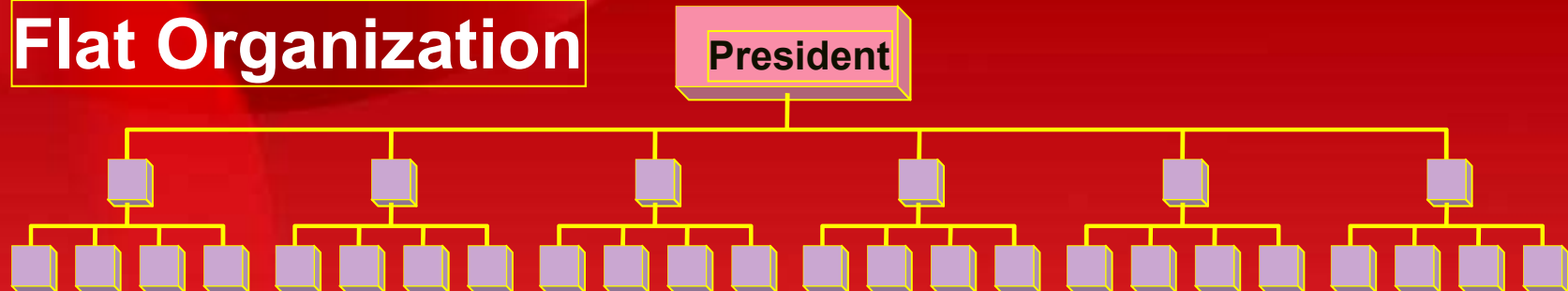
- 1. Leads to higher levels of employee morale and productivity.**
- 2. More administrative responsibility for managers.**

# Tall Versus Flat Organizations

**Tall Organization**



**Flat Organization**



# **4. Distributing Authority**

# **Delegation**

**The process by which managers assign a portion of their total workload to others.**

# **Reasons for Delegation**

**1. To enable the manager to get more work done by utilizing the skills and talents of subordinates.**

# **Reasons for Delegation**

**2. To foster the development of subordinates by having them participate in decision making and problem solving that allows them to learn about overall operations and improve their managerial skills.**

# **Degree of Centralization**



# **Centralization of Authority**

**Primary authority  
is held by upper  
management**

# **Decentralization**

**Significant  
authority is found  
in lower levels of  
the organization**

# **5. Coordinating Activities**

# **Coordination**

**The process of linking the activities of the various departments of the organization.**

# **6. Differentiating Between Line & Staff Positions**

# **Line Positions**

**Positions in the direct chain of command that are responsible for the achievement of an organization's goals/profits.**

# **Staff Positions**

**Positions intended  
to provide expertise,  
advice, and support  
to line positions.**

# **Staff Authority**

**The right to advise  
but not command  
others.**

**An activity that  
supports profit  
generation.**



# **Principles of Management**

**Learning Session # 32**

***Dr. A. Rashid Kausar***

# **Re-cap of Session # 31**

# **Job Rotation, Enlargement, and Enrichment**

# **Job Rotation**

**Periodically  
moving workers  
from one specialized  
job to another.**

# **Job Enlargement**

**Increasing the  
number of tasks  
performed  
by a worker.**

# **Job Enrichment**

**Adding more  
tasks and  
authority to an  
employee's job.**

# **Organization Design (OD)**

# **OD Concepts**

**Organizations are not designed and then left intact.**

**Organizations are in a continuous state of change.**



# **OD Concepts**

**Organization's  
design for larger  
organizations is  
extremely complex  
and has many  
variations.**

# **OD Concepts**

**OD is a means  
to implement  
strategies and plans  
to achieve  
organizational goals.**

# Influences on Organization Design



# **Influences on Organization Design**

## **Core Technology**

**1. Technology is the  
conversion processes  
used to transform  
inputs into outputs.**

# **Influences on Organization Design**

## **Core Technology**

**2. A core technology  
is an organization's  
most important  
technology.**

# **Influences on Organization Design**

## **Core Technology**

**3. As the complexity  
of technology  
increases, so do the  
number of levels of  
management.**

# **Unit or Small-Batch Technology**

**Produce  
custom-made products  
for customer .**

# **Large Batch/Mass Production**

**Uses assembly-line  
production methods  
to manufacture large  
quantities of products.**



# **Continuous Process**

**Use continuous-flow processes to convert raw materials by processes and/or machines into finished products.**

# **Influences on Organization Design**

## **Environment**

- 1. Stable environments that remain constant over time.**
- 2. Unstable environments subject to uncertainty and rapid change.**

**Mechanistic organizations**  
that are bureaucratic and  
found most frequently in  
stable environments.

**Organic organizations**  
that are flexible and more  
informal and usually found in  
unstable and unpredictable  
environments.

# Mechanistic Structure



## Tasks

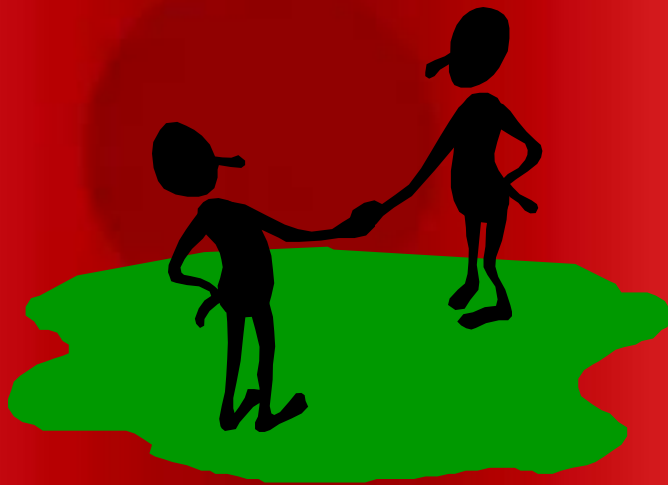
- 1.Specialized
- 2.Rigid

**Prescribed  
Roles**

## Hierarchical

- 1.Control
- 2.Authority
- 3.Communication

# Organic Structure



**Generalized  
Roles**

## Tasks

1. Interdependent
2. Redefined through interaction

## Network

1. Control
2. Authority
3. Communication

# **Emerging Issues in Organization Design**

## **The Team Organization**

**An approach to organizational design that relies almost exclusively on project-type teams, with little or no underlying functional hierarchy.**

# **Emerging Issues in Organization Design**

## **The Virtual Organization**

**An organizational that has little or no formal structure with few permanent employees, and may conduct its business entirely on-line .**

# **Emerging Issues in Organization Design**

## **The Learning Organization**

An organization that works to facilitate the lifelong learning and development of its employees while transforming itself to respond to changing demands and needs.



**POLCA**

**LEADING**

---

# **Leading Motivating and Leadership**

**Leadership**  
is a process of  
influencing others  
to achieve  
organisational goals.

# **Principles of Management**

**Learning Session # 33**

***Dr. A. Rashid Kausar***

# **Re-cap of Session # 32**

# **Nature of Motivation**

**Motivation**  
is the force  
energising ,  
giving direction to,  
and / or leading  
**Human Behaviour.**

# **Motivation**

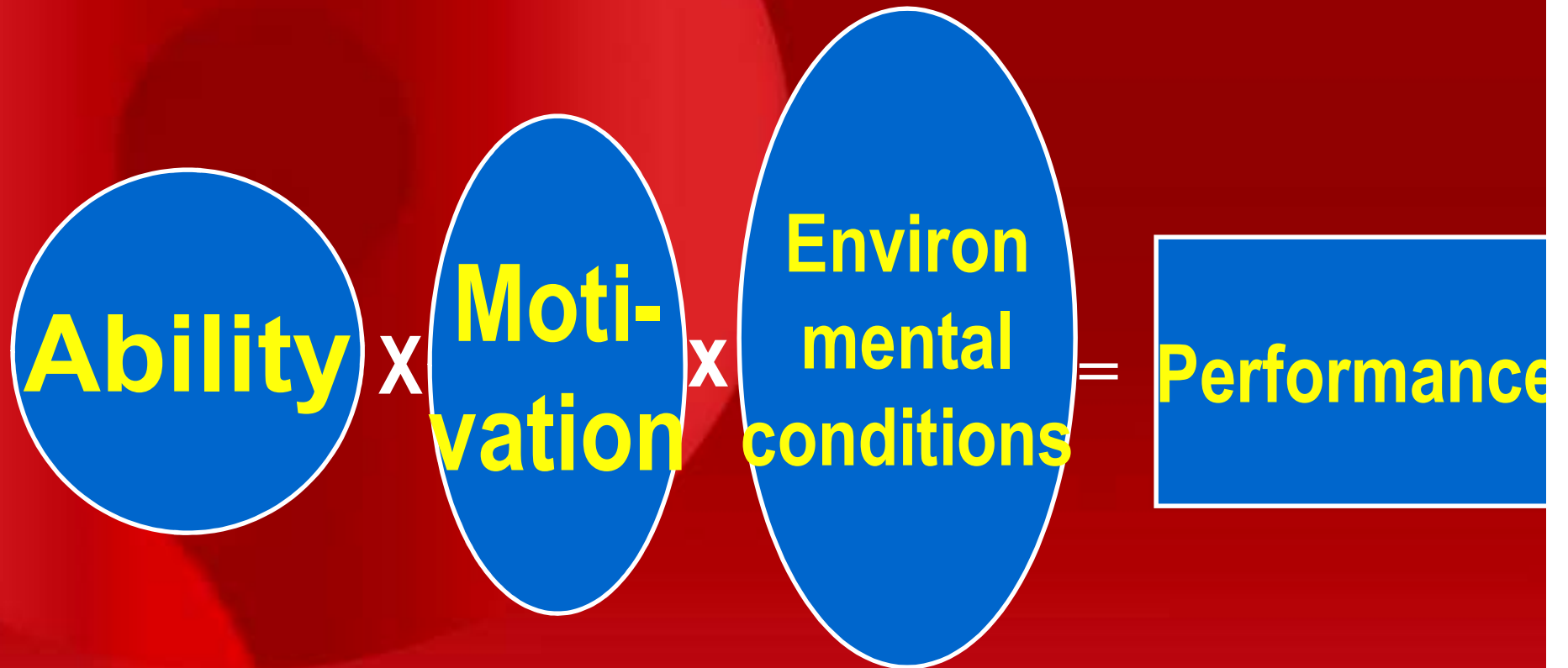
is a complex  
interaction of  
behaviours, needs,  
rewards/reinforcement  
and cognitive activities.



# Nature of Motivation

$$\text{Ability} \times \text{Motivation} = \text{Performance}$$

# Nature of Motivation



# **3 Major Types of Motivation Theories**

# **1. Content Theories of Motivation**

**WHAT  
motivates us?**

## **2.Process Theories of Motivation**

**WHY and HOW  
motivation occurs!**

# 3. Reinforcement Theory

HOW outcomes  
influence  
behaviors!

# The Motivation Framework



# *What do We Need?*

**APPRECIATION** ← **SUCCESS**

**SUCCESS** ← **HARD WORK**

**HARD WORK** ← **MOTIVATION**



# What is Motivation?

The processes that account for an individual's **intensity, direction,** and **persistence** of effort toward attaining a goal

**Intensity:** how hard a person tries

**Direction:** where effort is channeled

**Persistence:** how long effort is maintained

**Unsatisfied Needs** develop a tension and creates a drive to fulfill those needs.

**When those needs are satisfied, it reduces the tension and a state of relaxation is achieved.**

# **Types of Motivators**

**1. Intrinsic**

**2. Extrinsic**

# **Motivators**

## **Intrinsic**

**A person's internal desire to do something, due to such things as interest, challenge, and personal satisfaction.**

# **Motivators**

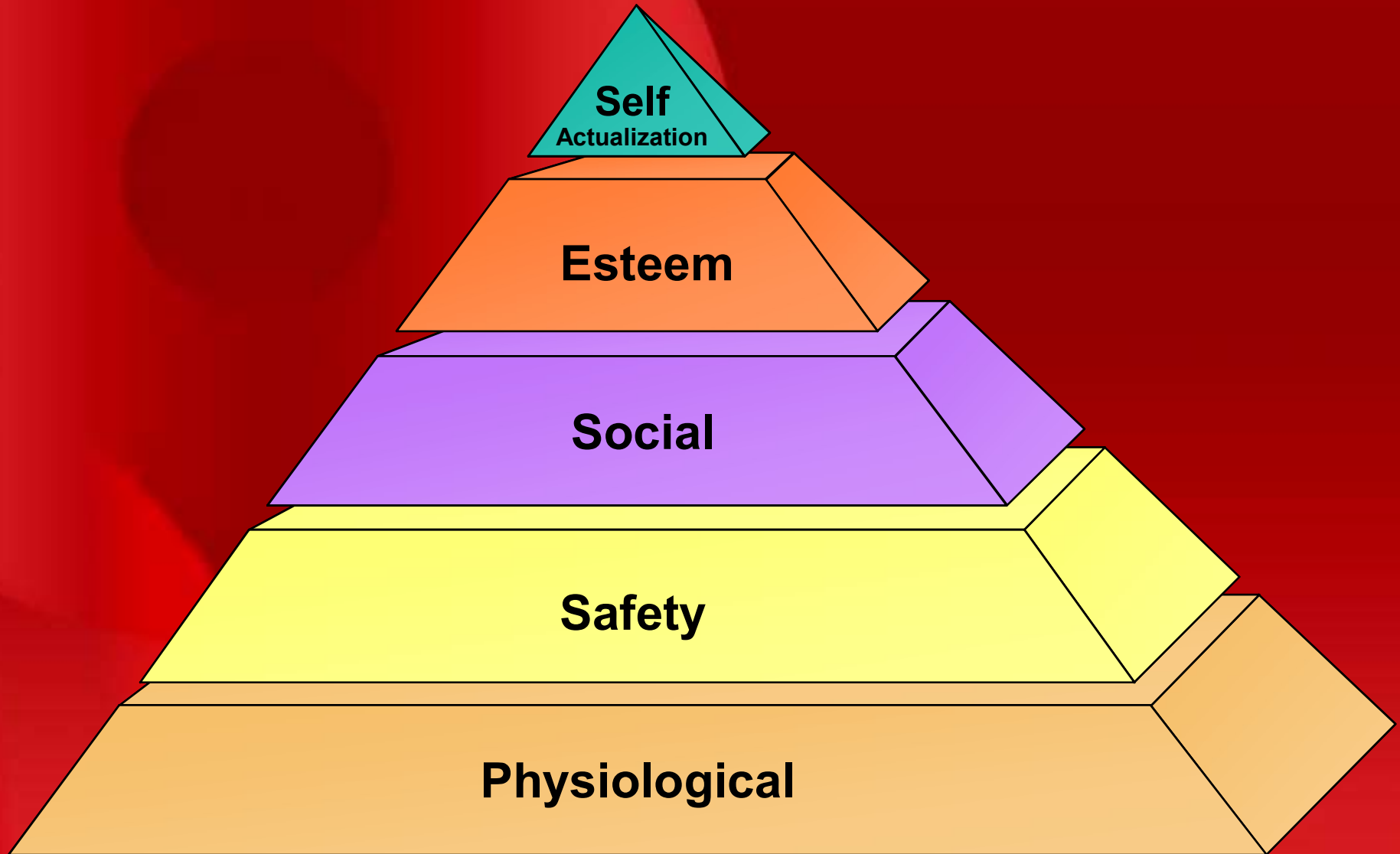
## **Extrinsic**

**Motivation that comes from outside the person, such as pay, bonuses, and other tangible rewards.**

# **Needs Theories**

- 1. Hierarchy of Needs Theory  
(Maslow)**
- 2. Two-Factor Theory  
(Herzberg)**
- 3. ERG Theory (Aldefefer)**
- 4. Acquired Needs Theory  
(McClelland)**

# Maslow's Hierarchy of Needs



# **Principles of Management**

**Learning Session # 34**

***Dr. A. Rashid Kausar***



**Re-cap**  
**of**  
**Session # 33**

# **Needs and its Satisfaction**

## **Needs**

- 1. Physical or Psychological requirements.**
- 2. It must be met to ensure survival and well being!**

**Unmet needs motivate People!**

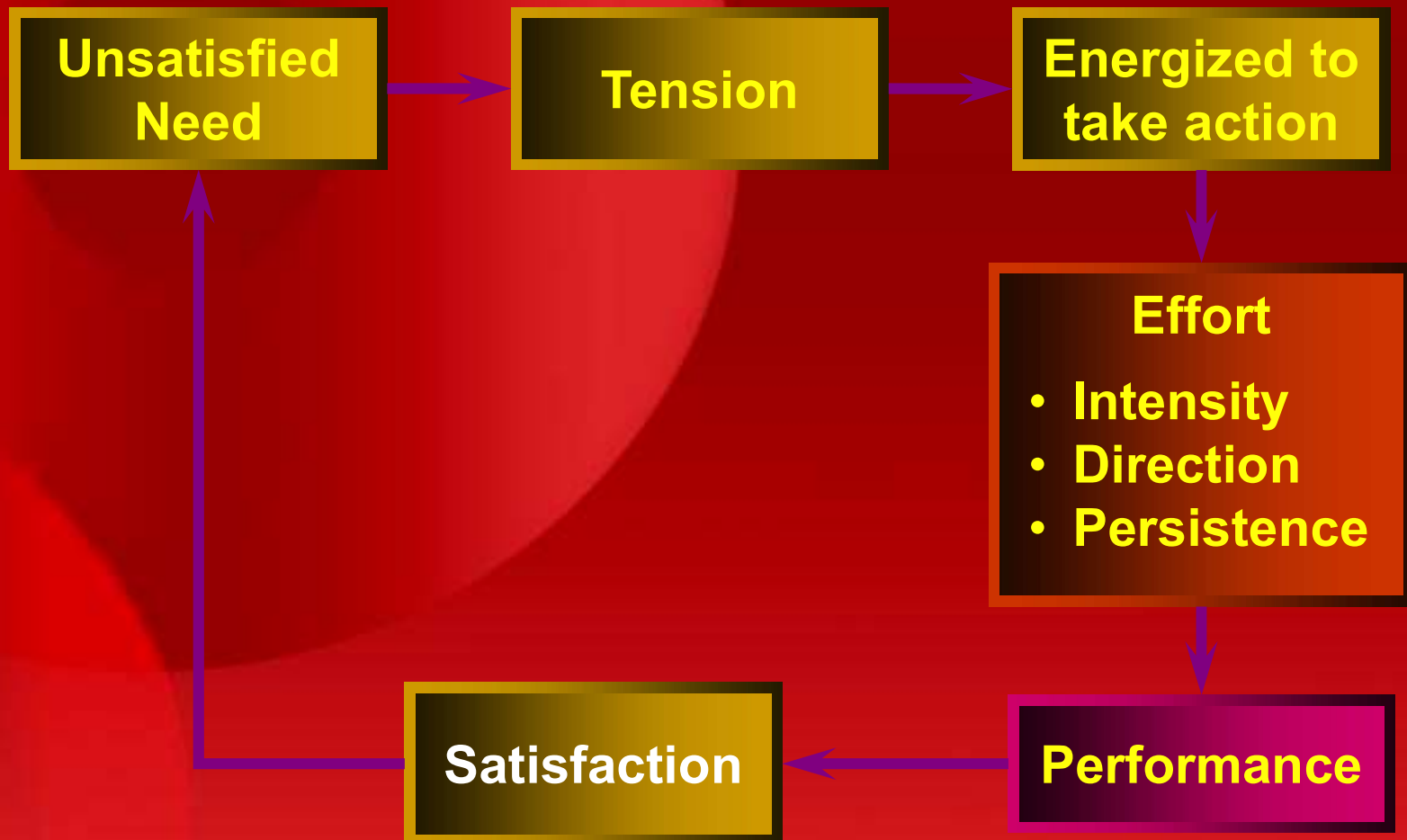
# Effort and Performance

## Effort

- Intensity
- Direction
- Persistence

Performance

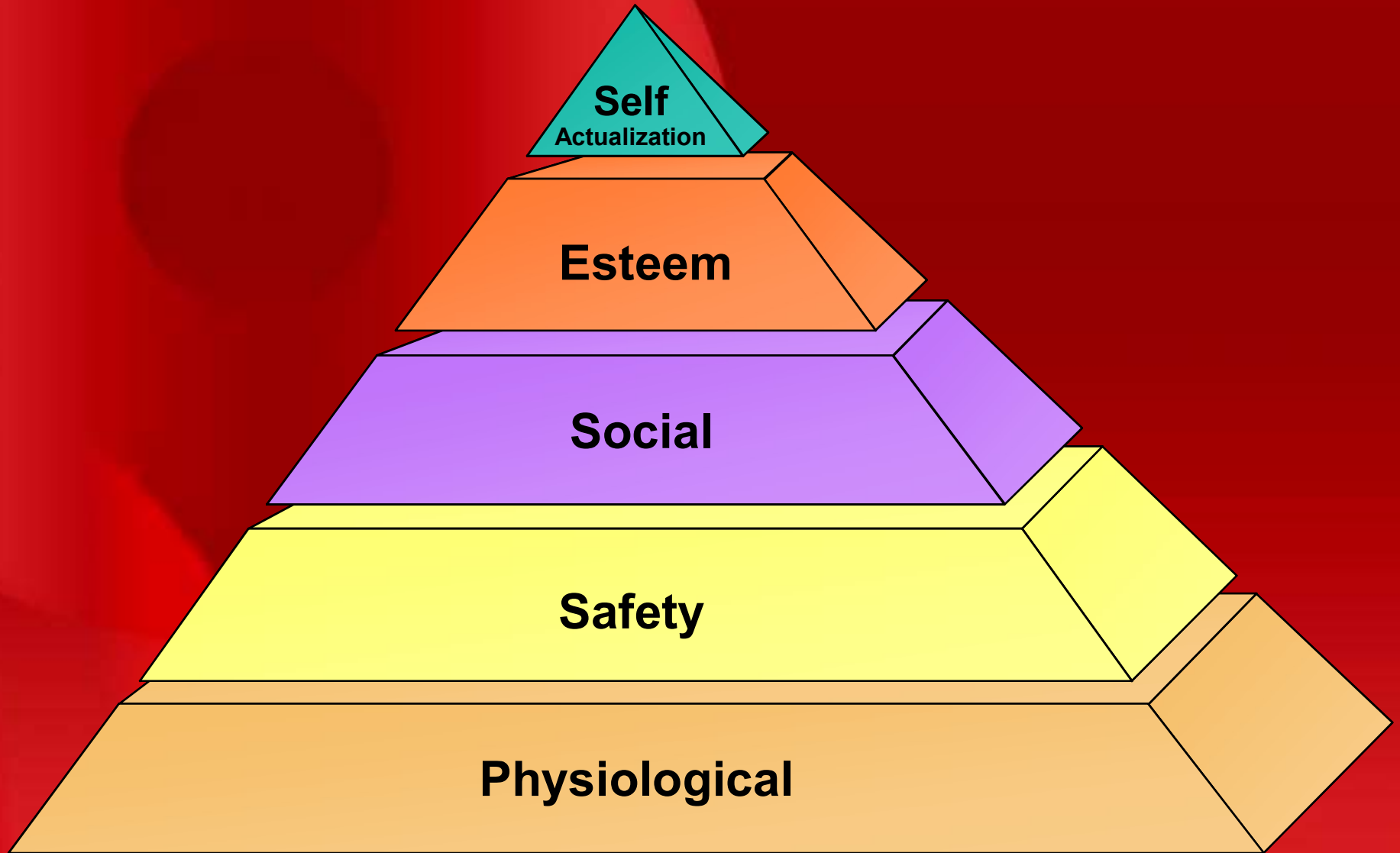
# Need Satisfaction Model



# **Needs Theories**

- 1. Hierarchy of Needs Theory  
(Maslow)**
- 2. Two-Factor Theory  
(Herzberg)**
- 3. ERG Theory (Aldefefer)**
- 4. Acquired Needs Theory  
(McClelland)**

# Maslow's Hierarchy of Needs



# **Maslow's Hierarchy of Needs**

## **Physiological**

**It includes hunger,  
thirst, shelter, sex  
and other bodily  
needs.**

# **Maslow's Hierarchy of Needs**

## **Safety**

**It includes security  
and protection from  
physical and  
emotional harm.**



# **Maslow's Hierarchy of Needs**

## **Social**

**It includes affection,  
belongingness,  
acceptance, and  
friendship.**

# **Maslow's Hierarchy of Needs**

## **Esteem**

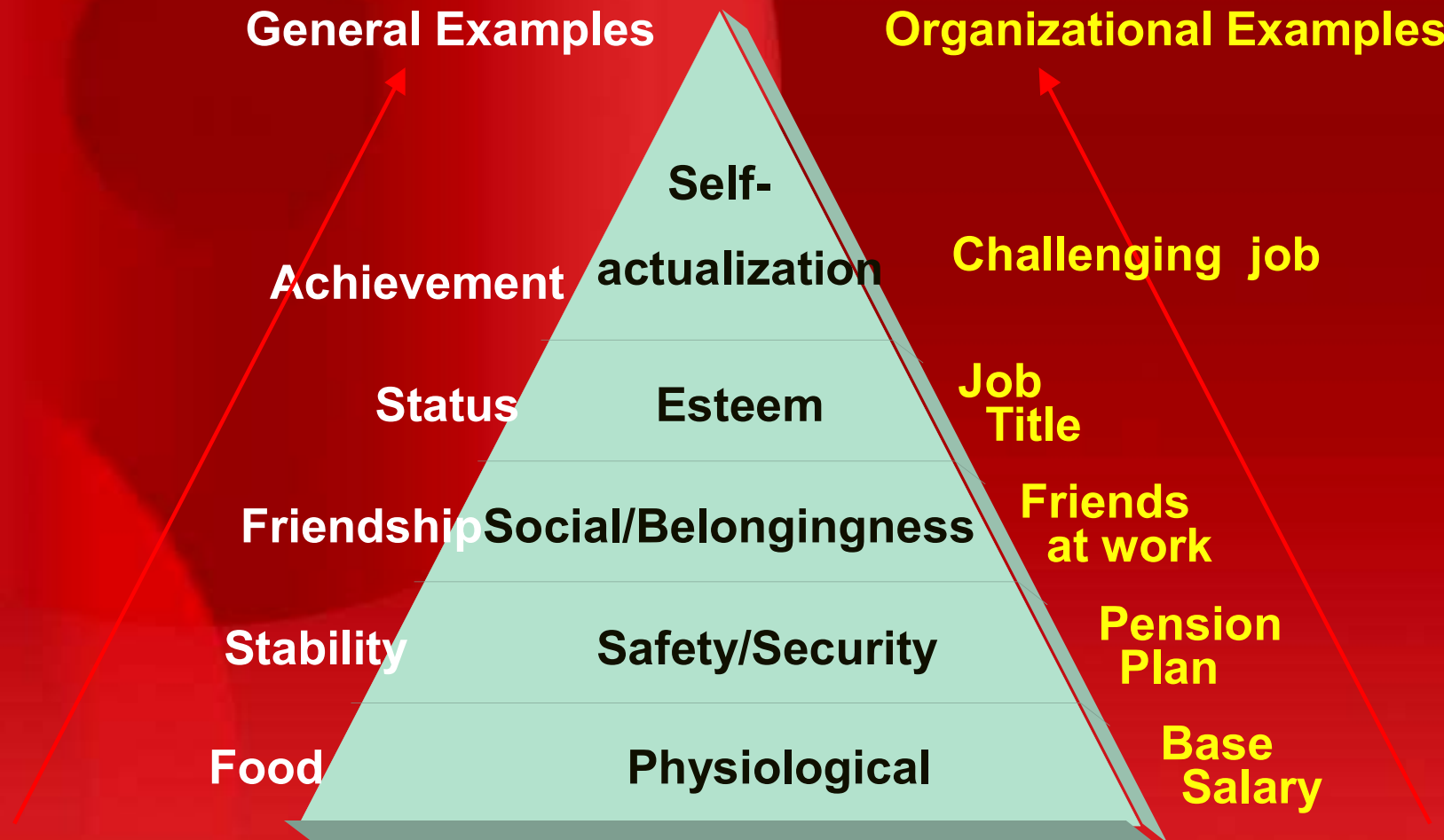
**It includes internal esteem factors such as self-respect, autonomy, achievement; and external esteem factors such as status, recognition, and attention.**

# **Maslow's Hierarchy of Needs**

## **Self-Actualization**

**The drive to become what one is capable of becoming; includes growth, and achieving one's potential.**

# Maslow's Hierarchy of Needs



# **Maslow's Hierarchy of Needs**

## **Weakness of Theory**

**1. Five levels of need are  
not always present**

**2. Order is not always  
the same**

**3. Cultural differences**

# **Maslow's Hierarchy of Needs**

**Need's Hierarchy in  
China...an example:**

***Belongingness***

***Physiological***

***Safety***

***Self actualizing in service to society***

# **Herzberg's Theory**

## **Hygiene Factors**

**Extrinsic factors when these are adequate, people will not be dissatisfied. Company policy and administration, supervision, working conditions, and salary.**

# **Two Factors**

## **Hygiene Factors**

**Pay**

**Working Conditions**

**Supervisors**

**Company Policies**

**Fringe Benefits**

***These factors help Prevent Dissatisfaction.***



# **Herzberg's Theory**

## **Motivating Factors**

**Intrinsic factors, such as achievement, recognition, the work itself, responsibility, advancement and growth.**

**People will be either satisfied or not satisfied.**

# Two Factors

## Motivators

**Achievement**  
**Responsibility**  
**Work itself**  
**Recognition**  
**Growth**  
**Advancement**

*These factors Promote Satisfaction.*

# **ERG Theory**

- 1. Existence Needs**
- 2. Related Needs**
- 3. Growth Needs**

# **Principles of Management**

**Learning Session # 35**

***Dr. A. Rashid Kausar***

**Re-cap**  
**of**  
**Session # 34**

# **Needs Theories**

- 1. Hierarchy of Needs Theory  
(Maslow)**
- 2. Two-Factor Theory  
(Herzberg)**
- 3. ERG Theory (Aldefefer)**
- 4. Acquired Needs Theory  
(McClelland)**

# **ERG Theory**

- 1. Existence Needs**
- 2. Related Needs**
- 3. Growth Needs**

# **McClelland's Theory of Needs**

## **Need for Achievement**

**The drive to excel, to achieve in relation to a set of standards, to strive to succeed.**



# **McClelland's Theory of Needs Need for Power**

**The need to make  
others behave in a  
way that they would  
not have behaved  
otherwise.**

# **McClelland's Theory of Needs**

## **Need for Affiliation**

**The desire for  
friendly and close  
interpersonal  
relationships.**

# **Acquired Needs Theory (McClelland)**

**Theory stating that our needs are acquired or learned on the basis of our life experiences.**

# Needs Classification

Maslow's  
Hierarchy

ERG

McClelland's  
Learned Needs

*Higher-  
Order  
Needs*

Self-  
Actualization  
Esteem  
Belongingness

Growth  
Relatedness

Power  
Achievement  
Affiliation

*Lower-  
Order  
Needs*

Safety  
Physiological

Existence

# **Cognitive or Process Perspective Theories**

- 1. Equity Theory**
- 2. Expectancy Theory**
- 3. Goal-setting Theory**

# **Process Perspectives**

**Why people choose  
certain behavioral  
options to satisfy their  
needs and how they  
evaluate their satisfaction  
after they have attained  
their goals.**

# **Equity Theory**

**Theory arguing  
that we prefer  
situations of  
Balance or, Equity.**

# Equity Theory

## Inputs

Employee contributions to the organization

## Outcomes

Rewards employees receive from the organization

Outcome / input (O / I) Ratio

A comparison between self and others



# Output/Input Ratio

$$\frac{\text{Outcomes}_{\text{self}}}{\text{Inputs}_{\text{self}}} = \frac{\text{Outcomes}_{\text{other}}}{\text{Inputs}_{\text{other}}}$$

# Inequity

When Your **O / I** ratio differ from other's

## Underreward

If other's O / I ratio is greater than yours

You experience anger or frustration !

$$\frac{\text{Outcomes}_{\text{self}}}{\text{Inputs}_{\text{self}}} < \frac{\text{Outcomes}_{\text{other}}}{\text{Inputs}_{\text{other}}}$$

## Overreward

If other's O / I ratio is less than yours

You may experience guilt !

$$\frac{\text{Outcomes}_{\text{self}}}{\text{Inputs}_{\text{self}}} > \frac{\text{Outcomes}_{\text{other}}}{\text{Inputs}_{\text{other}}}$$

# **Reaction to Perceived Inequity**

- 1. Reduce inputs**
- 2. Increase outcomes**
- 3. Rationalize inputs or outcomes**
- 4. Change the referent**
- 5. Leave**

# Equity Theory

*Implications for Managers:*

**Communication is  
essential to assess  
Equity / Inequity  
perceptions in  
employees.**

# **Expectancy Theory**

**Theory arguing that we  
consider three main issues;  
(Effort-Performance,  
Performance-Outcome,  
and Valence)**

**before we expend effort  
necessary to perform at a  
given level.**

# **Effort- Performance Expectancy**

**Our assessment of  
our efforts  
that will lead to the  
required level of  
performance.**

# **Performance- Outcome Expectancy**

**Our assessment of our  
performance that will  
lead to desired  
outcomes.**

# **Instrumentality**

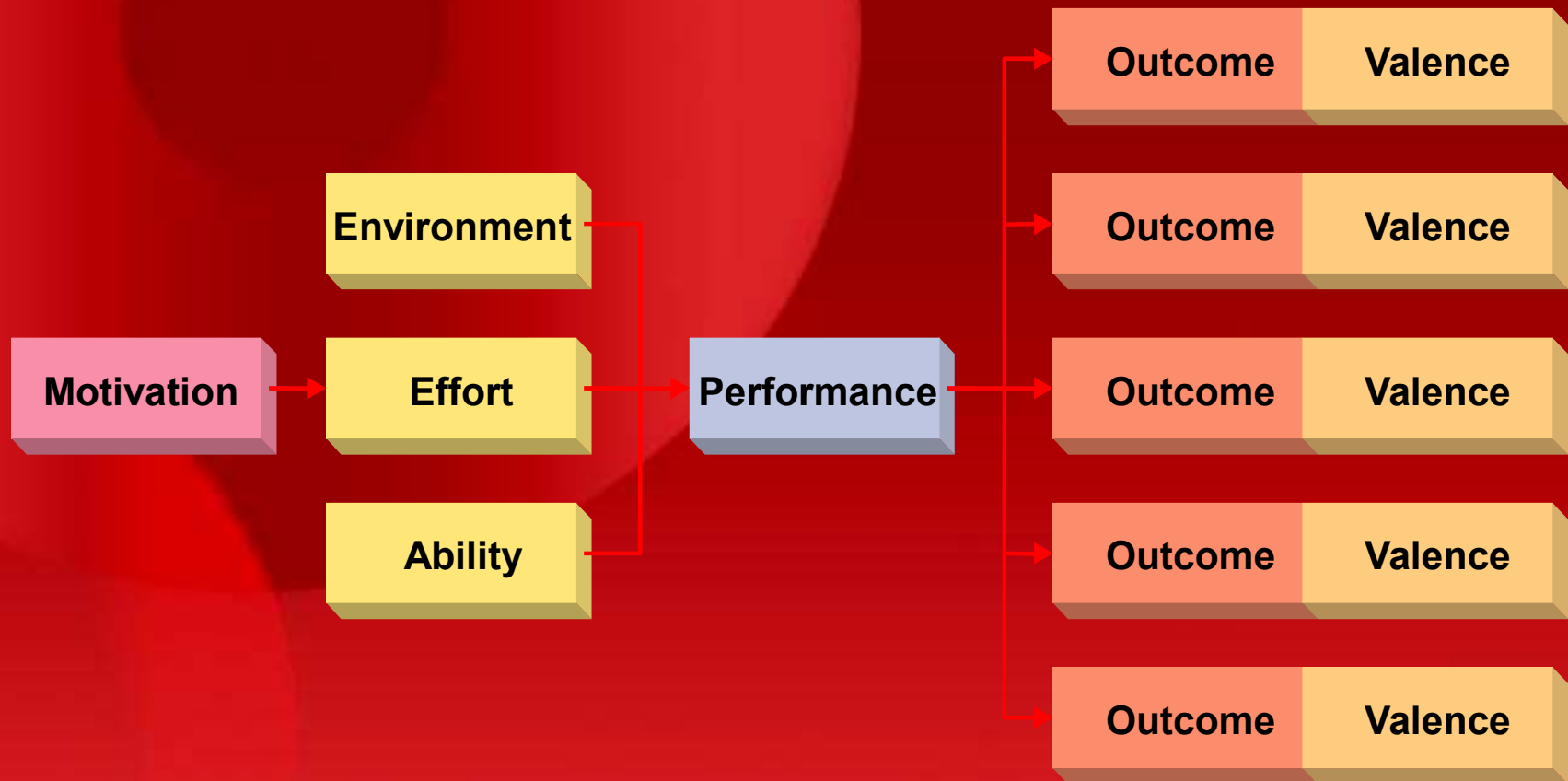
**Perceived relationship  
between Performance  
and Rewards /  
Outcomes.**



# **Valence**

**Our assessment of  
anticipated value of  
various outcomes or  
rewards.**

# Expectancy Model of Motivation



# **Expectancy Theory**

$$M = E \times I \times V$$

**For motivated behavior to occur:**

- 1. Effort-to-performance must be greater than 0**
- 2. Performance-to-outcome must be greater than 0**
- 3. Sum of valences must be greater than 0**

# **Motivating with Expectancy Theory**

- 1. Systematically gather information to find out what employees want from their jobs**
- 2. Clearly link rewards to individual performance**
- 3. Empower employees to make decisions which enhance expectancy perceptions**

# **Principles of Management**

**Learning Session # 36**

***Dr. A. Rashid Kausar***

**Re-cap**  
**of**  
**Session # 35**

# **Cognitive or Process Perspective Theories**

- 1. Equity Theory**
- 2. Expectancy Theory**
- 3. Goal-setting Theory**

# **Goal-setting Theory**

**It works by focussing  
attention on action,  
mobilising effort, increasing  
persistence, & encouraging  
the development of strategy  
to achieve goals.**



# **Goal-Setting Theory**

## **Goal Difficulty**

**Extent to which a goal is  
challenging and requires  
effort.**

# **Goal-Setting Theory**

## **Goal Specificity**

**Clarity and precision of  
the goal.**

# **Goal-Setting Theory**

## **Goal Acceptance**

**Extent to which  
persons accept a goal  
as their own.**

# **Goal-Setting Theory**

## **Goal Commitment**

**Extent to which an individual is personally interested in reaching a goal.**

# **Goal-Setting Theory**

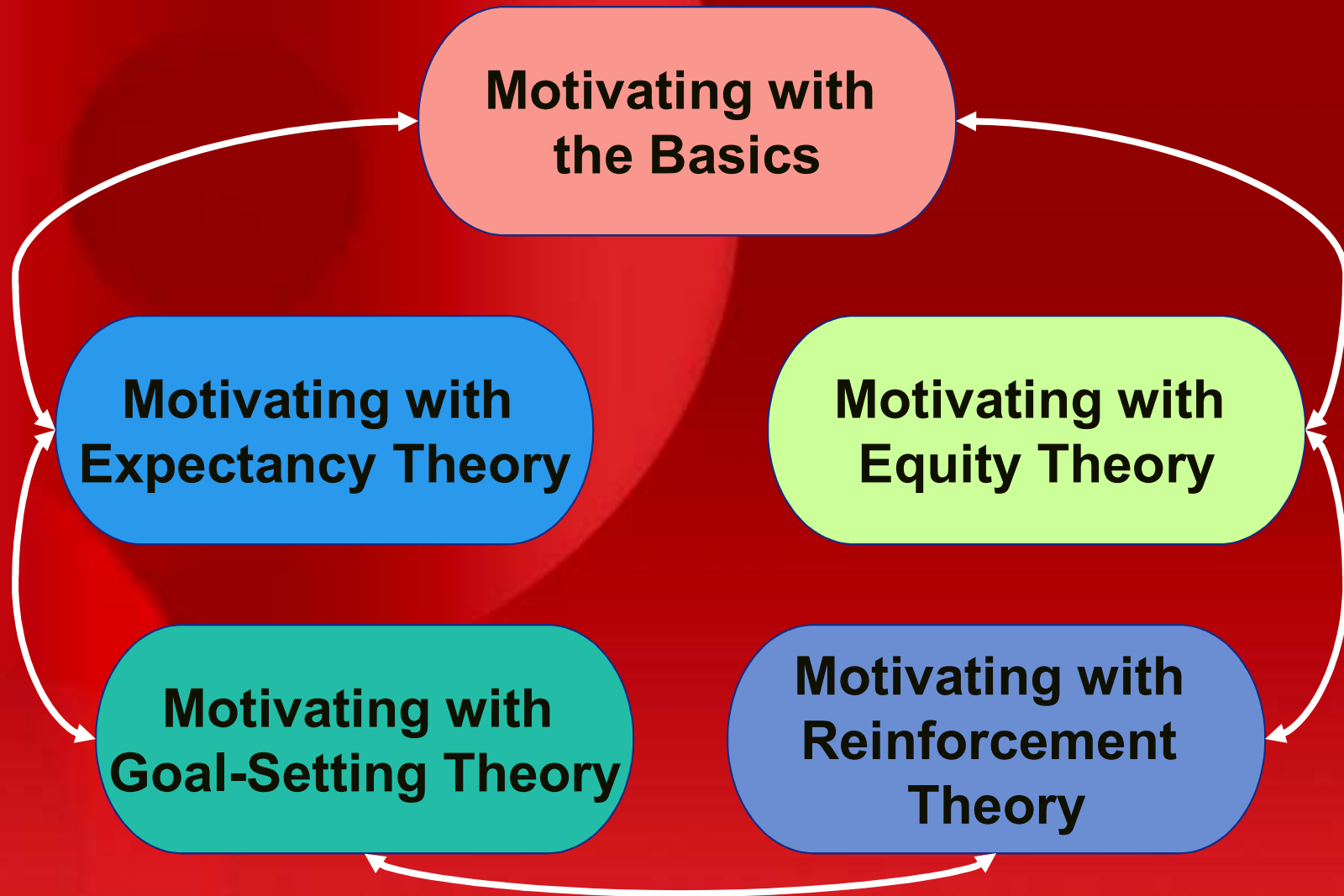
**Performance Feedback**

**Information  
on goal progress**

# **Motivating with Goal-Setting Theory**

- 1. Assign specific, challenging goals**
- 2. Make sure workers truly accept organizational goals**
- 3. Provide frequent, specific performance-related feedback**

# Integrated Model

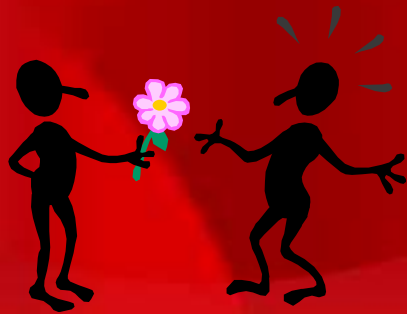


# **Reinforcement THEORY**

**It explains the role of rewards as they cause behavior to change or remain the same over time.**



# Reinforcement Process



**Stimulus  
(situation)**



**Response  
(behavior)**



**Consequences  
(rewards and punishments)**



**Future Behavior**

# **Reinforcement THEORY**

## **Positive Reinforcement**

**It strengthens behavior  
by providing a  
desirable  
consequence.**

# **Reinforcement THEORY**

**(-ve) or Avoidance**

**Withholding  
un-pleasant  
consequence  
strengthens behavior .**

# **Reinforcement THEORY**

## **Punishment**

**It weakens behavior  
by providing an  
undesirable  
consequence.**

# **Reinforcement THEORY**

## **Extinction**

**It weakens behavior  
by not providing a  
desirable  
consequence.**

# **Using Reinforcement Theory:**

**Encourage desired behaviour,**

**Be clear on what is desired.**

**Use variable interval & variable ratio**

**Punish promptly.**

# **Current Issues In Motivation**

## **Open-Book Management**

**1. Involve employees in workplace decisions by opening up the financial statements.**

**2. Workers treated as business partners.**

# **Current Issues In Motivation**

## **Open-Book Management**

**3. Get workers to think like  
an owner.**

**4. May also provide  
bonuses based on profit  
improvements.**



# **Current Issues In Motivation**

## **Motivating Professionals**

**1. They are more loyal to  
their profession than their  
employer ?**

**2. They value challenging  
jobs and need the support  
for their work.**

# **Current Issues In Motivation**

## **Motivating Professionals**

**Professionals tend to derive  
intrinsic satisfaction  
from their work and receive  
higher pay.**

# **Social Learning Theory**

**Theory arguing that learning occurs through continuous reciprocal interaction of our behaviours, various personal factors and environmental forces.**

# **Other Motivational Strategies**

**1. Empowerment**

**2. Participation**

**3. Variable Work Schedules**

**Compressed work schedule**

**4. Flexible Work Schedules**

**Flextime**

**Job Sharing**

**Telecommuting**

# **Designing Effective Systems**

**Reward system** must meet an individual's needs.

Rewards should compare favorably with other organizations.

**Distribution of rewards** must be perceived to be equitable.

# **Designing Effective Systems**

**Reward system must recognize different needs.**

**Merit system.**

**Incentive system.**

# Leadership

# **Principles of Management**

**Learning Session # 37**

***Dr. A. Rashid Kausar***



**Re-cap**  
**of**  
**Session # 36**

# Leadership

# Leadership

## Leader

**Someone who can influence others and who has managerial authority.**

**All managers should *ideally* be leaders**

**Not all leaders have the ability to be an effective manager.**

# **Leadership**

**Leadership  
is a process of  
influencing others  
toward the  
achievement of goals.**

**A heavily researched  
topic**

# Leaders versus Managers

## MANAGERS

Do things right  
Status quo  
Short-term  
Means  
Builders  
Problem solving

## LEADERS

Do the right thing  
Change  
Long-term  
Ends  
Architects  
Inspiring & motivating

# **Nature of Leadership**

**Leadership is an  
ability to influence  
and motivate others  
toward organizational  
goals.**

# **Nature of Leadership**

**What leaders actually do!**

**Process behaviors include:**

- 1. Influencing organizational goals;**
- 2. Motivating behavior toward goals;**
- 3. Helping define organizational culture.**

# **Nature of Leadership**

**Leadership Property!**

**Set of characteristics  
attributed to  
individuals perceived  
to be leaders.**



**How  
Leaders  
influence  
others?**

# **How Leaders influence others!**

**Sources of Leadership  
Power:**

## **1. Legitimate power**

**Power stemming from a  
position's placement in  
the managerial hierarchy.**

# **How Leaders influence others!**

Sources of Leadership  
Power:

## **2. Reward power**

**Power based on the  
capacity to provide valued  
rewards to others.**

# **How Leaders influence others!**

Sources of Leadership  
Power:

## **3. Coercive power**

**Power based on the ability  
to punish others.**

# **How leaders influence others!**

Sources of Leadership  
Power:

## **4.Expert power**

**Power based on the  
possession of expertise  
valued by others.**

# **How leaders influence others!**

Sources of Leadership  
Power:

## **5. Information power**

**Power based on access and  
control over the distribution  
of information.**

# **How leaders influence others!**

Sources of Leadership  
Power:

## **6.Referent power**

Power resulting from being  
liked, admired or identified  
with.

# Effective use of Power

Likely reaction to use of power!

Coercion

= Resistance

Legitimate  
Information  
Reward

= Compliance

Referent  
Expert

= Commitment



# **Leadership Schools**

**1. Trait Model**

**2. Behavioral Models**

**--Michigan Studies**

**--Ohio State Studies**

**--Leadership Grid**

# **Leadership Schools**

## **3. Situational (Contingency) Models**

**Leadership Continuum**

**Least Preferred Coworker Theory (Fiedler)**

**Path Goal Model**

**Vroom Model**

**The Leader-Member Exchange Approach**

# **Search for Leadership Traits**

**Approach assumes that  
some basic traits  
(individual qualities)  
differentiated leaders from  
non-leaders.**

# **Search for Leadership Traits**

**Approach eventually  
determined to be  
impractical- the list of  
suggested traits grew too  
long to be useful.**

# **Search for Leadership Traits**

**Despite weaknesses,  
leaders today are often  
chosen on various traits.**

# **Traits**

- 1. Intelligence**
- 2. Supervisory Ability**
- 3. Initiative**
- 4. Drive**
- 5. Individuality**

# **Traits**

**6. Self Confident**

**7. Risk Taker**

**8. Motivated**

**9. Hard Working**

**10. Self Assurance**

# **Leadership Behaviour**

**Michigan Studies**

**Employee centred  
leaders superior to Job  
centred leaders.**

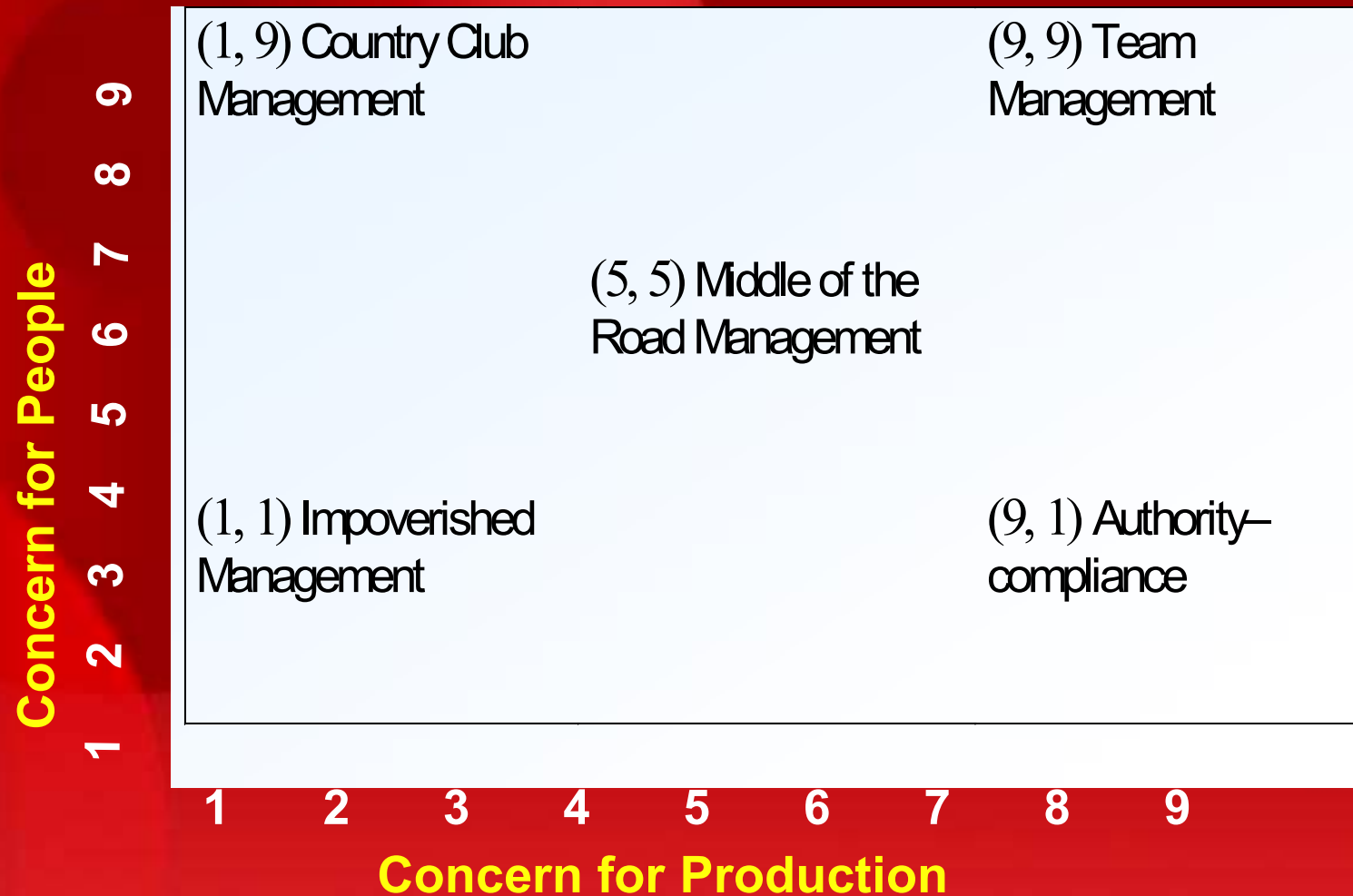


# **Leadership Behaviour**

## **Ohio State Studies**

**Suggested that the ideal was for leaders to combine job-centred-ness with an ability to build mutual trust with subordinates.**

# Leadership grid



# **Principles of Management**

**Learning Session # 38**

***Dr. A. Rashid Kausar***

**Re-cap**  
**of**  
**Session # 37**

# **Behavioral Theories**

**Knowing the ways  
how effective leaders  
behave**

**would provide basis  
for training other  
leaders !**

# **Leadership Schools**

## **2. Behavioral Models**

- Iowa Studies**
- Michigan Studies**
- Ohio State Studies**
- Leadership Grid**

# **Leadership Behaviour**

**Iowa Studies  
( By Kurt Lewin)**

**Explored three  
leadership styles  
related to performance!**

# **Leadership Styles**

## **1. Autocratic**

**Leader dictated the work methods.**

## **2. Democratic**

**Involved staff in decision making.**

## **3. Laissez-Faire**

**Gave the group complete freedom.**



# **Leadership Behaviour**

**Michigan Studies**

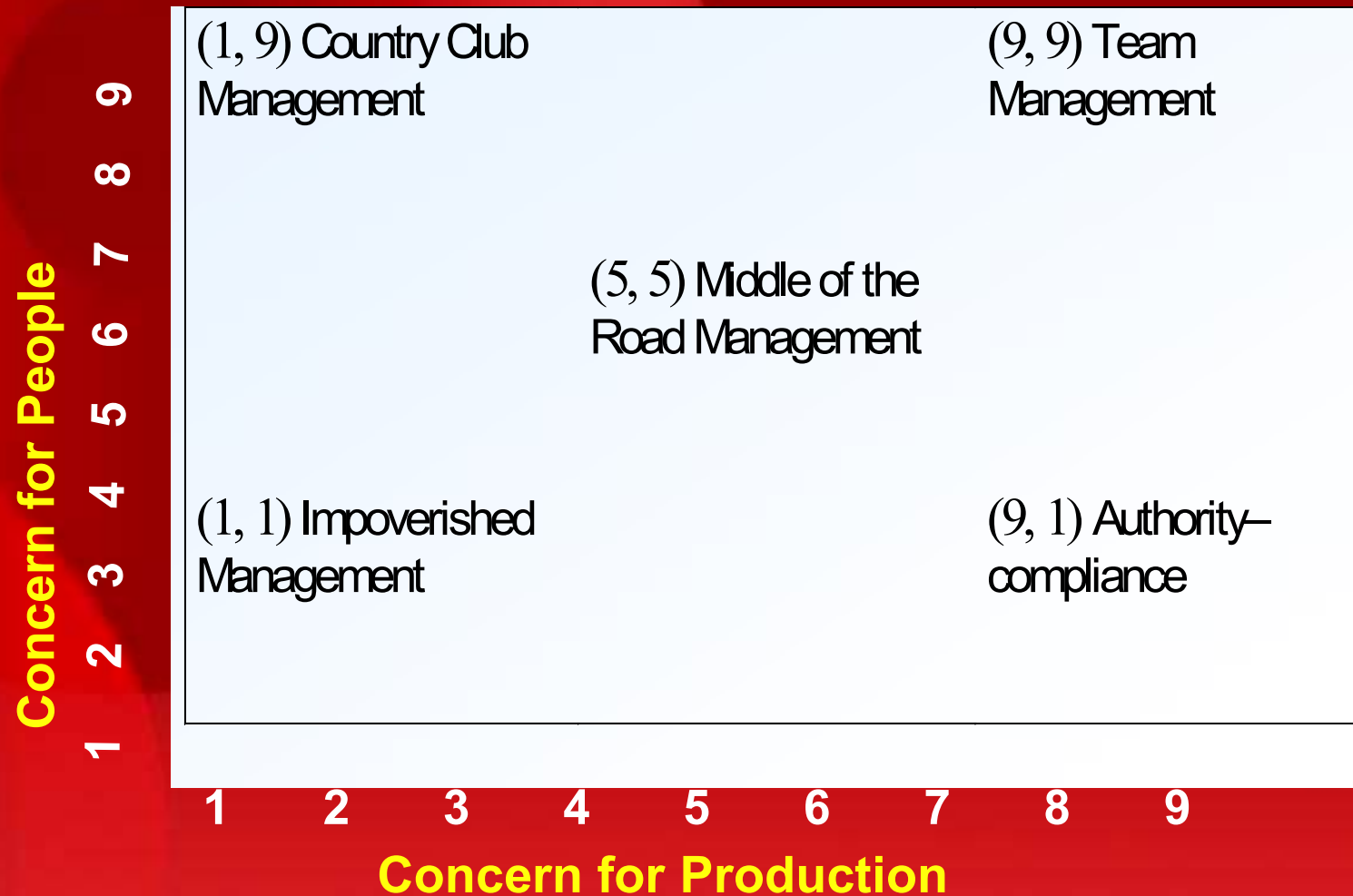
**Employee centred  
leaders superior to Job  
or Production centred  
leaders?**

# **Leadership Behaviour**

## **Ohio State Studies**

**Suggested that the ideal was  
for leaders to combine  
job-centred-ness (Initiating  
Structure) with an ability to  
build mutual trust with  
subordinates (Consideration).**

# Leadership grid



# **Contingency Theories Of Leadership**

## **Basic Assumptions**

- 1. Leader's effectiveness depends on the situation.**
- 2. Must isolate situational conditions or contingencies.**

# **Leadership Schools**

## **3. Situational (Contingency) Models**

**1. Fiedler's Model**

**2. Path Goal Model**

**3. Hersey and Blanchard  
Leadership approach**

**4. Leaders Member Exchange  
Model**

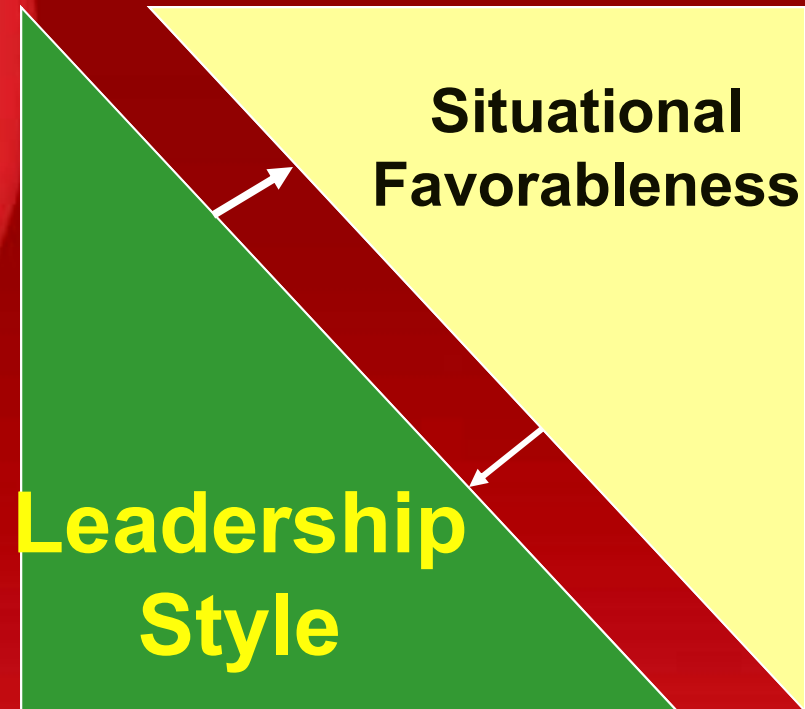
# **Situational Theory**

**Theories of leadership  
taking into consideration  
important situational  
factors and related  
leadership styles.**

# Fiedler's Contingency Theory

**Group  
Performance**

=



# **Putting Leaders in the Right Situation:**

**Least Preferred Coworker**

**Situational Favorableness**

**Matching Leadership Styles  
to Situations**



# **Leadership Style: Least Preferred Coworker**

**Leadership style is the way  
a leader generally behaves  
toward followers.**

**Style is measured by the  
LPC Scale!**

**Relationship-oriented Style  
Task-oriented Style**

# **Situational Favorableness**

**How a particular situation  
affects a leader's ability  
to lead**

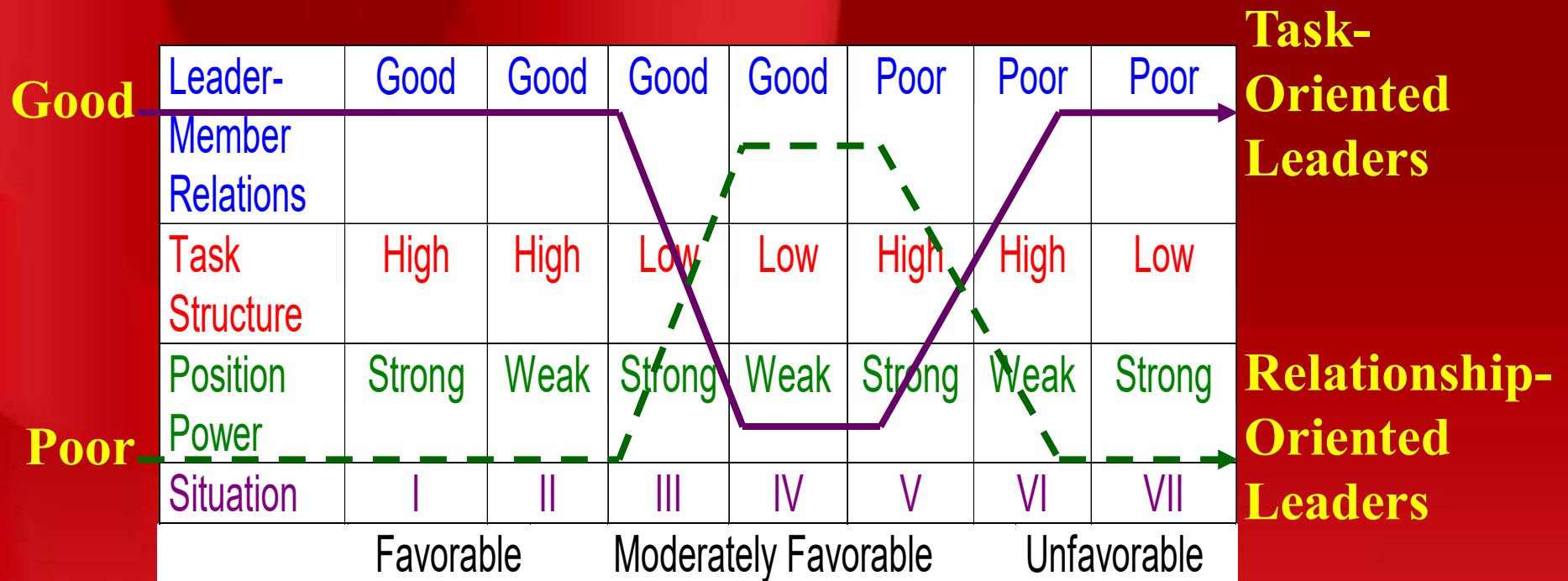
## **Three factors**

- 1. Leader-member relations**
- 2. Task structure**
- 3. Position power**

# Situational Favorableness

|                         |        |      |                      |      |        |             |        |
|-------------------------|--------|------|----------------------|------|--------|-------------|--------|
| Leader-Member Relations | Good   | Good | Good                 | Good | Poor   | Poor        | Poor   |
| Task Structure          | High   | High | Low                  | Low  | High   | High        | Low    |
| Position Power          | Strong | Weak | Strong               | Weak | Strong | Weak        | Strong |
| Situation               | I      | II   | III                  | IV   | V      | VI          | VII    |
| Favorable               |        |      | Moderately Favorable |      |        | Unfavorable |        |

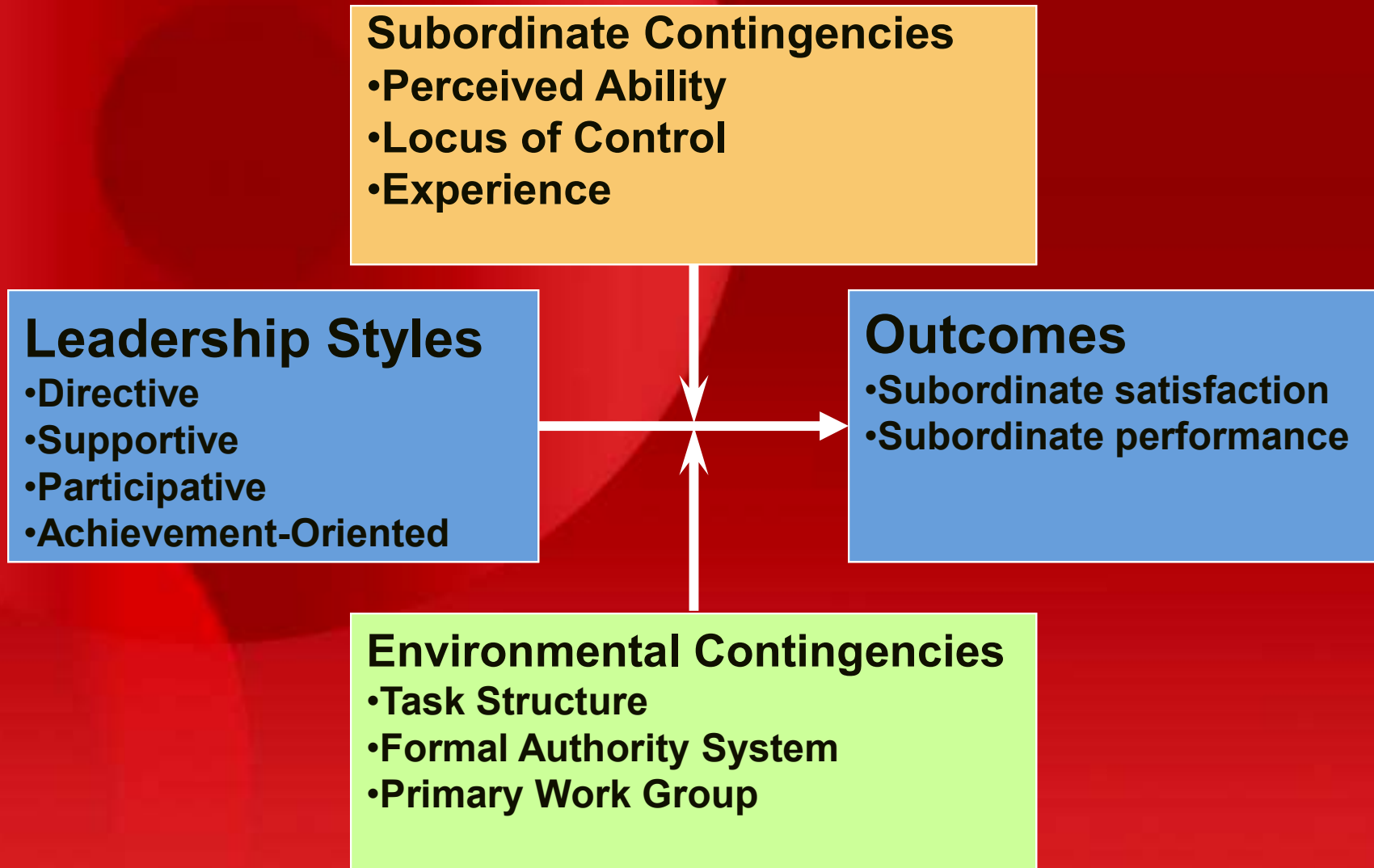
# Matching Leadership Styles to Situations



# Path-Goal Theory



# Path-Goal Theory



# **Leadership Styles**

## **1. Directive**

**Clarifying expectations  
and guidelines**

## **2. Supportive**

**Being friendly and  
approachable**

# **Leadership Styles**

## **3. Participative**

**Allowing input on  
decisions**

## **4. Achievement-Oriented**

**Setting challenging  
goals**



# When to Use Leadership Styles

| Directive Leadership                                                                                                                                                                                                                         | Supportive Leadership                                                                                                                                                                                        |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>• Unstructured tasks</li><li>• Inexperienced workers</li><li>• Workers with low perceived ability</li><li>• Workers with external locus of control</li><li>• Unclear formal authority system</li></ul> | <ul style="list-style-type: none"><li>• Structured, simple, repetitive tasks</li><li>• Stressful, frustrating tasks</li><li>• When workers lack confidence</li><li>• Clear formal authority system</li></ul> |
| Participative Leadership                                                                                                                                                                                                                     | Achievement-Oriented Leadership                                                                                                                                                                              |
| <ul style="list-style-type: none"><li>• Experienced workers</li><li>• Workers with high perceived ability</li><li>• Workers with internal locus of control</li><li>• Workers not satisfied with rewards</li><li>• Complex tasks</li></ul>    | <ul style="list-style-type: none"><li>• Unchallenging tasks</li></ul>                                                                                                                                        |

# **Hersey and Blanchard's Situational Leadership Theory**



# **H&B Contingency Theory**

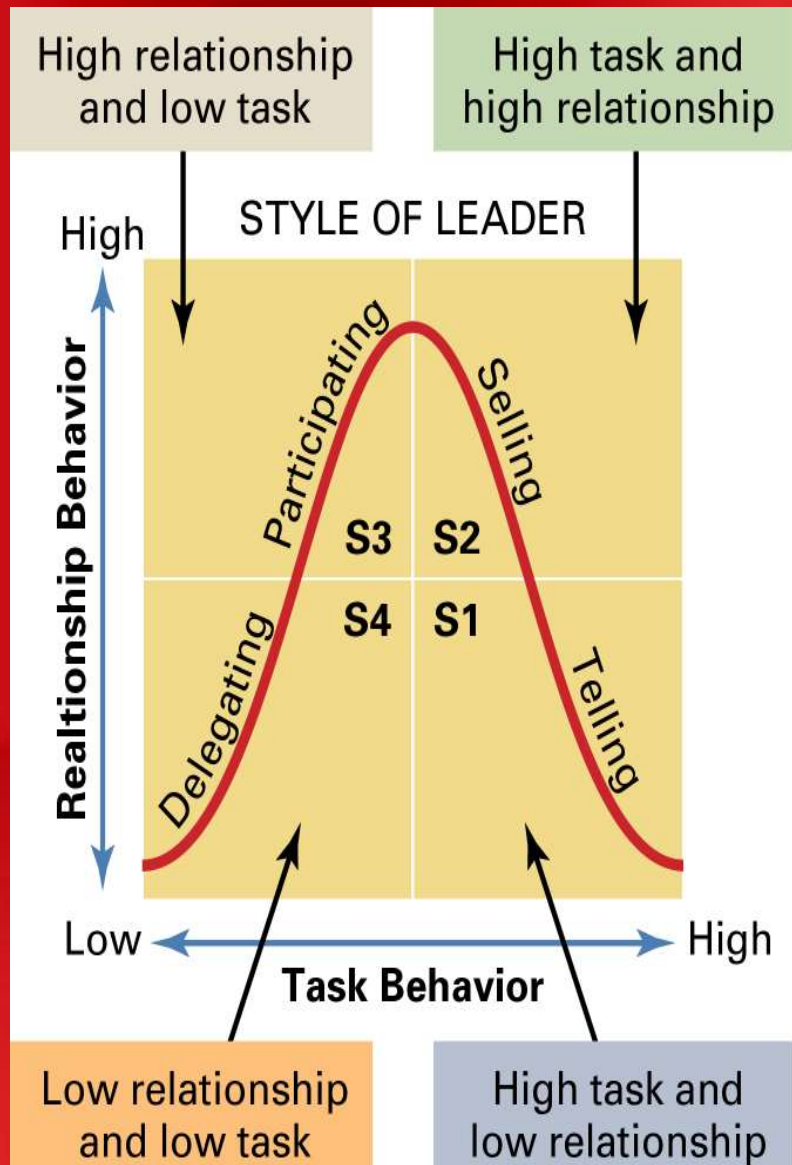
**Four leadership styles  
defined by the two  
dimensions i.e.**

- 1. Task Behavior and**
- 2. Relationship Behavior!**

# Leadership Styles

|                               |                                                          |
|-------------------------------|----------------------------------------------------------|
| <b>Telling<br/>(R1)</b>       | <b>High task behavior<br/>Low relationship behavior</b>  |
| <b>Selling<br/>(R2)</b>       | <b>High task behavior<br/>High relationship behavior</b> |
| <b>Participating<br/>(R3)</b> | <b>Low task behavior<br/>High relationship behavior</b>  |
| <b>Delegating<br/>(R4)</b>    | <b>Low task behavior<br/>Low relationship behavior</b>   |

# H&B Leadership Model



| High ← Moderate → Low |                    |                    |                      |
|-----------------------|--------------------|--------------------|----------------------|
| R4                    | R3                 | R2                 | R1                   |
| Able and willing      | Able and unwilling | Unable and willing | Unable and unwilling |

**Follower Readiness**

# **H&B Contingency Theory**

**Tests of the theory  
have yielded  
disappointing results**

# **LMX Leadership Model**

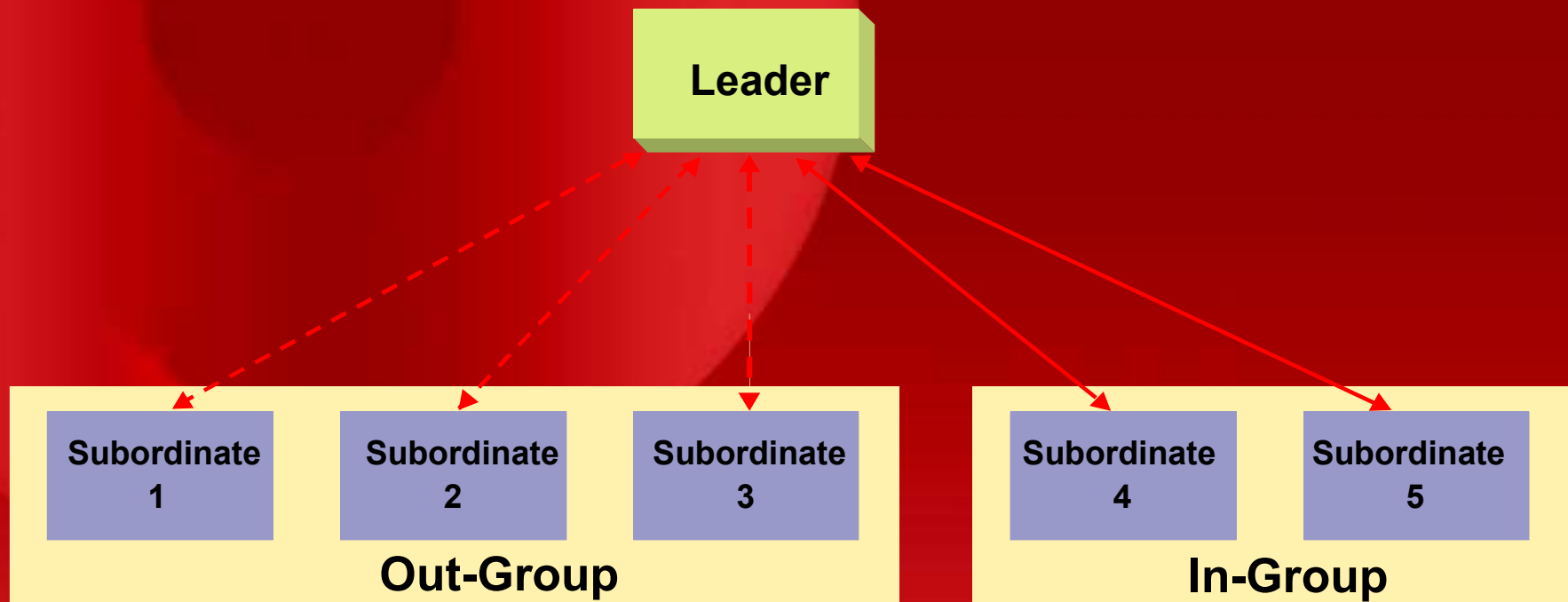
**Leader Member Exchange approach stresses the importance of variable relationships between supervisors and each of their subordinates.**

# **LMX Leadership Model**

**Leaders form unique independent relationships with each subordinate in which the subordinate becomes a member of the leader's out-group or in-group.**



# LMX Leadership Model



**Cutting-Edge  
Approaches To  
Leadership  
or  
Strategic  
Leadership**

# **Principles of Management**

**Learning Session # 39**

***Dr. A. Rashid Kausar***

**Re-cap**  
**of**  
**Session # 38**

# **Strategic Leadership Models**

- 1. Transactional Leadership**
- 2. Transformational Leadership**
- 3. Charismatic Leadership**
- 4. Visionary Leadership**
- 5. Team Leadership**
- 6. Knowledge Based Leadership**

# **Strategic Leadership**

**How Visionary leadership,  
Charismatic leadership  
and Transformational  
leadership helps leaders  
achieve strategic  
leadership?**

# **Transactional Leadership**

**Transactional Leaders  
guide or motivate their  
followers in the direction of  
established goals by  
clarifying role and task  
requirements!**

# **Transactional Leadership**

- 1. Based on exchange process.**
- 2. Uses rewards and punishment for motivation.**



# **Transactional Leadership**

**3. Relies too heavily on discipline and threats to improve performance.**

**4. Not as effective as  
*Transformational  
leadership!***

# **Transformational Leadership**

**Transformational Leaders  
inspire followers to  
transcend their own  
self-interests for the good of  
the organization!**

# **Transformational Leadership**

- 1. Capable of having profound effect on followers.**
- 2. Pay attention to concerns of followers.**
- 3. Change follower's awareness of issues.**

# **Transformational Leadership**

**4. Excite and inspire  
followers to put forth extra  
effort.**

**5. Built on top of Transactional  
leadership**

**6. good evidence of superiority  
of this type of leadership!**

# **Transformational Leadership**

**Goes beyond  
Charismatic leadership.**

**Different than  
*Transactional  
leadership!***

# **Components of Transformational Leadership**

**Charismatic leadership or  
idealized influence.**

**Inspirational motivation.**

**Intellectual stimulation.**

**Individualized consideration.**

# **Charismatic Leadership**

**Charismatic leaders are  
enthusiastic, and  
self-confident leader  
whose personality and  
actions influence people.**

# **Charismatic Leadership**

**Charismatic leaders  
creates an exceptionally  
strong relationship  
between leader and  
followers.**



# **Charismatic Leadership**

**Charismatic leaders:**

**Articulate a clear vision,  
based on values.**

**Model values consistently  
with vision.**

# **Charismatic Leadership**

**Charismatic leaders:**

**Communicate high  
performance expectations.**

**Display confidence in  
followers' abilities.**

# **Kinds of Charismatic Leaders**

## **Ethical Charismatics**

- 1. Provide developmental opportunities.**
- 2. Open to positive and negative feedback.**
- 3. Recognize others' contributions.**

# **Kinds of Charismatic Leaders**

## **Ethical Charismatics**

**4. Share information.**

**5. Concerned with the interests of the group.**

# **Kinds of Charismatic Leaders**

## **Unethical Charismatics**

- 1. Control and manipulate followers.**
- 2. Only want positive feedback.**
- 3. Motivated by self-interest.**

# **Principles of Management**

**Learning Session # 40**

***Dr. A. Rashid Kausar***

**Re-cap**  
**of**  
**Session # 39**

# **Strategic Leadership Models**

- 1. Transactional Leadership**
- 2. Transformational Leadership**
- 3. Charismatic Leadership**
- 4. Visionary Leadership**
- 5. Team Leadership**
- 6. Knowledge Based Leadership**



# **Visionary Leadership**

**The ability to create and articulate a realistic, credible, and attractive vision that improves the present situation.**

# **Visionary Leadership**

**Visionary leader has the ability to:**

- 1. Explain the vision to others.**
- 2. Express the vision verbally and behaviorally.**
- 3. Apply the vision to different leadership contexts.**

# **Team Leadership**

**It requires skills such as:**

- 1. Patience to share information.**
- 2. Ability to trust others and give up authority.**
- 3. Understanding when to intervene.**

# **Gender and Leadership**

**When rated by peers, employees, and bosses, women executives score better than male counterparts**

**Explanations of difference in effectiveness include:**

- 1. Flexibility, teamwork, trust, and information sharing are replacing rigid structures, competitive individualism, control, and secrecy**
- 2. Women managers listen, motivate, and provide support better than men**

# **Leadership Styles in Different Countries**

Effectiveness of leadership style influenced by national culture

**Most leadership theories developed in the U.S.**

1. Emphasize follower responsibilities rather than rights.
2. Stress rationality rather than spirituality.

# **What Would You Do?**

**You are the CEO of Unique Food Co....**

- 1. Your success is based on your reputation and your staff.**
- 2. But, business is down and employee benefits expenses are increasing.**

# What Would You Do?

3. You have three options:  
**eliminate health benefits,  
find a cheaper plan, or pass  
the cost to the employee!**

*How can you best make the  
tough decision?*

*How involved should your  
employees be in making it?*

# **Understanding Group Behavior**



# ***Why People Join Groups ?***

## **1. Interpersonal Attraction**

**People are attracted to one another.**

## **2. Group Activities**

**Activities of the group appeal to them.**

# ***Why People Join Groups ?***

## **3. Group Goals**

**Group's goals motivate them.**

## **4. Need Satisfaction**

**Satisfies an individual's need for affiliation.**

**Security**

**Self-Esteem**

**Power**

**What  
Makes  
People  
Join  
Groups?**

**Status**

**Affiliation**

**Goal  
Achievement**

# **Foundations of Work Groups**

**Two or more interdependent individuals interacting and influencing each other in collective pursuit of a common goal.**

# **What is a Group?**

**Two or more interacting  
and interdependent  
individuals who come  
together to achieve  
particular goals!**

# **Types of Groups?**

**Formal Groups**

**Informal Groups**

# **Formal Groups**

**Group officially created by an organisation for a specific purpose.**

**1. Command/Functional**

**2. Task Groups:**

**Permanent.**

**Temporary.**

# **Task Group**

**A group created by the organization to accomplish a relatively narrow range of purposes within a stated time horizon.**



# **Informal Groups:**

**Group established by  
employees**

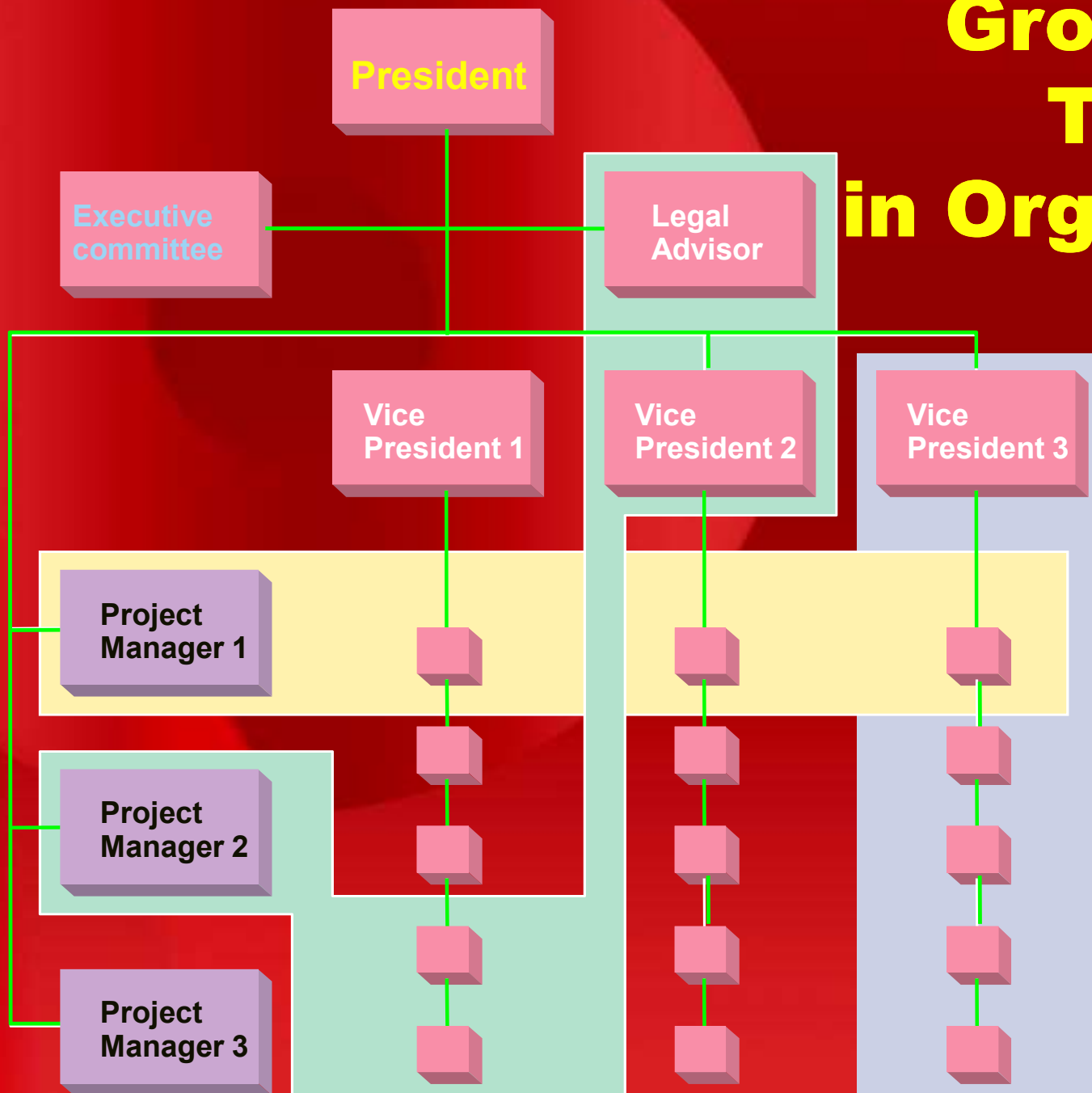
**(not the organisation)**

**to serve members' interests or  
social needs.**

**Interest groups**

**Friendship groups**

# Groups and Teams in Organizations



## Types of Groups

-  Cross-Functional Team (A Task Group)
-  Functional Group
-  Informal Group

# **Basic Group Concepts**

## **1. Group Size**

**Effect on behavior of group depends upon the type of outcome and number of persons in group.**

# Basic Group Concepts

## 1. Group Size

1. Large groups - good for getting diverse input
2. Small groups - good at making use of information
3. Dispersion of responsibility in large groups leads to *free rider tendency* !

# **Basic Group Concepts**

## **2. Group Role.**

**Set of expected behavior patterns attributed to someone who occupies a given position in a social unit or group.**

# **Basic Group Concepts**

## **2. Group Role**

- 1. Group members have particular roles oriented towards task accomplishment or maintaining group member satisfaction.**
- 2. Individuals play multiple roles.**

# **Basic Group Concepts**

## **3. Group Norms**

**Acceptable standards or expectations that are shared by the group's members.**

# **Basic Group Concepts**

## **3. Group Norms**

**Each group has:**

- 1. its own unique set of norms.**
- 2. Common norms related to levels of effort and performance.**
- 3. Exert powerful influence on performance.**



# **Basic Group Concepts**

## **4. Group Cohesiveness**

**Degree to which members are attracted to a group and share the group's goals.**

**The group effectiveness depends upon the alignment of group and organizational goals.**

# **Basic Group Concepts**

## **Effectiveness and Efficiency of Group Decisions**

- 1. Size of group affects effectiveness.**
- 2. The groups of 5-7 are the most effective.**
- 3. Odd number of members helps avoid deadlocks.**

# **Basic Group Concepts**

**Effectiveness and Efficiency of  
Group Decisions**

**Steps must be taken to avoid  
Group Think.**

**Conformity marked by  
withholding different or  
unpopular views in order to  
give the appearance of  
agreement.**

# **Principles of Management**

**Learning Session # 41**

***Dr. A. Rashid Kausar***

# **Re-cap of Session # 40**

# **Stages of Group Development**

## **1. Forming**

**People join the group either because of a work assignment or for some other benefit.**

**Define the group's purpose, structure, and leadership.**

# **Stages of Group Development**

## **2. Storming**

**Acceptance of the group's existence.**

**Conflict over who will control the group !**

# **Stages of Group Development**

## **3. Norming**

**Relationships and a sense of group identity develops.**

**Group assimilates a common set of expectations and defines correct member behavior.**



# **Stages of Group Development**

## **4. Performing**

**Group structure is functional and accepted!**

**Group energy has moved to task performance!**

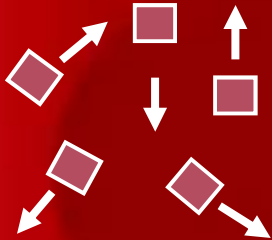
# **Stages of Group Development**

## **5. Adjourning**

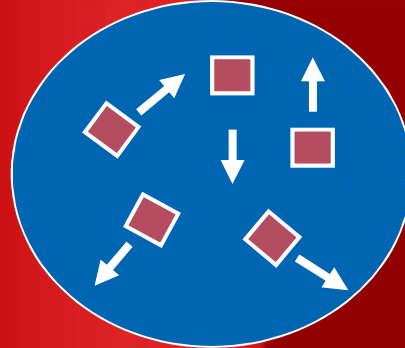
**Group prepares to disband!**

**Attention devoted to  
wrapping up activities.**

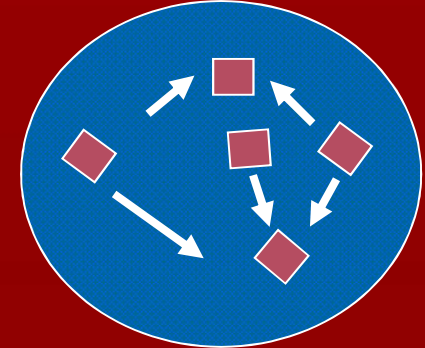
# Group Development



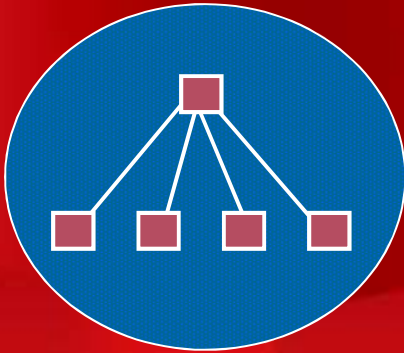
**Prestage**



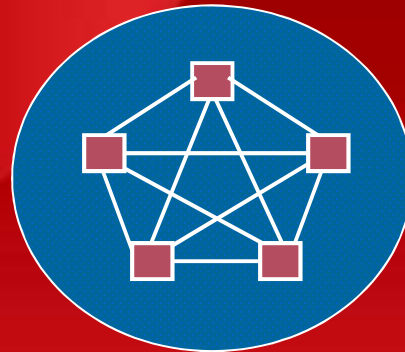
**Stage I  
Forming**



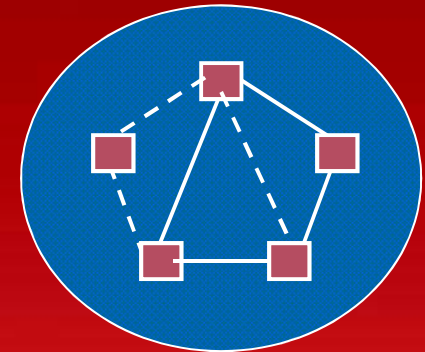
**Stage II  
Storming**



**Stage III  
Norming**



**Stage IV  
Performing**



**Stage V  
Adjourning**

# **Turning Groups into Effective Teams**

# **Teams versus Groups**

## **Work Group**

**A group that interacts primarily to share information and to make decisions to help each other perform within his or her area of responsibility.**

# **Teams versus Groups**

## **Work Team**

**A group whose individual efforts result in a performance that is greater than the sum of those individual inputs.**

# **What Is a Team?**

**Work Team** is a formal group made up of interdependent individuals who are responsible for the attainment of a goal  
work teams are popular in organizations

# **Why Have Teams Become So Popular?**

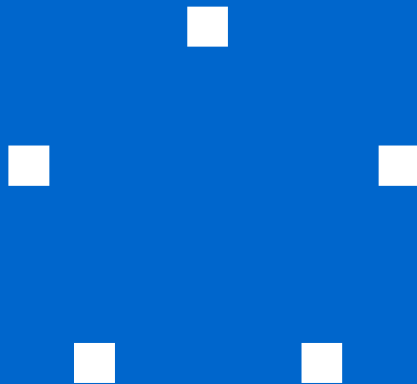
- 1. Performance on complex tasks**
- 2. Utilization of employee  
talents**
- 3. Flexibility and responsiveness**
- 4. Motivational properties**



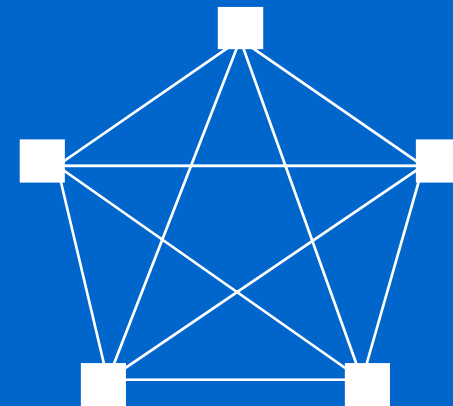


# Comparing Work Groups/Work Teams

## Work Groups



## Work Teams



Share information

← Goal →

Collective performance

Neutral (may be negative)

← Synergy →

Positive

Individual

← Accountability →

Individual and mutual

Random and varied

← Skills →

Complementary

# **Developing And Managing Effective Teams**

# **Characteristics of Effective Teams**

- 1. Clear Goals** - members understand and support the goals to be achieved.
- 2. Relevant Skills** - members have the necessary technical and interpersonal skills.

# Characteristics of Effective Teams

3. **Mutual Trust** - members are confident in each others' ability, character, and integrity.
4. **Unified Commitment** - loyalty and dedication to the team.
5. **Good Communication** - messages are readily understood.

# **Traits of Successful Teams**

```
graph LR; A[Traits of Successful Teams] --- B[Common Purpose]; A --- C[Specific Goals]; A --- D[Leadership and Structure]; A --- E[Accountability]; A --- F[Evaluation and Reward];
```

**Common Purpose**

**Specific Goals**

**Leadership and Structure**

**Accountability**

**Evaluation and Reward**

# **Types of Teams**

## **1. Problem Solving Team**

Comprises knowledge workers who gather to solve a specific problem, then disband.

## **2. Management Team**

Consists mainly of managers from various functions, who coordinate work among other teams.

# **Types of Teams**

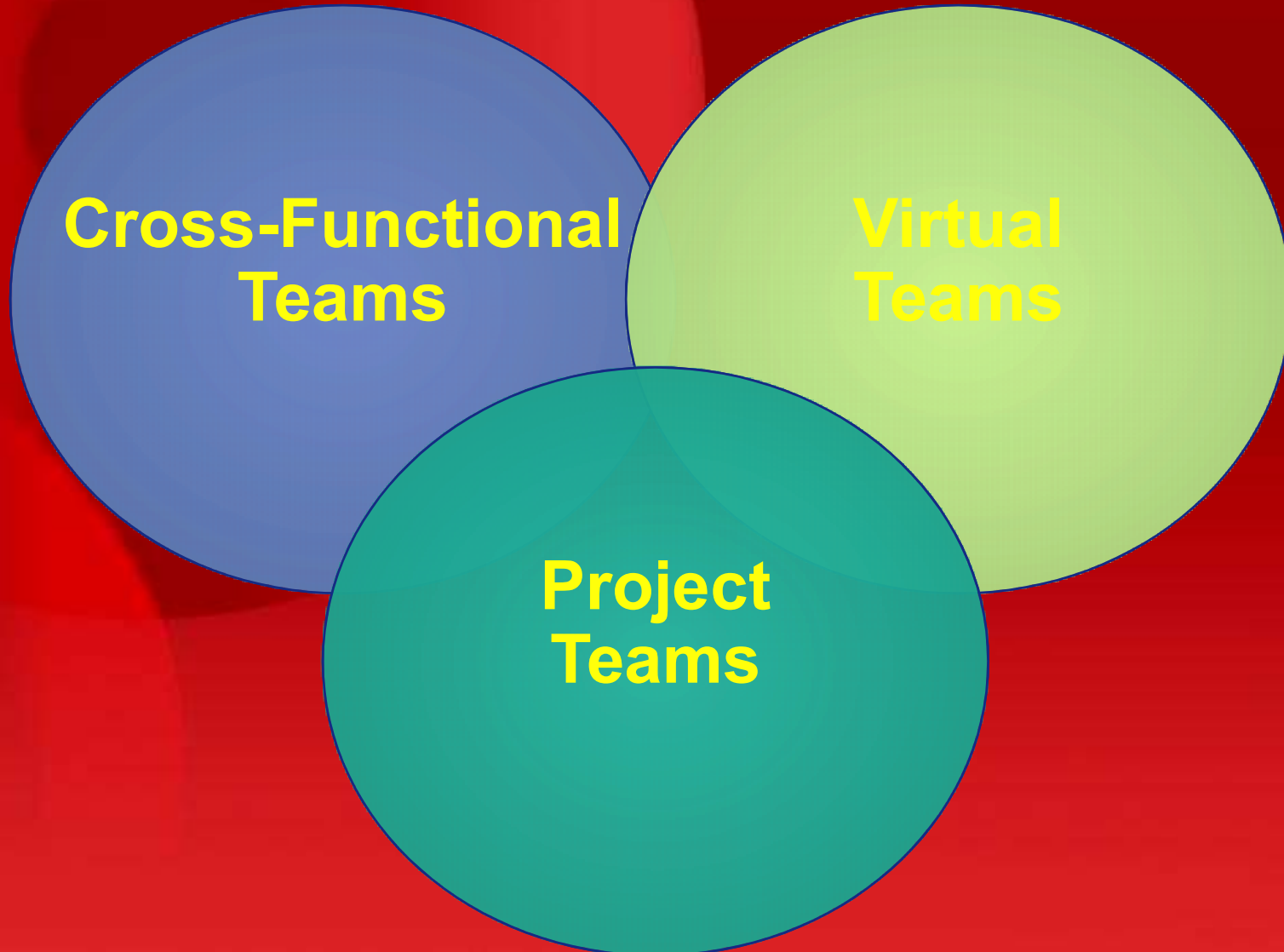
## **3. Work Team**

**Responsible for the daily work of the organization and, when empowered, are self-managed teams.**

## **4. Quality Circle**

**Consists of workers and supervisors, who meet to discuss workplace problems.**

# Special Kinds of Teams





# **Cross-Functional Team**

**Employees from different functional areas.**

**Attack problems from multiple perspectives.**

**Generate more ideas and alternative solutions.**

# **Virtual Team**

**Physically dispersed  
Work Group/Team**

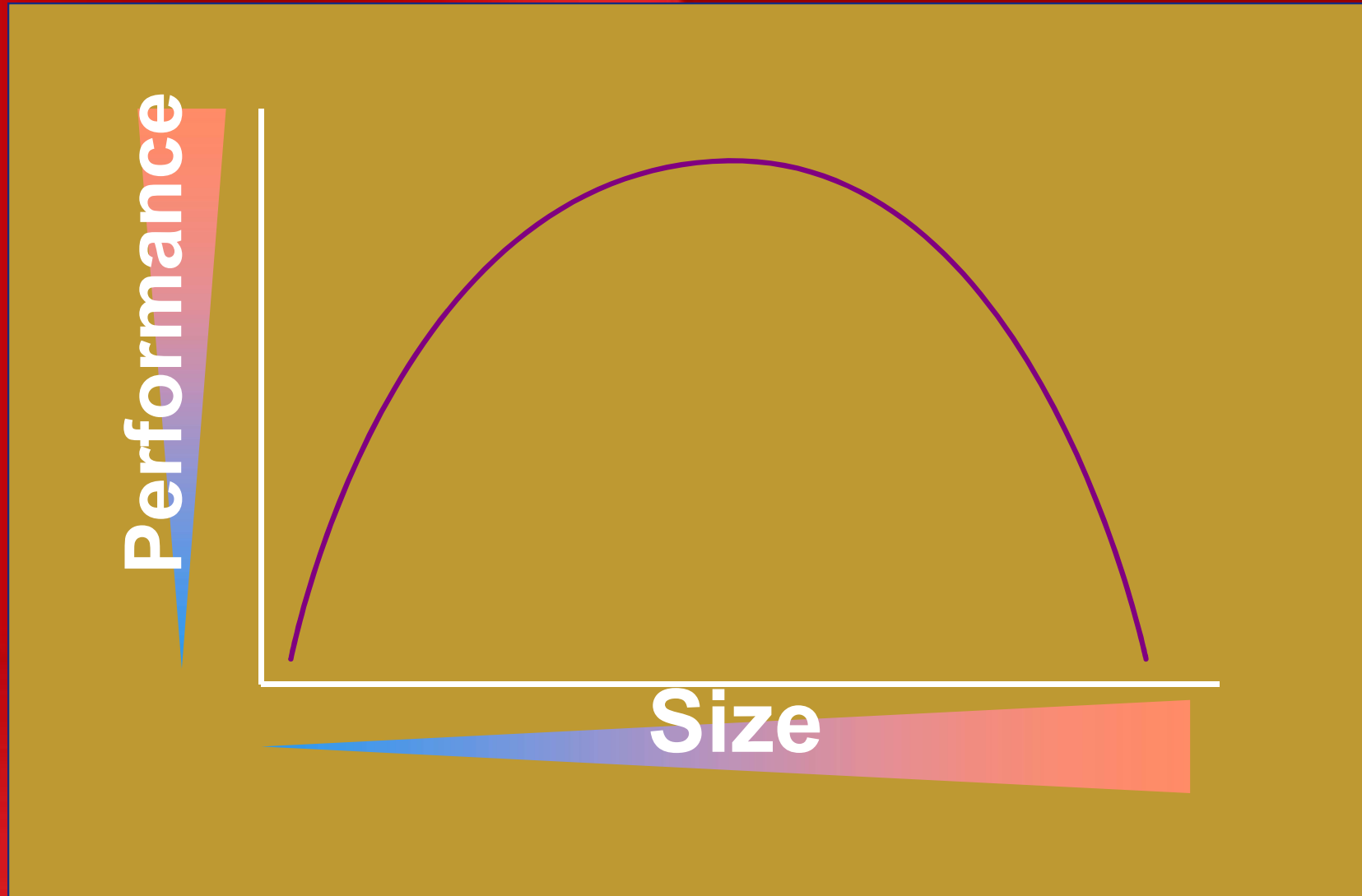
**using information technology as  
a means to interact, but rarely,  
if ever, meeting physically.**

# **Project Teams**

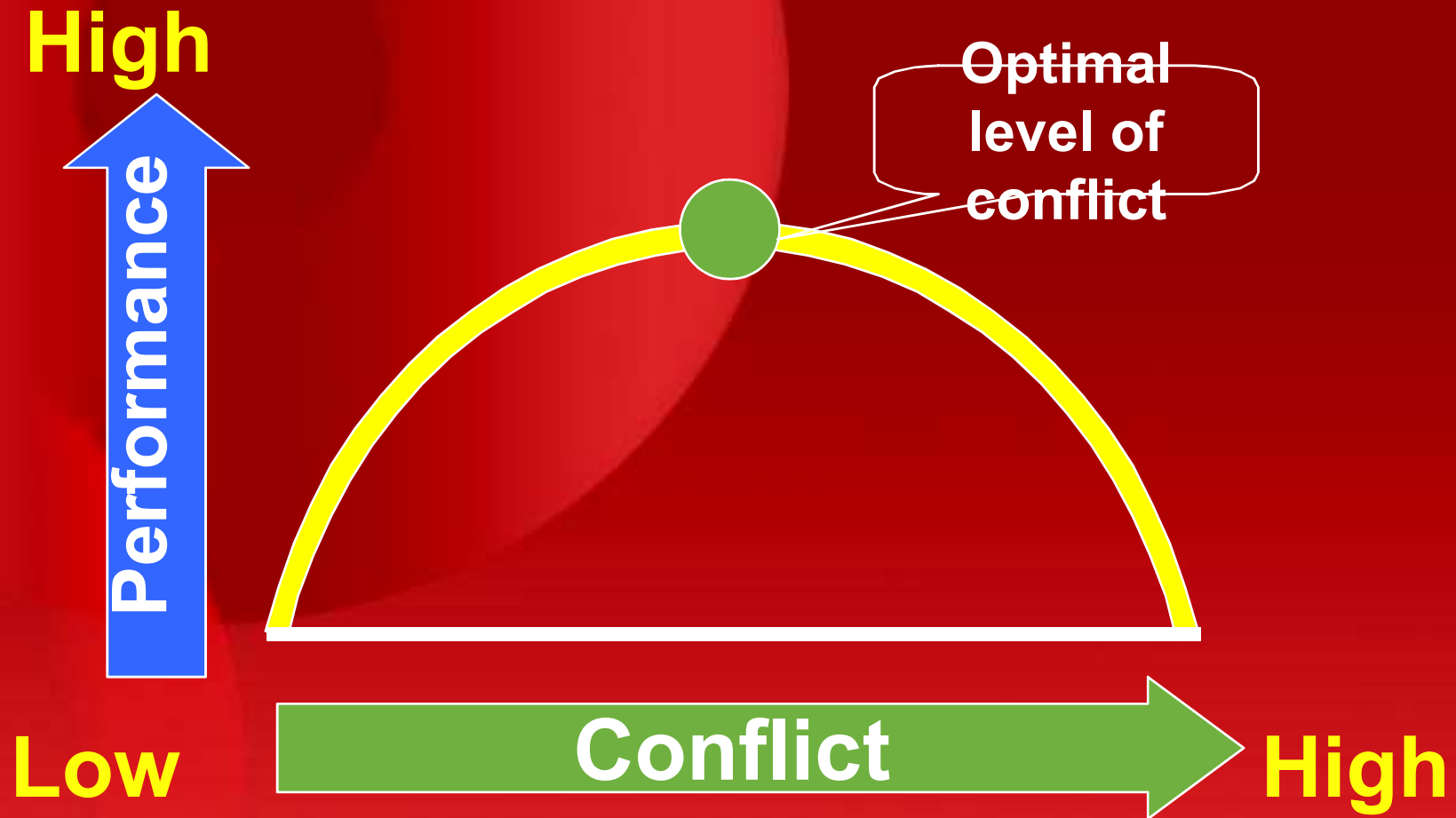
**Created to complete specific, one-time projects within a limited time.**

**Often used to develop new products, improve existing products, roll out new information systems, or build new factories/offices.**

# Team Size



# Organizational Conflict



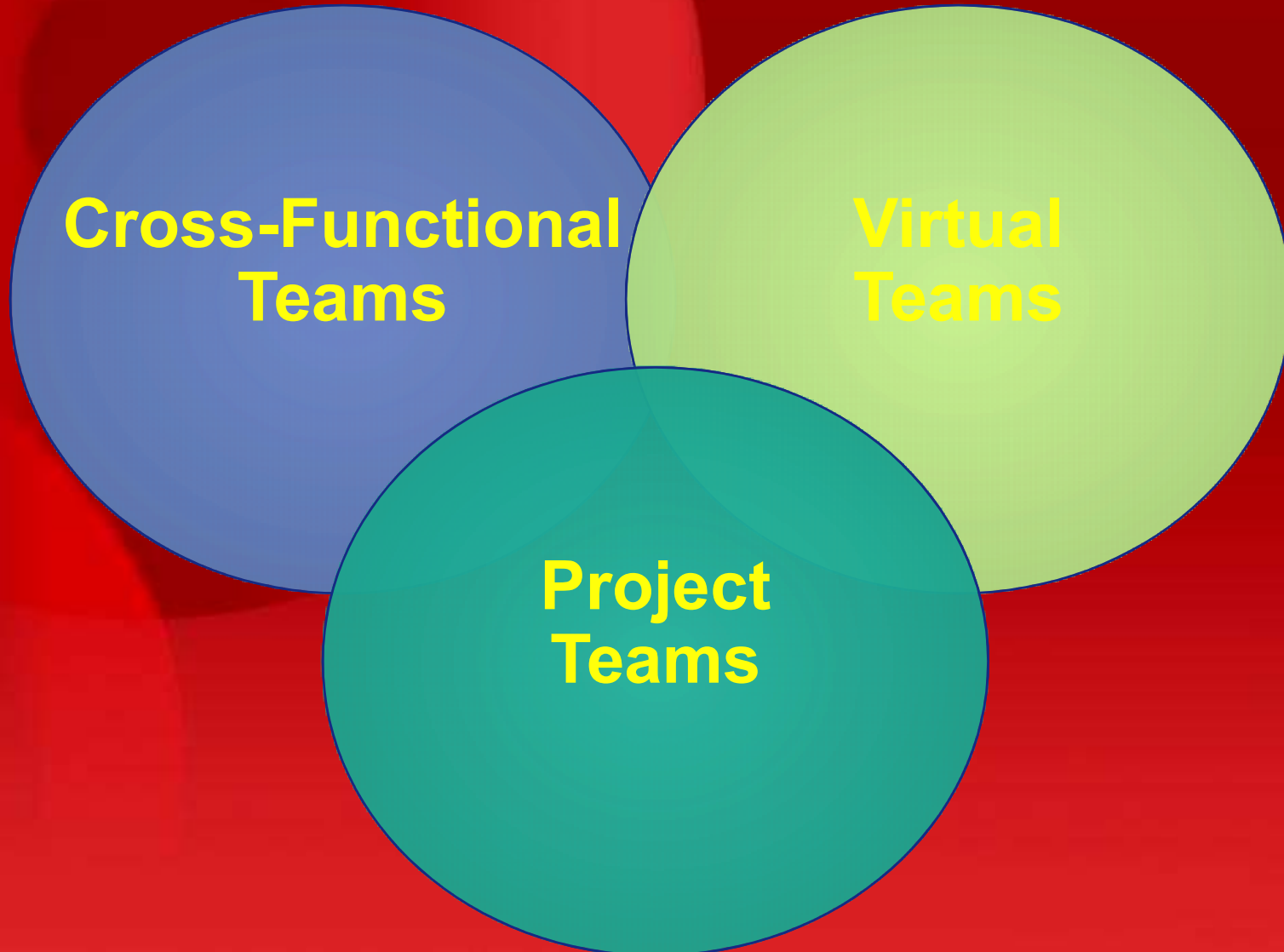
# **Principles of Management**

**Learning Session # 42**

***Dr. A. Rashid Kausar***

# **Re-cap of Session # 41**

# **Special Kinds of Teams**





# **Cross-Functional Team**

**Employees from different functional areas.**

**Attack problems from multiple perspectives.**

**Generate more ideas and alternative solutions.**

# **Virtual Team**

**Physically dispersed  
Work Group/Team**

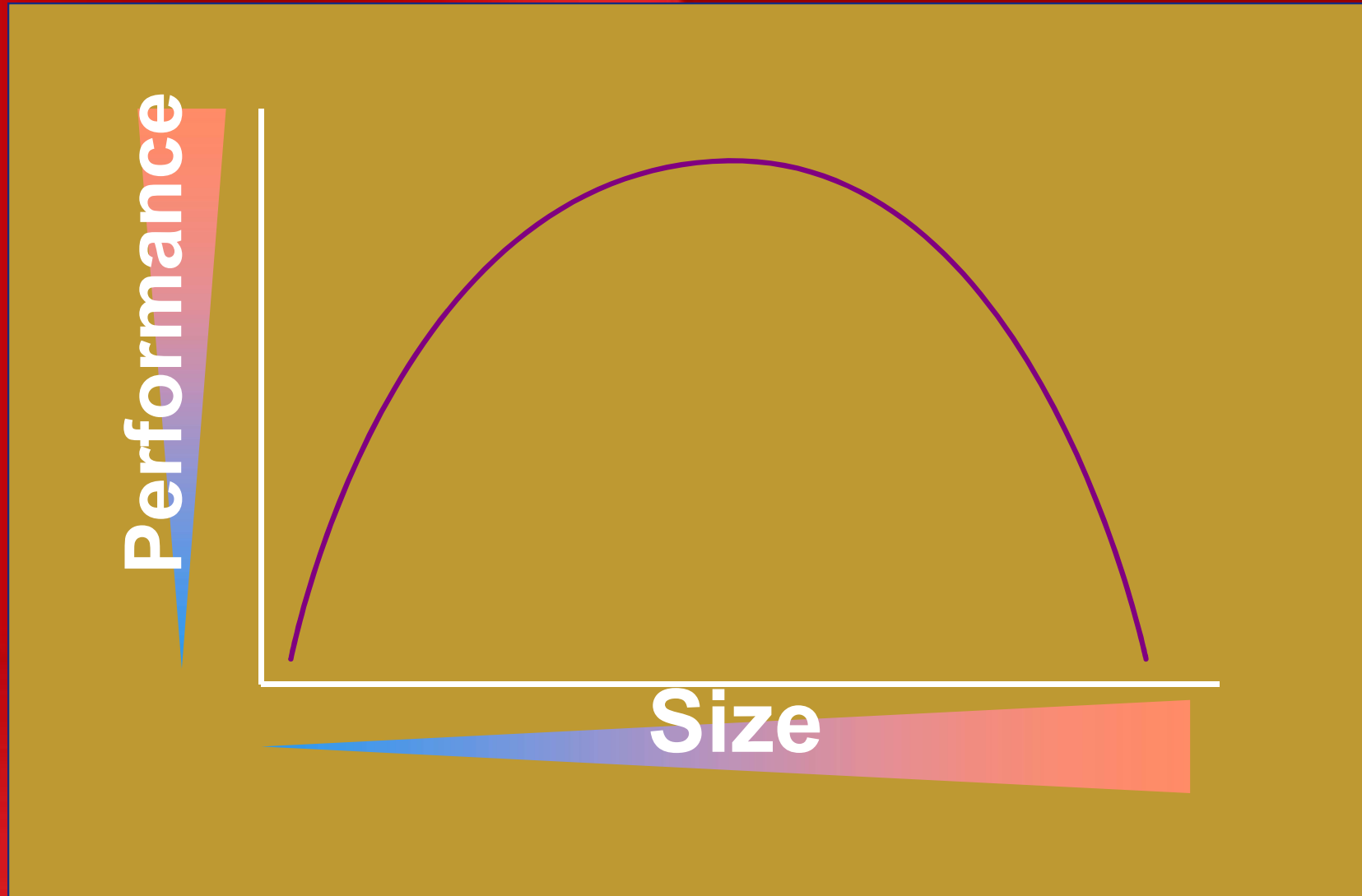
**using information technology as  
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# **Project Teams**

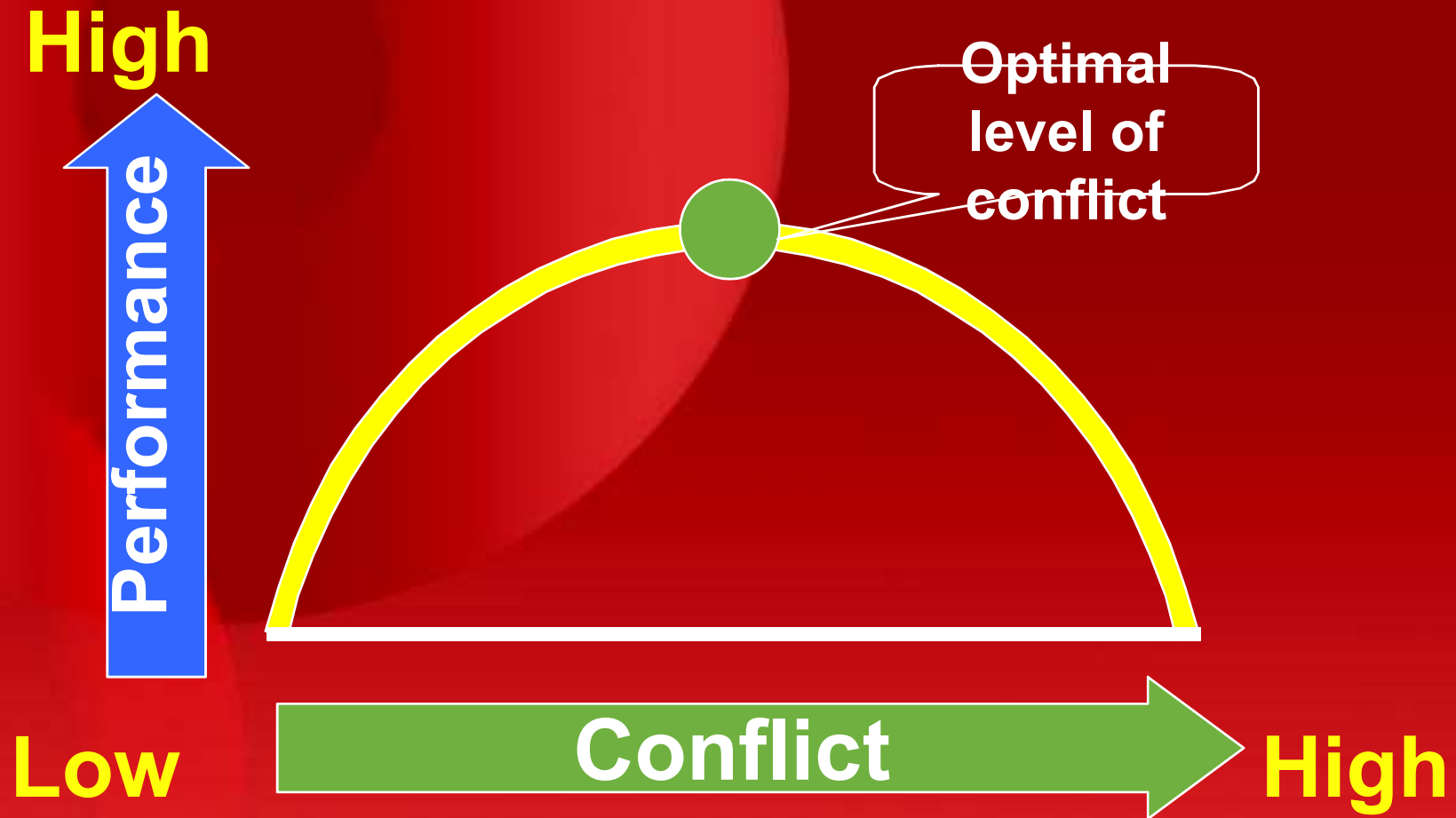
**Created to complete specific, one-time projects within a limited time.**

**Often used to develop new products, improve existing products, roll out new information systems, or build new factories/offices.**

# Team Size



# Organizational Conflict



# **Understanding Managerial Communication**

# **What is Communication?**

**Everything that a manager  
does ...**

**involves communication!**

**Ineffective communication  
is the basis for many  
managerial problems.**

# **Communication**

**The process of  
transmitting  
information from  
one person to  
another.**



# **Effective Communication**

**The process of sending a message so that the message received is as close in meaning as possible to the message intended.**

# **Interpersonal Communication**

**It occurs between people.**

# **Organizational Communication**

**All the patterns, networks,  
and systems of  
communication in an  
organization.**

# Communication in Management

## Communication Roles

```
graph TD; A[Communication Roles] --- B[INTERPERSONAL]; A --- C[INFORMATIONAL]; A --- D[DECISIONAL]; B --- B1[Figurehead]; B --- B2[Leader]; B --- B3[Liaison]; C --- C1[Spokesperson]; C --- C2[Monitor]; C --- C3[Disseminator]; D --- D1[Entrepreneur]; D --- D2[Disturbance-handler]; D --- D3[Negotiator];
```

### **INTERPERSONAL**

Figurehead  
Leader  
Liaison

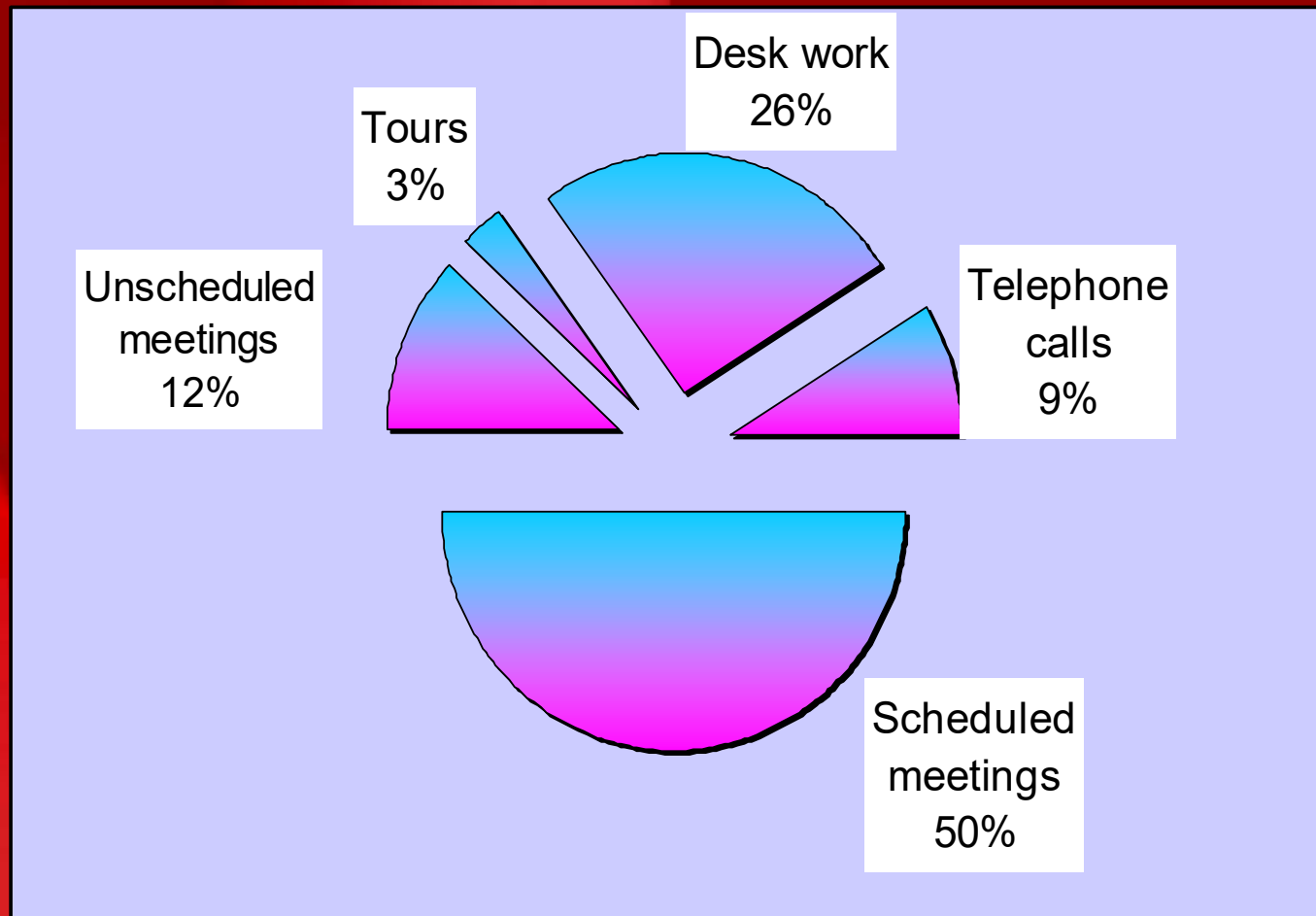
### **INFORMATIONAL**

Spokesperson  
Monitor  
Disseminator

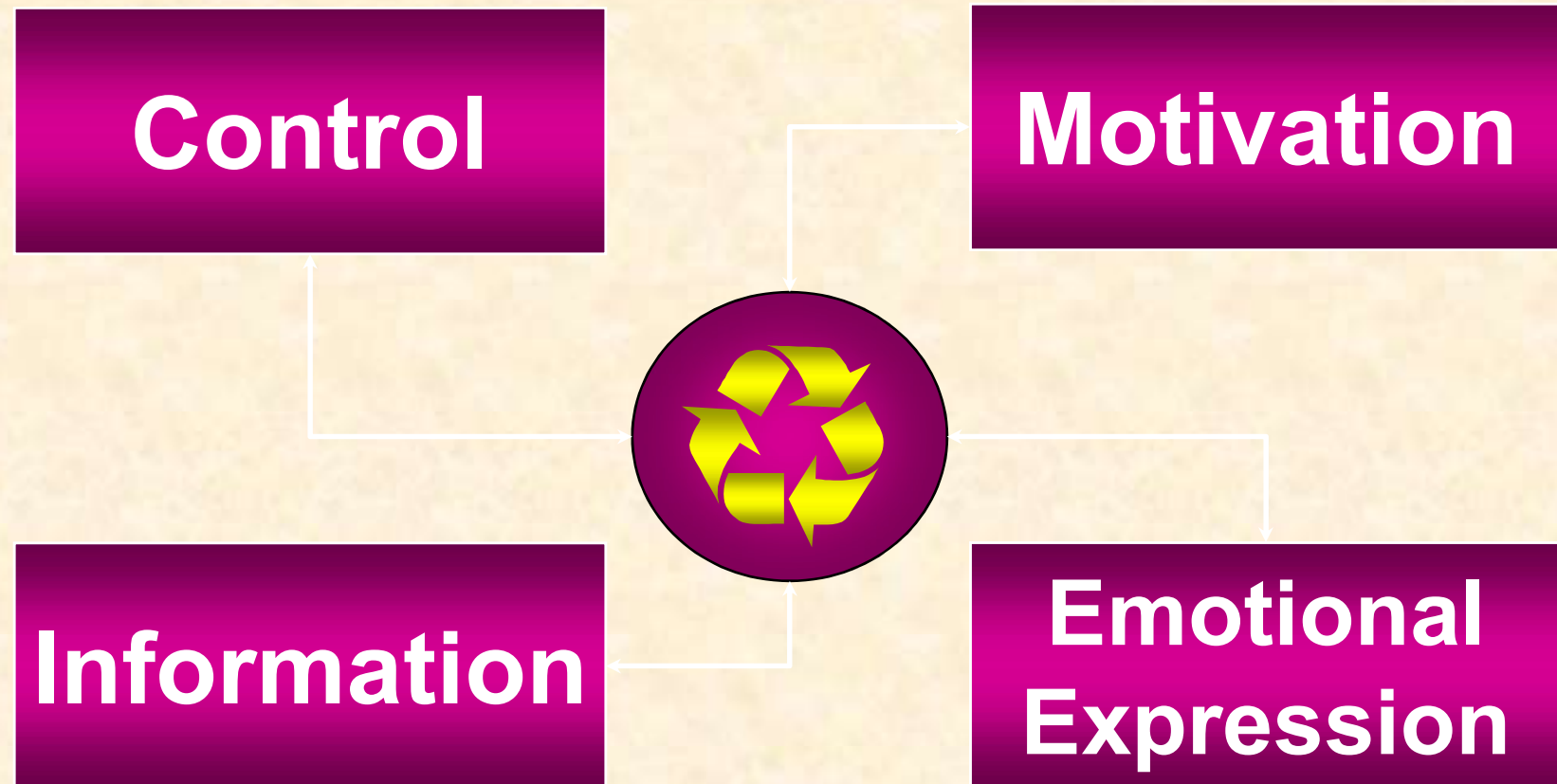
### **DECISIONAL**

Entrepreneur  
Disturbance-  
handler  
Negotiator

# Managerial Communication



# Functions of Communication



# Communication Process



# **Principles of Management**

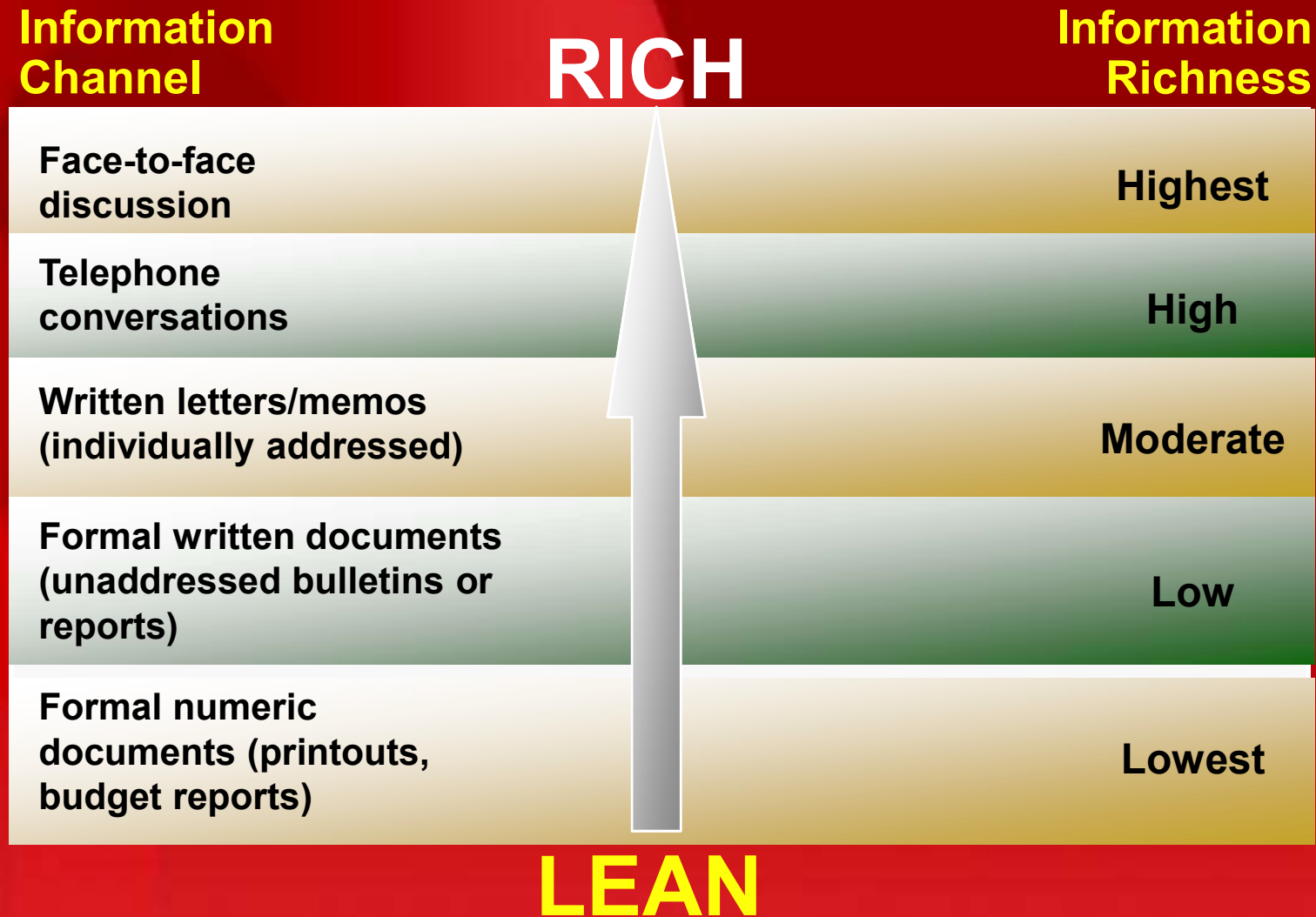
**Learning Session # 43**

***Dr. A. Rashid Kausar***

# **Re-cap of Session # 42**



# Information Richness of Channels



# **Managerial Communication**

## **Verbal**

**Written or oral use of words to communicate.**

## **Non-Verbal**

**Communication by means of elements and behaviours that are not coded into words.**

# **Communication Channels**

**Patterns of communication flow through which managers and other organisation members can send and receive information.**

- 1. Vertical communication**
- 2. Horizontal communication**
- 3. Informal communication**

# **Communication Channels**

## **Vertical Communication**

### **1. Downward Communication**

**Managers overuse downward communication.**

**Filtering**

**(deliberate or accidental).**

# **Communication Channels**

**Vertical Communication:**

## **2. Upward Communication**

**Can be distorted by 'only' favourable messages going up.**

**Managers don't encourage upward flow.**

# **Communication Channels**

## **Horizontal Communication**

**Lateral or diagonal message exchange within work-unit boundaries, involving peers reporting to the same supervisor, or across work-unit boundaries, involving individuals who report to different supervisors.**

# **Communication Channels**

## **Informal Communication**

**Communication which takes place without regard to hierarchical or task requirements.**

### **Problems**

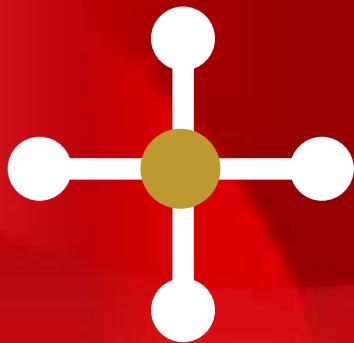
**Can carry gossip/distorted information.**

### **Benefits**

**Valuable tool for continuation/propagation of culture.**

# Communication Networks

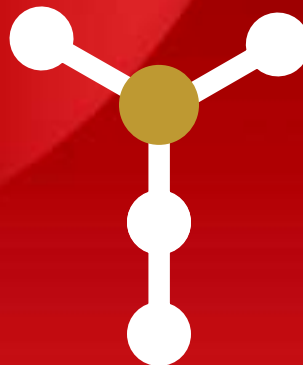
Patterns through which members of a group or team communicate.



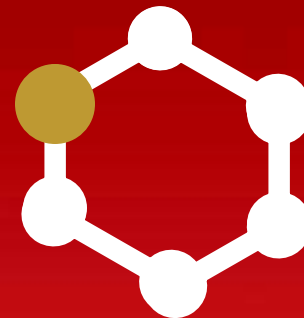
Wheel



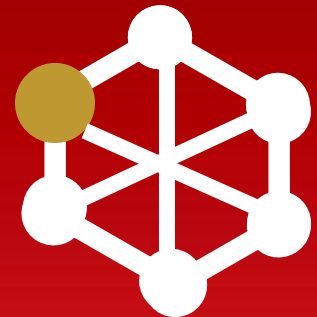
Chain



"Y"

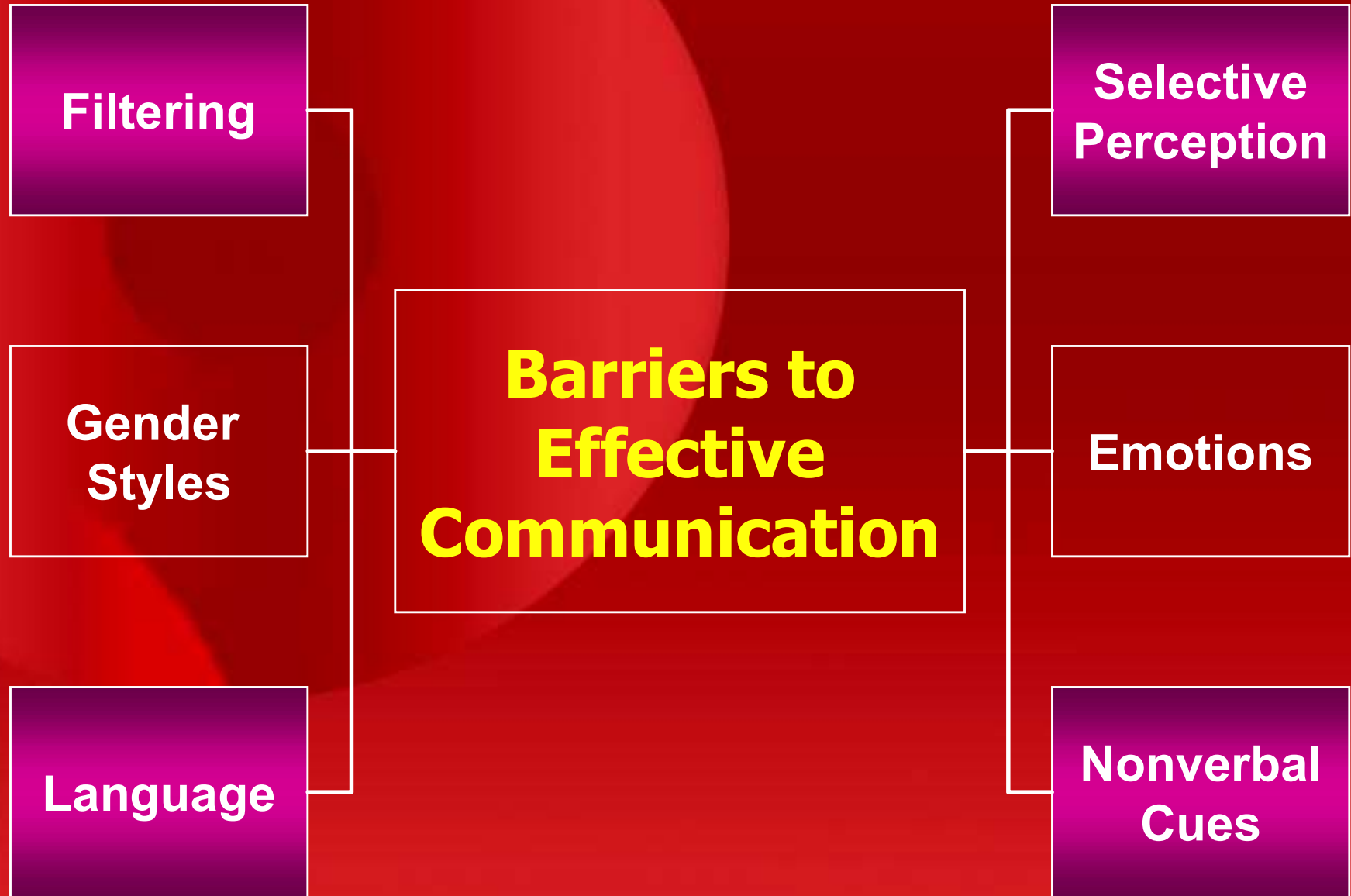


Circle



Spoke





# **Grapevine**

**An informal network that is active in almost every organization.**

- 1. Important source of information.**
- 2. Identifies issues that employees consider important and anxiety producing.**

# **Grapevine**

**3. Can use the grapevine to disseminate important information.**

**4. Grapevine cannot be abolished.**

**Rumors can never be eliminated entirely.**

# **Barriers to Communication**

## **Individual Barriers**

**Conflicting or inconsistent cues.**

**Credibility about the subject.**

**Reluctance to communicate.**

**Poor listening skills.**

**Predispositions about the  
subject.**

# **Barriers to Communication**

## **Organizational Barriers**

**Status or power differences.**

**Different perceptions.**

**Noise.**

**Overload.**

# **Improving Communication Effectiveness**

## **Individual Skills**

- 1. Encourage two-way communication.**
- 2. Be aware of language and meaning.**

# **Improving Communication Effectiveness**

## **Individual Skills**

- 3. Be sensitive to sender's and receiver's perspective.**
- 4. Develop good listening skills.**

# **Improving Communication Effectiveness**

## **Organizational Skills**

- 1. Follow up.**
- 2. Regulate information flow**
- 3. Understand the richness of media.**



# **How Technology Affects Managerial Communication!**

# Communication Channels



**Information Technology  
has changed organizational  
communication.**

- 1. Disseminates more complete  
information**
- 2. Provides more opportunities  
for collaboration**
- 3. Employees are fully accessible**

# **Effects of IT**

## **1. Networked Computer Systems**

**Linking computers through compatible hardware and software.**

***1.e-mail* - instantaneous transmission of written messages**

# **Effects of IT**

## **1. Networked Computer Systems**

***2. Instant messaging (IM)***

**interactive real-time communication**

***3. Voice-mail***

**digitizes a spoken message**

# Effects of IT

## 1. Networked Computer Systems

3. *Fax*

4. *Teleconferencing*

5. *Videoconferencing*

6. *Electronic data interchange (EDI)*

Permits the exchange of standard business transaction documents.

# 1. Networked Computer Systems

**7. *Intranet*** - Internet technology that links organizational employees

**8. *Extranet*** - Internet technology that links an organization with customers and suppliers

**9. *Internet-based voice communication*** - allows users to talk with each other

## **2. Wireless Capabilities**

**Depends on signals sent through space without any physical connection.**

**Based on microwave signals, satellites, radio waves, or infrared light rays.**



# **Principles of Management**

**Learning Session # 44**

***Dr. A. Rashid Kausar***

# **Re-cap of Session # 43**

**POLCA**

**Controlling**

# **Control as a Management Function**

**Process of regulating organisational activities so that actual performance conforms to expected organisational standards and goals.**

# Planning-Controlling Link



# **What Is Control?**

**Control is the process of monitoring activities to ensure that they are being accomplished as planned and of correcting significant deviations.**

**Control systems are judged in terms of how well they facilitate goal achievement**

# **Control as a Management Function**

## **Role of Controls:**

- 1. Coping with uncertainty**
- 2. Detecting irregularities**
- 3. Identifying opportunities**
- 4. Handling complex  
situations**

# Control as a Management Function

Levels of Plan

Strategic Planning

Tactical Planning

Operational Planning

Levels of Control

Strategic Control

Tactical Control

Operational Control



# The Control Process



# The Control Process

## Steps in the control process:

**Control  
process  
steps**



**Determine areas to control**

**Establish standards**

**Measure performance**

**Compare performance**

**Recognise positive  
performance**

**Take corrective action**

**Adjust standards**

# Five Eras of Management Control

|                     |                                           |
|---------------------|-------------------------------------------|
| <b>1870-1900</b>    | <b>Industrial Betterment</b>              |
| <b>1900-1922</b>    | <b>Scientific Management</b>              |
| <b>1925-1955</b>    | <b>Human Relations</b>                    |
| <b>1955-1980</b>    | <b>Systems Rationalization</b>            |
| <b>1980-Present</b> | <b>Organizational Culture and Quality</b> |

# **Primary Types of Organizational Control**



# **Managerial Approaches**

**Bureaucratic control**

**Organic/Clan control**

**Market control**

**Quality & Innovation**

# **Managerial Approaches**

## **Bureaucratic Control**

**Managerial approach relying on regulation through rules, policies, supervision, budgets, schedules, reward systems and other administrative mechanisms aimed at ensuring employees exhibit appropriate behaviours and meet performance standards.**

# **Characteristics of Bureaucratic Methods**

---

- 1. Use of detailed rules and procedures whenever possible.**
- 2. Top-down authority, with emphasis on positional power.**

# **Characteristics of Bureaucratic Methods**

---

- 3. Activity-based job descriptions  
that prescribe day-to-day behaviors.**
- 4. Emphasis on extrinsic rewards  
(wages, pensions, status symbols)  
for controlling performance.**



# **Characteristics of Bureaucratic Methods**

---

- 5. Distrust of team controls, based on an assumption that team goals conflict with organizational goals.**
- 6. Organizational culture not recognized as a source of control.**

# **Managerial Approaches**

## **Market Control**

**Managerial approach relying on market mechanisms to regulate prices for certain clearly specified goods and services needed by an organisation.**

# **Market Control**

**It emphasizes the use of  
external market  
mechanisms to establish  
standards of performance.**

# **Market Control**

- 1. Useful where products and services are distinct**
- 2. Useful where marketplace competition is considerable**
- 3. Divisions turned into profit centers and judged by the percentage of total corporate profits each contributes**

# **Managerial Approaches**

## **Organic/Clan Control**

**Managerial approach relying on values, beliefs, traditions, corporate culture, shared norms and informal relationships to regulate employee behaviours and facilitate reaching of organisational goals.**

# **Characteristics of Organic Control Methods**

- 1. Use of detailed rules and procedures only when necessary.**
- 2. Flexible authority, with emphasis on expert power and networks of control.**

# **Characteristics of Organic Control Methods**

- 3. Results-based job descriptions that emphasize goals to be achieved.**
- 4. Emphasis on both extrinsic and intrinsic rewards (meaningful work) for controlling performance.**

# **Characteristics of Organic Control Methods**

**5. Harnessing of group controls, based on an assumption that group goals and norms assist in achieving organizational goals.**



# **Characteristics of Organic Control Methods**

- 6. Organizational culture seen as a way of integrating organizational, group, and individual goals for greater overall control.**

# **Quality & Innovation:**

**Levers for strategic  
control/innovation:**

## **1. Belief Systems**

**Mission, core values**

## **2. Performance Management Systems**

**Critical goals, evaluation & feedback**

## **3. Interactive Monitoring System**

**Networking, continuous search &  
learning based system**

# **Traditional Financial Controls**

**The budgets provide  
quantitative standards  
against which to  
measure and compare  
resources  
consumption.**

# **Other Financial Controls**

**Other Financial Control  
Measures increasing in  
popularity;**

- 1. Economic Value Added (EVA)**
- 2. Market Value Added (MVA)**

## **1. Economic Value Added (EVA)**

**Economic value created with the firm's assets less any capital investments made by the firm in its assets.**

## **2. Market Value Added (MVA)**

**Stock market's estimate of the value of the firm's past and expected capital investment projects.**

# **Automation Based Controls**

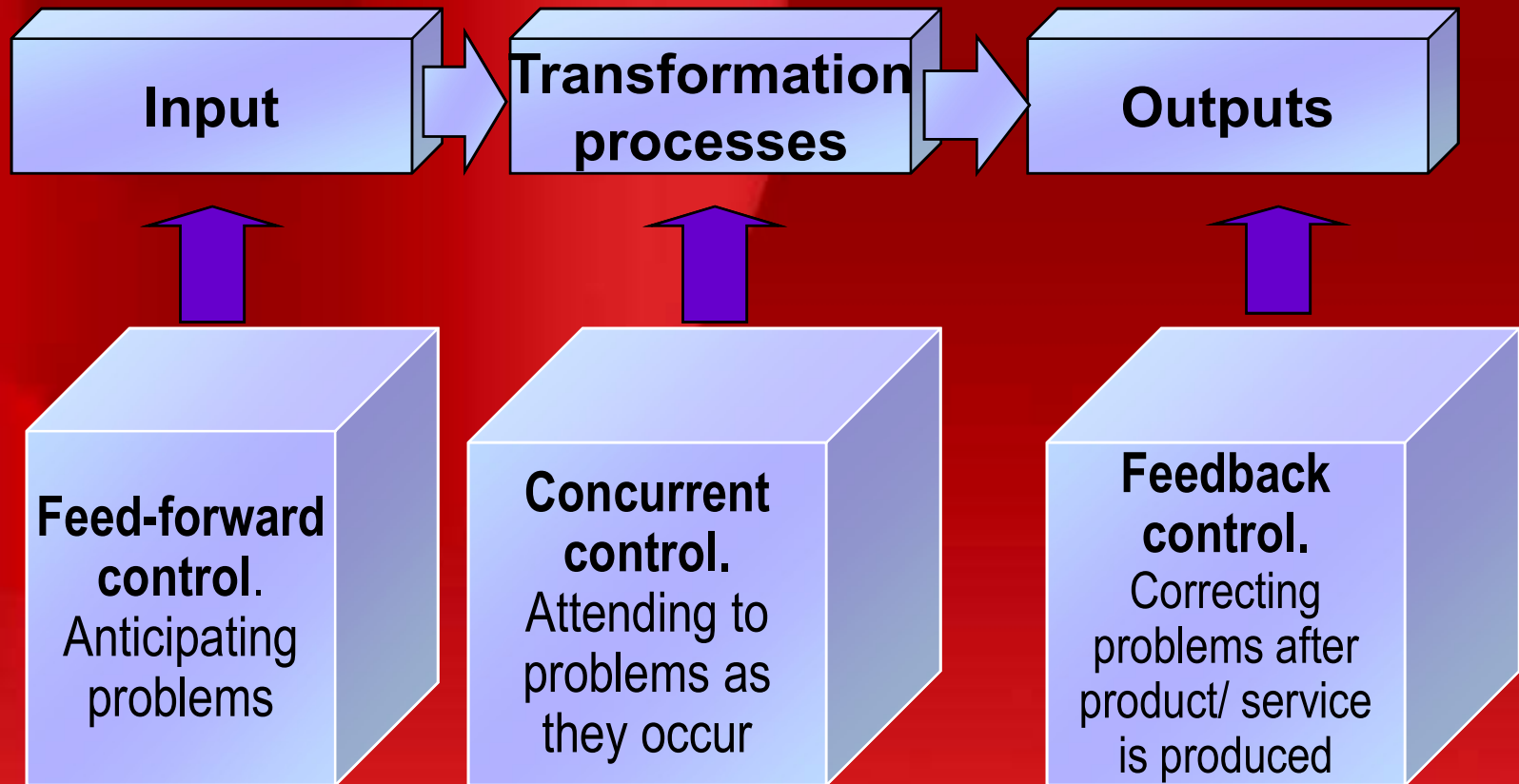
**Management Information Systems**

**MIS are used to provide management with needed information on a regular basis.**

- 1. Organizes data in a meaningful way**
- 2. Can access the information in a reasonable amount of time**

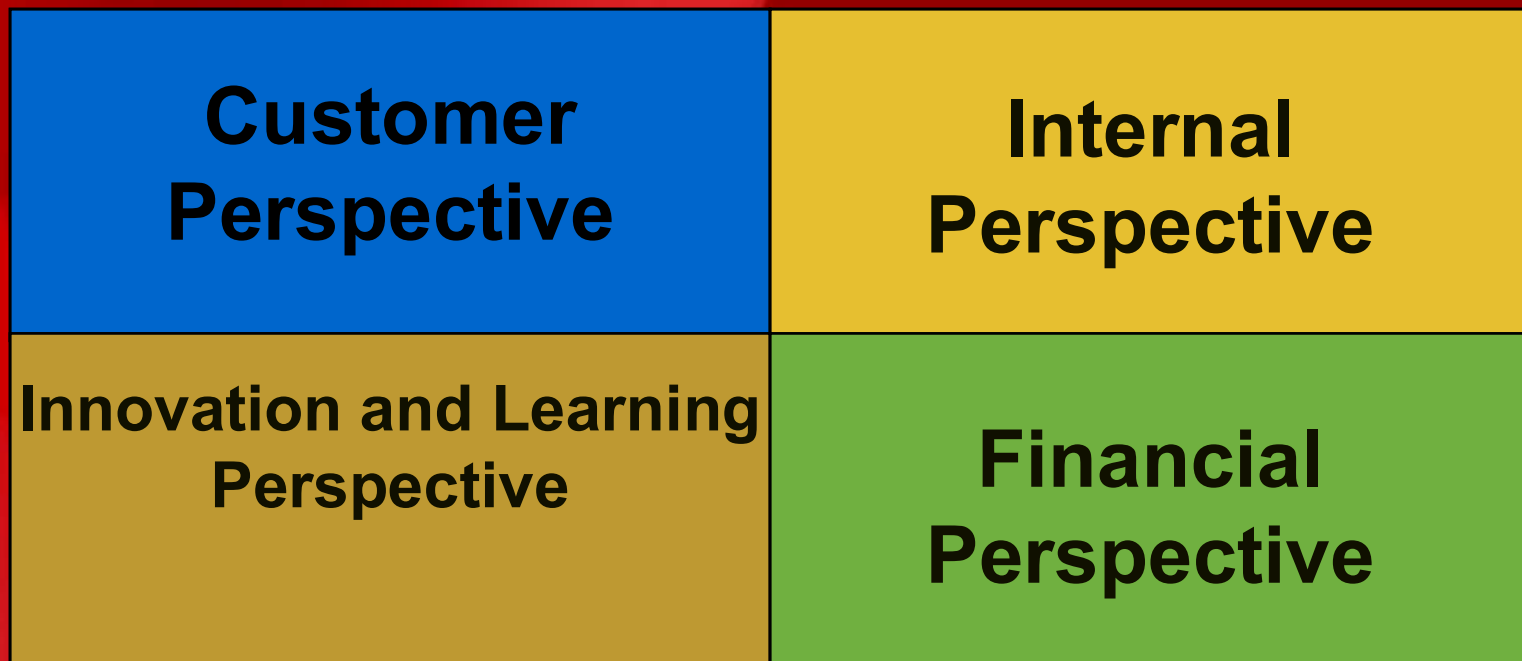
# Types of control

## Types by Timing:



# **What to Control?**

## **Balanced Scorecard!**





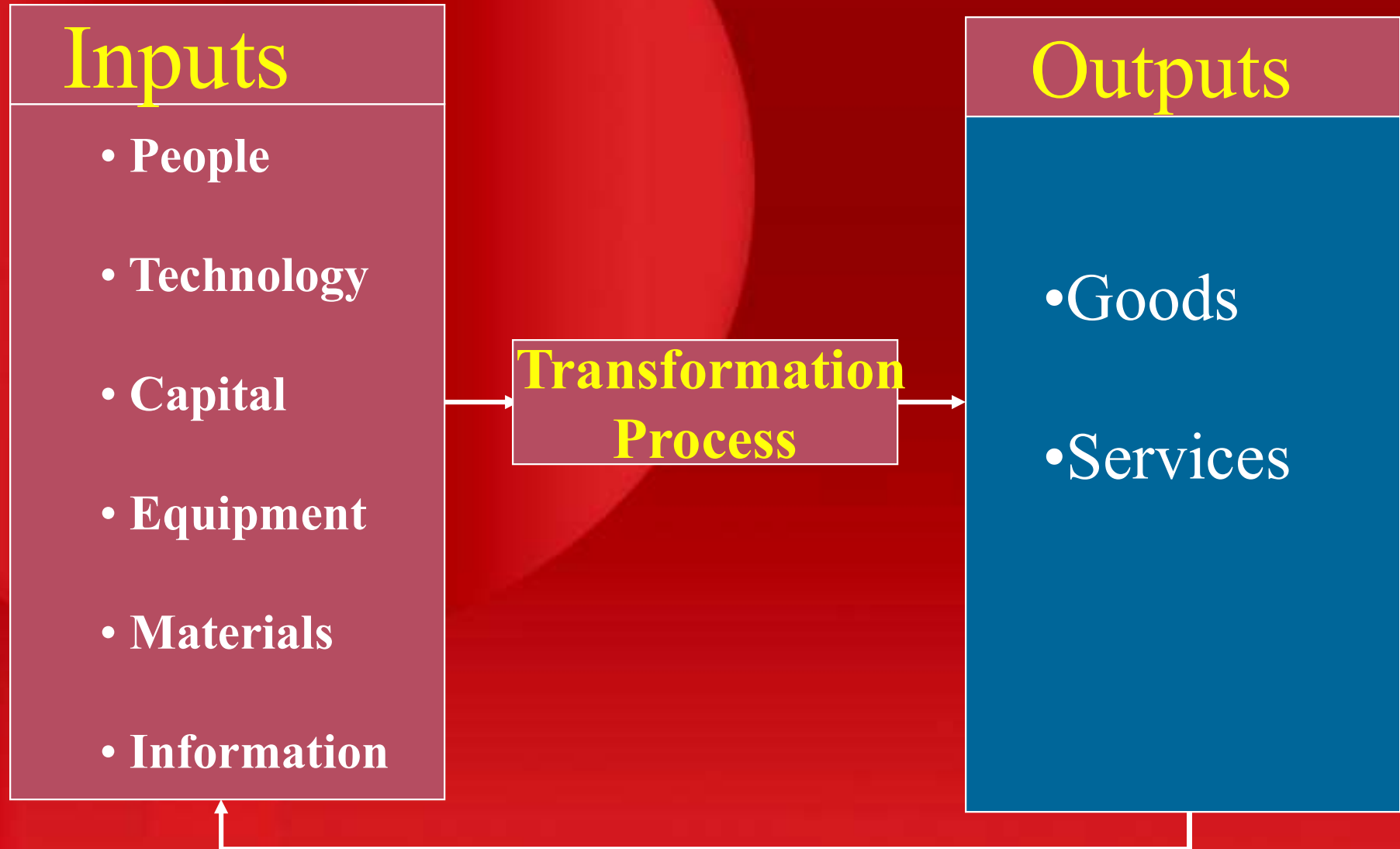
# **Principles of Management**

**Learning Session # 45**

***Dr. A. Rashid Kausar***

**Re-cap**  
**of**  
**Session # 44**

# The Operations System



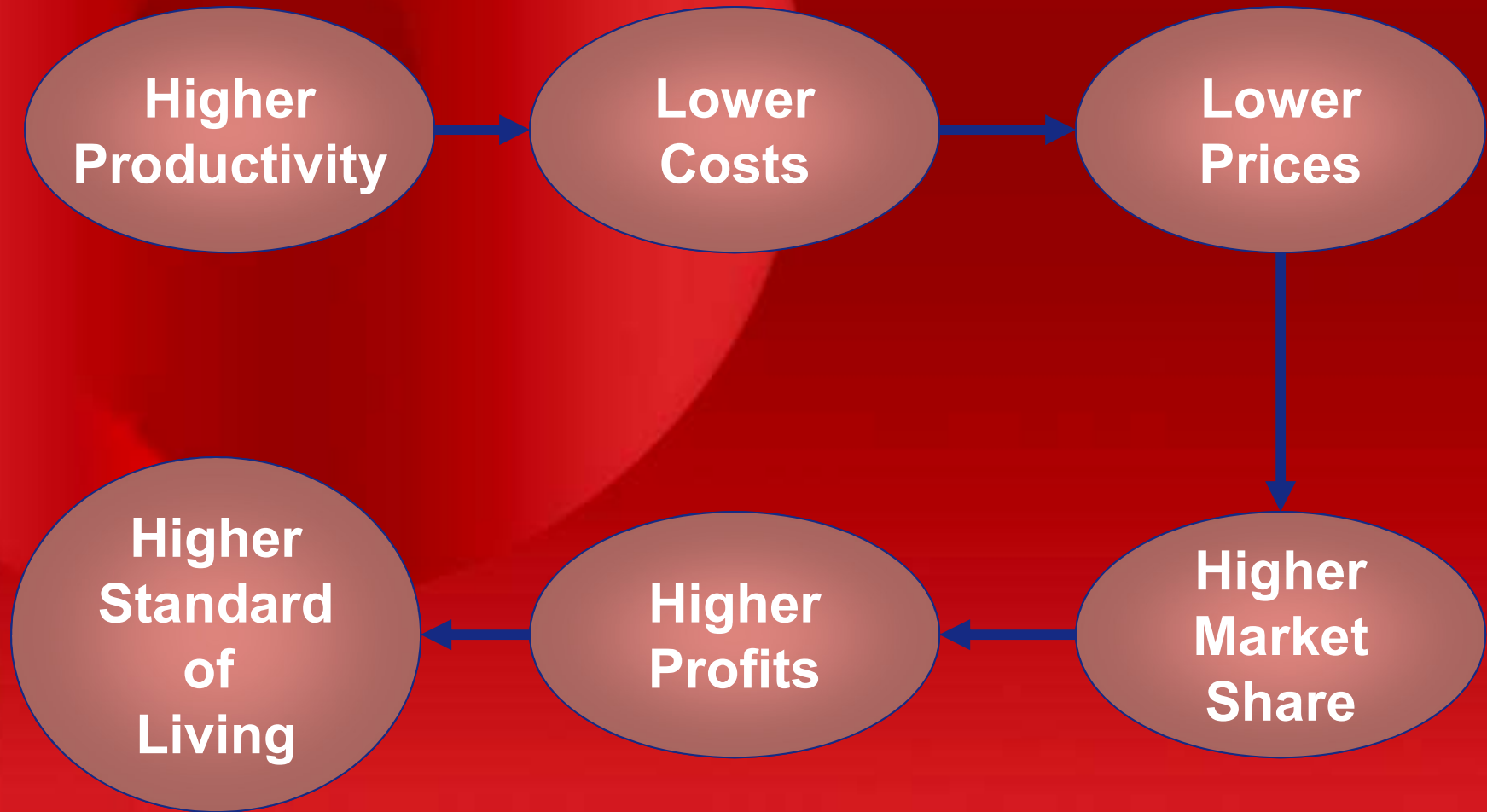
# Productivity

$$\text{Productivity} = \frac{\text{Outputs}}{\text{Inputs}}$$

**Why  
Productivity  
Matters**

**Different  
Kinds of  
Productivity**

# Why Productivity Matters



# Kinds of Productivity

$$\text{Partial Productivity} = \frac{\text{Outputs}}{\text{Single Kind of Input}}$$

$$\text{Multifactor Productivity} = \frac{\text{Outputs}}{\text{Labor} + \text{Capital} + \text{Materials} + \text{Energy}}$$

# Quality



# **Meanings for Quality**

**...A product or service  
free of deficiencies**

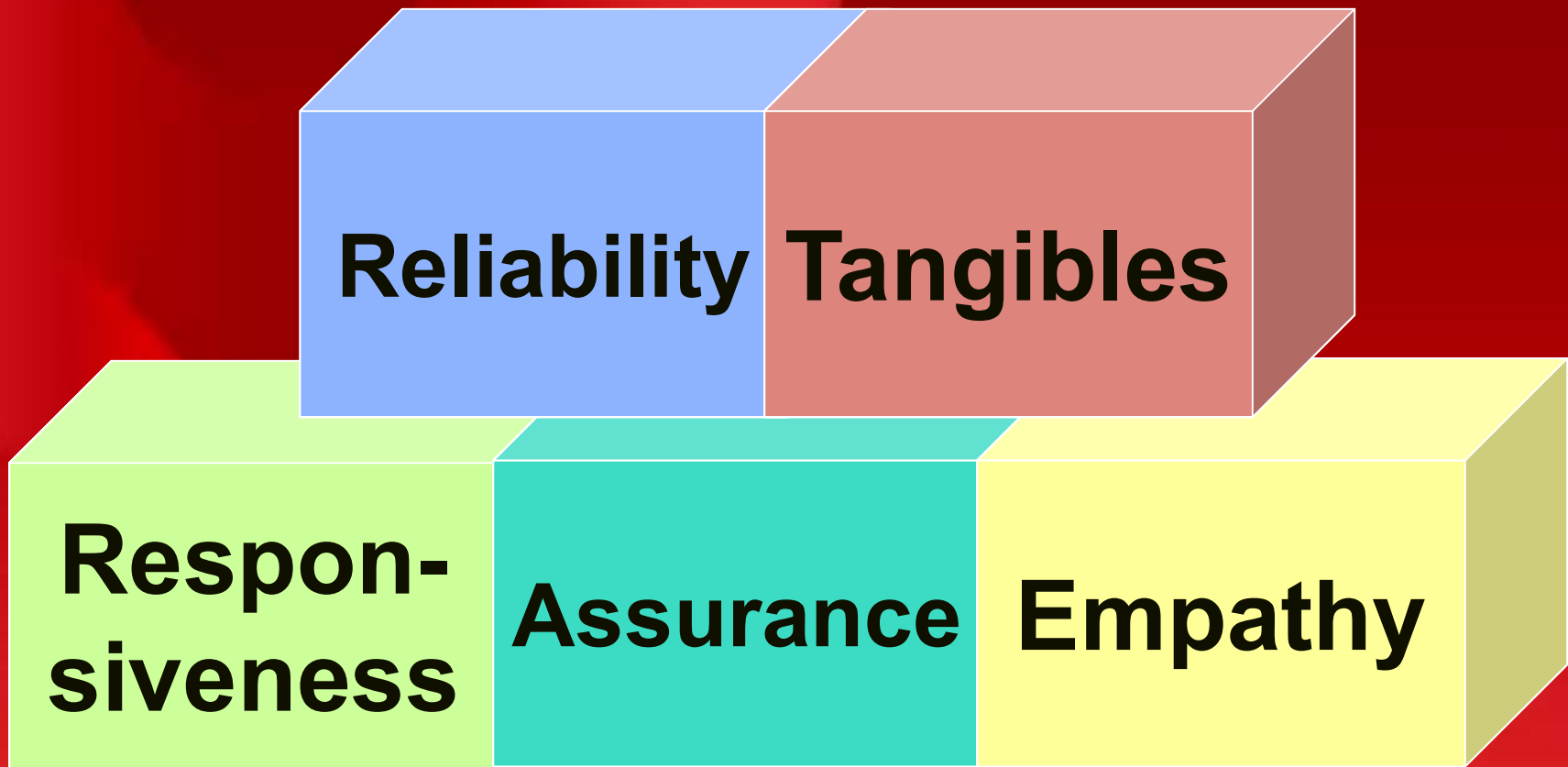
**...The characteristics of a product or  
service that satisfy customer needs**



# Quality-Related Characteristics



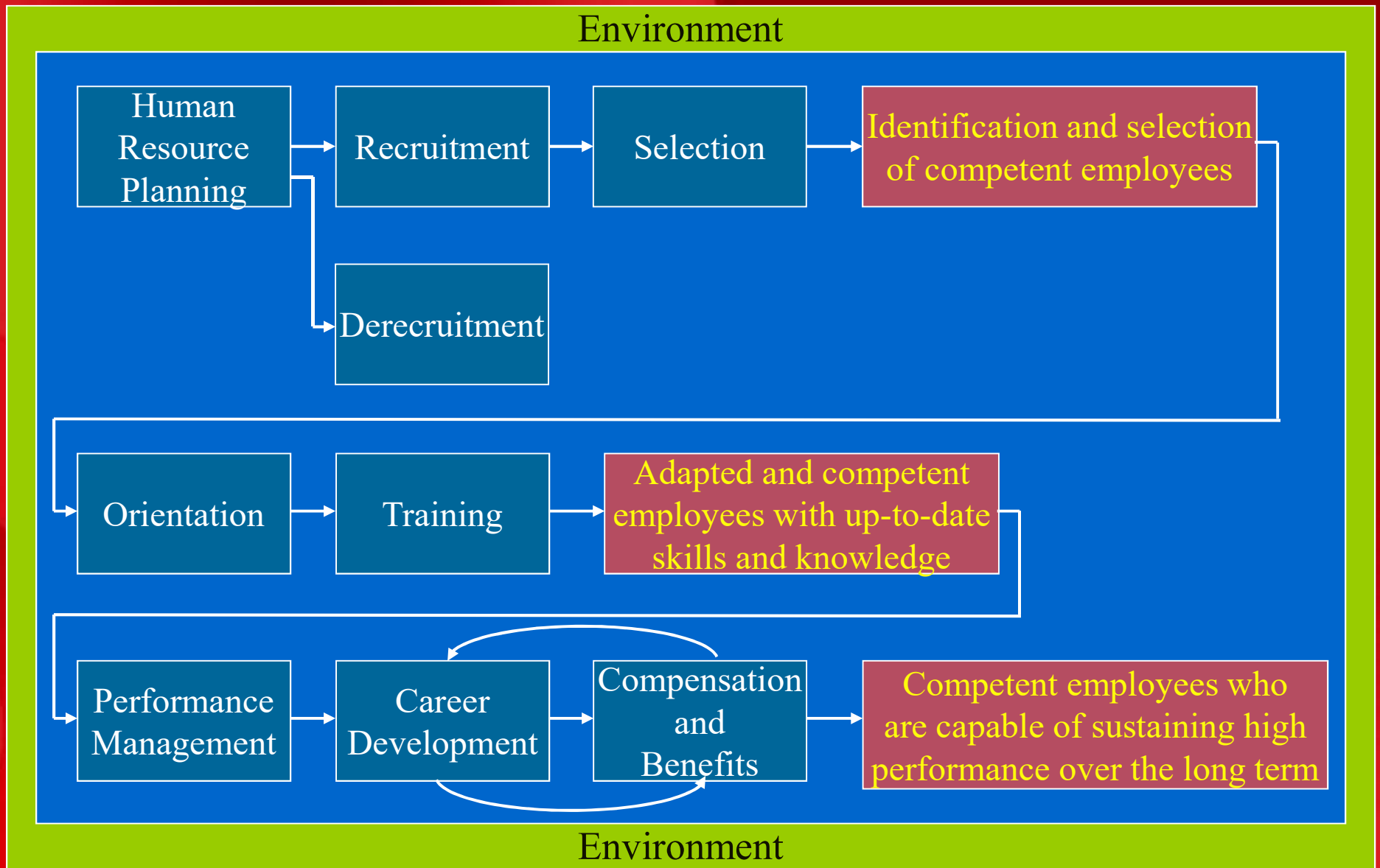
# Quality-Related Characteristics



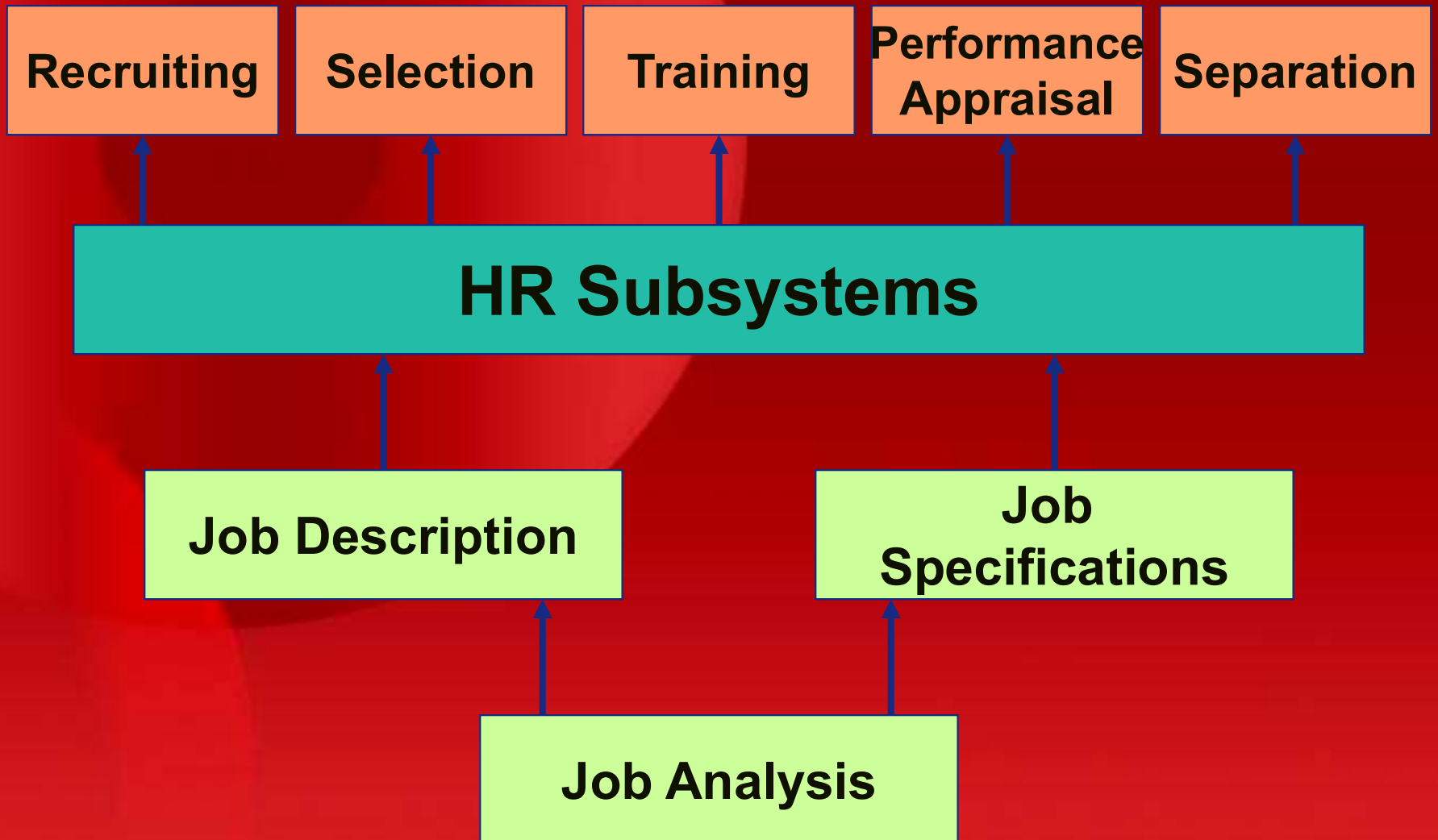
# ISO 9000

1. A series of international standards:  
ISO 9000 to ISO 9004
2. Certifies quality processes
3. Customers are increasingly demanding ISO 9000 certification

# HRM Process



# Job Analysis and HRM



# **Value Chain Management**

## **Value**

Performance characteristics, features, and attributes, and any other aspects of goods and services for which customers are willing to pay resources.

**value Chain** is the entire series of work activities that add value at each step of the transformation process.

**Value Chain Management** is the process of managing an entire sequence of activities along the entire value chain.

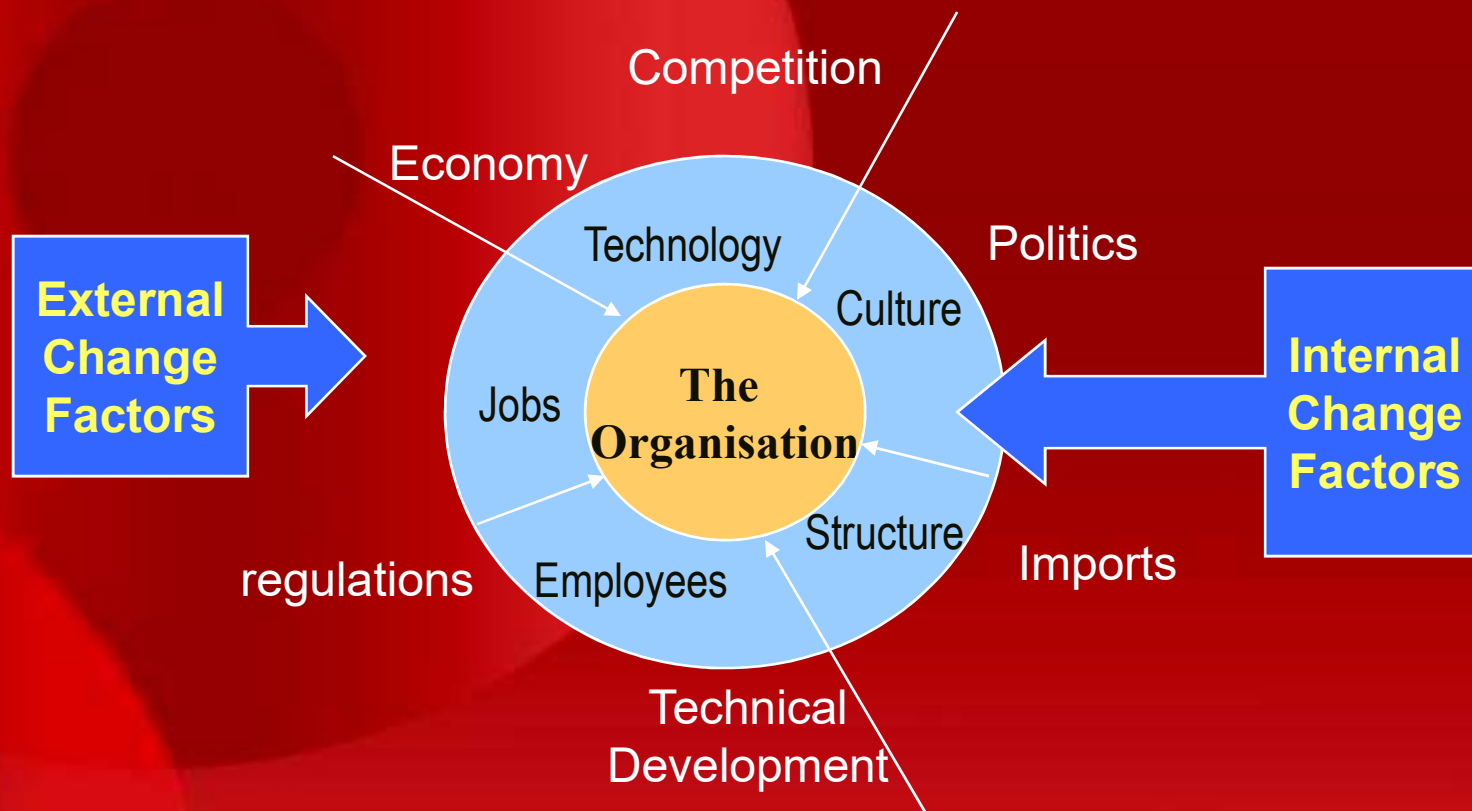
Focuses on both incoming materials and outgoing products and services.

# **Goal of Value Chain Management**

**Better the collaboration  
among chain participants,  
better the customer  
solutions!**

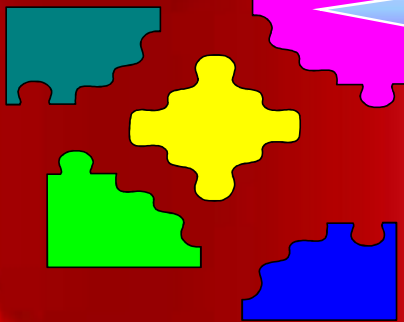


# Managing Change

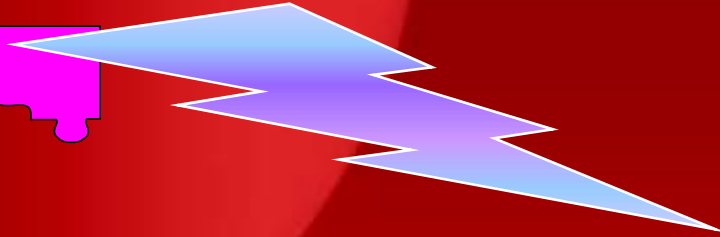


# Managing Resistance to Change

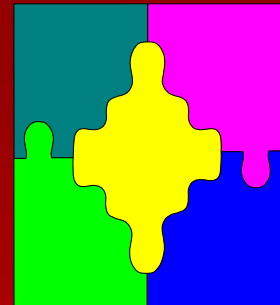
**THREE-STEP PROCESS:**



**UNFREEZE**



**CHANGE**



**REFREEZE**

**Thank You**

**&**

**Happy**

**Learning!**